# CS EXECUTIVE

# COMPANY LAW AND PRACTICE

## Part-II

**Comprehensive Curriculum Coverage**
Covers every Concept as per the latest ICSI Syllabus

**Strictly Based on ICSI Modules**
All chapters aligned topic-wise with the official Module Sequence

**Theoretical + Case-based Questions**
Includes Past Year Questions & Case-based Questions

## Module 1

CS EXECUTIVE

# COMPANY LAW AND PRACTICE

## Part-II

**Comprehensive Curriculum Coverage**
Covers every Concept as per the latest ICSI Syllabus

**Strictly Based on ICSI Modules**
All chapters aligned topic-wise with the official Module Sequence

**Theoretical + Case-based Questions**
Includes Past Year Questions & Case-based Questions

## Module 1

**EDITION: First**

**Published By: Physicswallah Limited**

# Physics Wallah Publication

**Mobile App:** Physics Wallah (Available on Play Store)

**Website:** www.pw.live

**Youtube Channel:** Physics Wallah - Alakh Pandey

CS Wallah by PW

Commerce Wallah by PW

**Email:** publication@pw.live

# PREFACE

The growing focus on good corporate governance has made Company Law a key pillar of India's corporate framework. Governing the structure, management, and conduct of companies, it plays a vital role in today's dynamic economy. The Companies Act, 2013, brought significant reforms aimed at enhancing transparency, strengthening governance, promoting ease of doing business, and aligning Indian corporate law with global standards, while ensuring accountability towards stakeholders.

The attempt throughout this book has been to present the provisions of the Companies Act, 2013, along with allied rules and relevant case law, in a simplified, systematic, and student-friendly manner. Each chapter has been structured to provide conceptual clarity, highlight important sections, and equip the reader with practical insights wherever applicable. Examples, illustrations, and procedural aspects have been included to bridge the gap between theoretical knowledge and its real-world implementation.

***The subject is divided into two parts:***

**Part II: Company Administration and Meetings**

This part focuses on the role of the board of directors and shareholders in decision-making. It addresses key practical considerations in convening and conducting board and general meetings, whether held physically, virtually, or in hybrid mode. Special emphasis is placed on the responsibilities of directors in guiding business strategies and the pivotal role of the Company Secretary in planning, convening, and ensuring compliance during meetings. By reinforcing principles of transparency and accountability, this section highlights the interconnection between effective governance and corporate growth.

Being a professional discipline, Company Secretaryship demands a high standard of legal knowledge, ethical responsibility, and professional conduct. Students are, therefore, expected not only to imbibe the theoretical foundations but also to be adept at applying concepts to practical scenarios.

We are confident that this book will not only serve as a reliable study material for students preparing for the CS Executive examination, but will also act as a A valuable reference guide for their future professional journey.

# ABOUT THE AUTHOR

**CS Shivani Miglani** is a highly qualified and dedicated Company Secretary with a passion for teaching.

With a strong academic background in Company Secretaryship, Shivani has excelled in her field, clearing her CS exams at the young age of 19 along with Economics Honours. In addition to her impressive achievement, she also possesses more than 5 years of experience in teaching, having mentored over 5,000 students both online and offline.

Shivani is a firm believer in blended learning and adopts a learner-centric approach to her teaching. She understands that every student is unique and has different learning needs, and therefore aims to cater to those needs by providing a diverse range of teaching methods. With the use of real-life examples and innovative teaching techniques, she seeks to transform traditional pedagogical processes and make learning more accessible and enjoyable for her students.

Throughout her teaching career, Shivani has been committed to providing high-quality education in subjects such as Company Law. Her expertise in these areas has earned her recognition as a trusted and inspiring mentor among students. Her dedication to her students is unwavering, and she strives to create a learning environment that is engaging, interactive, and challenging.

Shivani mam success as a teacher is due to her passion for her subject matter, her commitment to her students, and her ability to adapt to new teaching techniques and technologies. Also, She is the visiting Faculty of ICSI. She believes that education is the key to unlocking the potential of young minds and creating a better future for all. Her mission is to inspire and empower her students to achieve their full potential and to make a positive impact on society.

# ACKNOWLEDGEMENT

We extend our sincere gratitude to the subject experts, illustrators, and content development team whose dedication and insight have shaped the quality and depth of this book. Their contributions have been instrumental in crafting a resource that balances academic rigor with practical clarity. We also thank our proofreaders, reviewers, and publishing professionals for their meticulous attention to detail, ensuring that the final work upholds the highest standards of accuracy, coherence, and accessibility.

A special word of thanks to **Mr. Ritik Kumar (Content Professor)** for going above and beyond in contributing their subject expertise, which has added immense value to this book.

This book is the result of a collaborative effort to empower learners and professionals in their pursuit of legal and compliance excellence. It reflects our shared commitment to supporting aspirants as they navigate complex statutory frameworks with confidence and clarity. May this guide serve as a meaningful step toward your success—not only in examinations and practice, but in shaping a more informed and inclusive legal ecosystem.

# PART II: COMPANY ADMINISTRATION AND MEETINGS (40 MARKS)

# CONTENTS

CHAPTER 12

# GENERAL MEETINGS

**Regulatory Framework**

- The Companies Act, 2013 (Section 96 To 118 & 121)
- The Companies (Management & Administration) Rules, 2014
- SS-2 Secretarial Standard on General Meetings
- SEBI (LODR) Regulations, 2015

## 1. INTRODUCTION

A "meeting" is not defined in the Act nor in SS-2, but is understood in common parlance.

A **meeting** refers to a **gathering of individuals** for the purpose of conducting any **lawful business**.

To constitute a **valid meeting**, **a minimum of two persons** must be present. Hence, even if a shareholder holds **multiple proxies**, a single individual alone **cannot** usually form a valid company meeting.

**Exceptionally**, in certain special situations, **a meeting may be validly constituted by a single person**.

As a company is an **artificial legal person**, it **cannot act on its own**. It functions and expresses its will through **resolutions** passed at **validly conducted meetings**.

The **primary objective** of any meeting is to ensure that the company offers a **fair and reasonable opportunity** to all **eligible participants** to make decisions in accordance with the **prescribed procedures**.

The power to make decisions in a company is shared between the **members** and the **directors**, both of whom exercise their respective authorities by **passing resolutions**.

**General Meetings** of members act as a platform for members to express their views and **participate in the decision-making process** related to the management of the company.

The **Companies Act** requires companies to hold **meetings at prescribed intervals** and outlines the **rules and procedures** to be followed. This requirement highlights the **significance of meetings** in the overall **governance and operation** of a company.

Since a company is an artificial person, all decisions that need to be made in a **General Meeting** must be taken through its **members**, by way of **resolutions passed in valid meetings**.

Meetings of members are commonly referred to as **General Meetings**, and ensuring that these meetings are held **in a valid manner** is of **paramount importance**.

The **Secretarial Standard on General Meetings (SS-2)**, issued by the **Institute of Company Secretaries of India (ICSI)** and **approved by the Central Government**, is required to be **mandatorily followed** by all companies under **Section 118(10)** of the **Companies Act, 2013**.

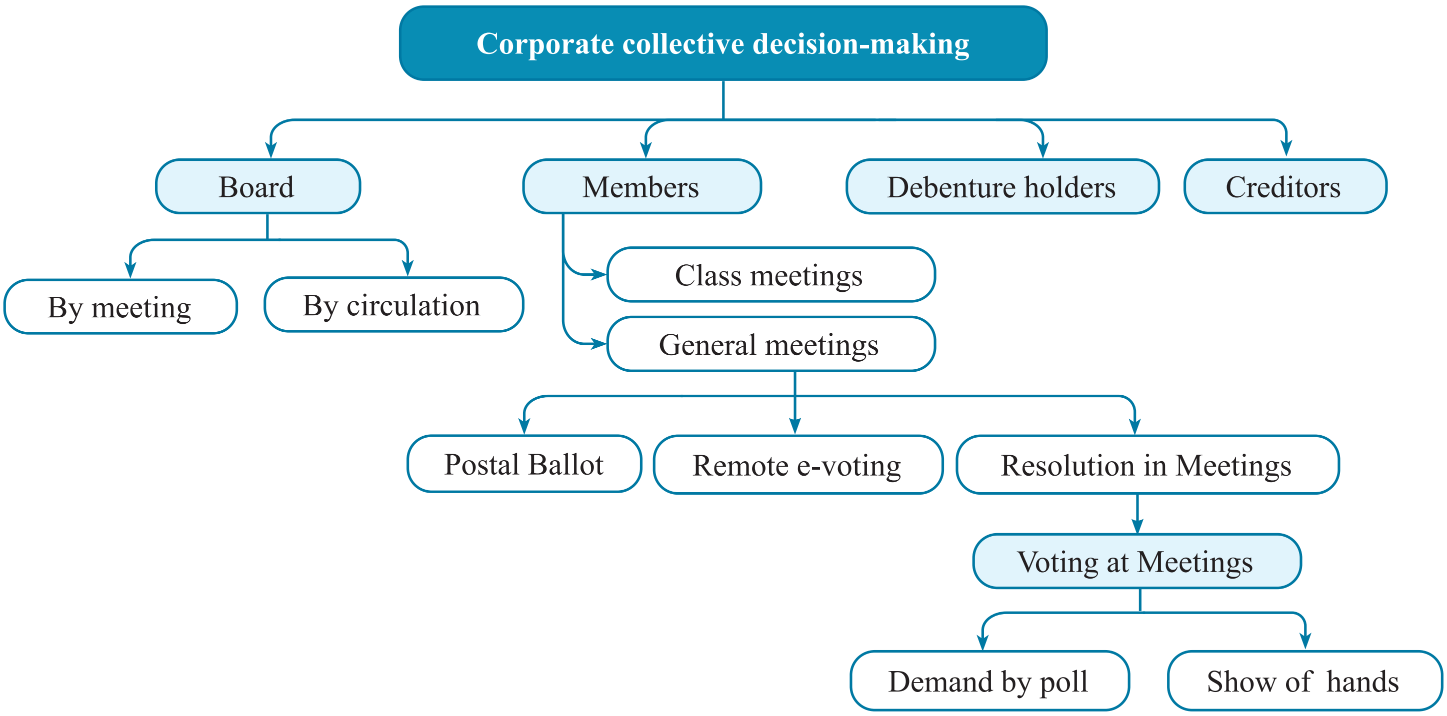
The **main objective** of the Secretarial Standard is to **promote good corporate governance**.

This Standard applies to **all types of General Meetings** of companies incorporated under the Act, **excluding**:

- **One Person Companies (OPCs)**
- Any **class or classes of companies** specifically **exempted** by a **Central Government notification**

The **revised Secretarial Standard (SS-2)** came into effect from **1st October 2017**.

## 1.1 CORPORATE MEETINGS AND COLLECTIVE DECISION MAKING




## 1.2 MEMBERS' MEETINGS

A **company is obligated** to conduct **meetings of its members** in order to obtain their **approval for specified business matters**, as laid down in the **Companies Act, 2013**.

It is **mandatory** for every company to **convene at least one meeting annually**, known as the **Annual General Meeting (AGM)**.

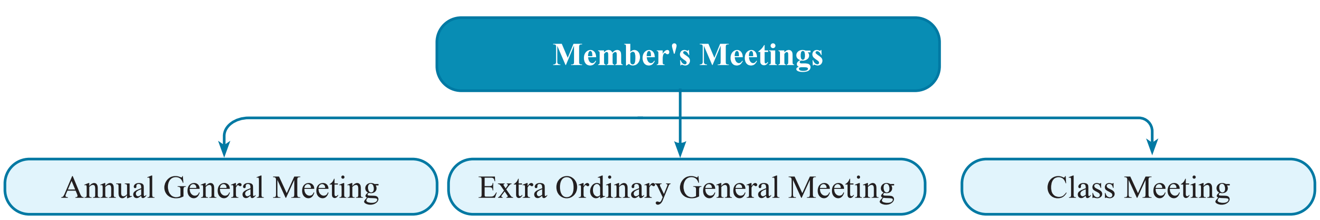
The decision to hold **additional general meetings** is typically at the **discretion of the management**, unless a **specified percentage of shareholders** exercise their right to **demand a meeting**.

The Act promotes principles of **shareholder democracy**, enables **class action suits**, and ensures **protection of investors' interests**, all of which are core elements of the **Companies Act, 2013**.

The **Annual General Meeting (AGM)** is convened **once a year** to deal with **ordinary business items**, such as approval of financial statements, declaration of dividends, and appointment of directors or auditors.

A **meeting convened to transact any matter other than ordinary business** is known as an **Extraordinary General Meeting (EGM)**.

In specific scenarios, a company may be required to conduct a meeting **only for a particular class of members**, referred to as a **Class Meeting**, to address matters that affect that class uniquely.



## 2. ANNUAL GENERAL MEETING (SECTION 96)

The **Annual General Meeting (AGM)** is a **crucial annual event** where **members discuss** the company's performance and affairs.

As per **Section 96 of the Companies Act, 2013**, **every company** (except a **One Person Company (OPC)**) is **required to hold an AGM** every calendar year.

### 2.1 THE AGM ADDRESSES TWO TYPES OF BUSINESS

**Ordinary Business**, which includes:

- Approval of **financial statements** and **consolidated financial statements**
- Review of the **Board's Report** and **Auditor's Report**
- **Declaration of dividend**
- **Appointment/reappointment of directors** who are retiring
- **Appointment/reappointment of auditors** and fixing their **remuneration**

**Special Business**, which includes **any other item** not classified as ordinary business.

> **NOTE:**
>
> According to **Secretarial Standard** (SS-2), the Board must convene the **AGM each year** to transact both ordinary and, if necessary, special business.
>
> If the **Board fails** to convene the **AGM,** any **member** can apply to the **prescribed authority,** which may then direct the company to hold the meeting.

### 2.2 KEY PROVISIONS FOR HOLDING AGM

An **AGM must be held once every calendar year**.

The **first AGM** should be held **within 9 months** of the **end of the first financial year**.

- If held within this period, **no AGM is required in the year of incorporation**.

Every **subsequent AGM** must be conducted:

- **Within 6 months** of the **end of the financial year**
- With a **maximum gap of 15 months** between any two AGMs

### 2.3 ADDITIONAL REQUIREMENTS FOR LISTED COMPANIES

Under **Regulations 44(5) and (6)** of the **SEBI (LODR) Regulations, 2015**:

- The **top 100 listed entities** (by **market capitalization** as of March 31st) must hold their **AGM within 5 months** from the end of the financial year.
- These entities must also provide a **one-way live webcast** of the AGM proceedings.

**Exemption for One Person Company (OPC)**

- An **OPC is exempt** from holding an AGM under **Section 96(1)**.

> **Illustrative Examples:**
>
> - **XYZ Ltd.**, incorporated **on 10th Dec 2018,** ends its first financial year on **31st Mar 2019.**
>   - The **first AGM** must be held by **31st Dec 2019.**
>   - **No AGM is required** in the year 2018.
> - A company incorporated on **10th Apr 2018** has its first financial year ending on **31st Mar 2019.**
>   - **AGM due by 31st Dec 2019.**
>   - Nearly **21 months** may elapse from incorporation to the first AGM.
>   - **No AGM required in 2018.**

## 2.4 EXTENSION OF AGM VALIDITY

The **Registrar of Companies (RoC)** may, for **special reasons**, grant an **extension of up to 3 months** for holding an AGM.

**Note:** This **extension is not available** for the **first AGM**.

## 2.5 LEGAL INSIGHT: GAP BETWEEN TWO AGMS

As per **Section 96(1)**, the **maximum gap between two AGMs** must **not exceed 15 months**.

Under the **third proviso** to this section, the **Registrar** may allow a **maximum 3-month extension**, excluding the first AGM.

## 2.6 TIMING AND VENUE OF AGM

**The AGM must be held:**

- **Between 9:00 a.m. and 6:00 p.m.**
- On a **non-National Holiday**

**Venue:**

- At the company's **registered office** or **within the city, town, or village** where the registered office is located.

***The Central Government may exempt companies from these conditions, subject to specified terms.***

**Definition of "National Holiday" under SS-2**

**Includes:**

- **26th January** – Republic Day
- **15th August** – Independence Day
- **2nd October** – Gandhi Jayanti
- **Any other day** declared as a National Holiday by the Central Government

## 2.7 TIMING AND VENUE OF AGM IN SPECIAL CLASES

**Unlisted companies** can hold AGMs **anywhere in India**, provided **all members give prior written or electronic consent**.

**Government Companies:**

- AGM should be held at the **registered office** or **within the same city/town/village**, or **elsewhere with Central Government approval**.
- **No approval is needed** if held in the same city/town/village.

**Section 8 Companies:**

- The **Board determines** the **time, date, and place** of the AGM, in accordance with any **directions given by members** in a general meeting.

**As per Section 102(2)(a)** of the Companies Act, **all businesses transacted at an Annual General Meeting (AGM)** are treated as **special business**, **except the following four**, which are classified as **ordinary business**:

(i) **Consideration of financial statements**, including consolidated financial statements, along with the reports of the **Board of Directors** and **Auditors**.

(ii) **Declaration of any dividend**.

(iii) **Appointment of directors** in place of those retiring by rotation.

(iv) **Appointment and remuneration of auditors**.

- All **other business items** transacted at the AGM, apart from the above, are considered **special business**.
- For **ordinary business**, there is **no requirement** to attach an **Explanatory Statement** to the notice of the meeting.

- For **special business**, an **Explanatory Statement** must be attached to the **notice** under **Section 102**.
- If a **promoter, director, manager, or KMP** fails to disclose or provides **insufficient information** in the explanatory statement and thereby **derives any benefit**, such benefit is deemed to be **held in trust for the company,** and the concerned person is required to **compensate the company** accordingly.

**Relevant Case Laws:**

- **Sulochana Gupta v. RBG Enterprises (P.) Ltd. (2021) –**

  Directors who failed to **hold AGMs from 2015-16 to 2018-19** were held liable and subjected to **penalty** by the **NCLT Kochi Bench** for non-compliance with **Section 96.**
- **Ramprasad Dalmia v. Board of Directors (2017) –**

  The **Chandigarh NCLT Bench** held that **non-compliance with AGM provisions** amounted to **oppression and mismanagement.**
- **NCLT Bengaluru Bench (2016) –**

  In a case involving a **server crash,** which delayed the finalization of accounts and AGM, the **Tribunal directed** the company and its directors to **pay compounding fees** for non-compliance.

## 2.8 PENALTY FOR DEFAULT IN HOLDING AGM (SECTION 99)

In case of default in holding an AGM:

- The **company and every defaulting officer** shall be punishable with a **fine of up to ₹1,00,000**.
- In case of **continuing default**, an additional fine of **₹5,000 per day** may be imposed for each day the default continues.

## 2.9 RIGHT OF MEMBER OF SEEK AGM (SECTION 97)

If a company **fails to hold an AGM**, **any member** may apply to the **Tribunal (NCLT)** to **direct the calling of the AGM**.

The Tribunal may also provide **ancillary directions**, including permitting that **a single member present** (either in person or proxy) shall be **deemed to constitute the meeting**.

## 2.10 DISCLOSURE REQUIREMENT FOR LISTED ENTITIES

As per **Regulation 30 of SEBI (LODR) Regulations, 2015**, every **listed entity** must **disclose proceedings** of the **AGM or EGM** to the **Stock Exchange** where its securities are listed, **within 24 hours** of the event.

## 2.11 ESSENTIALS OF A VALID GENERAL MEETING

**A meeting is deemed valid only when the following three conditions are satisfied:**

(a) Properly Convened:

- The meeting must be:
  - **Called by the proper authority**
  - **Notice must be issued** as per **Sections 101 and 102**

**Case Law:**

**Ganesh Commercial Co. Ltd. v. Arun Kumar Mohata (2013) –**

The **Calcutta High Court** held that **notice served by hand, under certificate of posting,** or **by publication in newspaper** is considered a **valid service.**

(b) Properly Constituted:

- Must ensure:
  - **Quorum** is present as per **Section 103**
  - A **Chairman** is appointed under **Section 104**

(c) Properly Conducted:

- Business must be:
  - **Duly transacted**, with resolutions properly **moved and passed**
  - Voting carried out by:

  **(a) Show of hands**

  **(b) Poll**

  **(c) Or Electronic means**, before and/or during the meeting

***Minutes of the meeting must be prepared and maintained as per Section 118***

## 3. EXTRA-ORDINARY GENERAL MEETING EGM (SECTION 100)

Certain **business matters** of a company require **members' approval**, which may not always wait for the next **Annual General Meeting (AGM)**.

The **Articles of Association (AoA)** usually provide for convening **general meetings other than AGMs**, referred to as **Extra-Ordinary General Meetings (EGMs)**.

As per **Secretarial Standard SS-2**, **all items of business** transacted at an EGM are considered **special business** and may also be conducted through **postal ballot** if deemed appropriate by the **Board**.

### 3.1 MODES OF CALLING AN EGM

**By the Board Suo Motu [Section 100(1)]**

- The **Board of Directors** may convene an EGM **whenever it deems fit**.
- The EGM can be held at **any place in India**.
- If the company is a **wholly-owned subsidiary of a foreign company**, the **EGM may be held outside India**.

**By the Board on Requisition of Members [Section 100(2)]**

- **The Board must call an EGM if a requisition is made by:**
  - In a company having **share capital**, **Members holding at least 10% of the paid-up share capital** with **voting rights**.
  - In a company **without share capital**, **Members holding at least 10% of the total voting power**.
- **The requisition must:**
  - Clearly state the **matters to be considered**.
  - Be **signed by the requisitionists**.
  - Be **sent to the registered office** of the company.
- **Time Limit**:
  - The Board must act within **21 days** of receiving a valid requisition.
  - The EGM must be held within **45 days** of the date of receipt.

**Case Law:**

In **Invesco Developing Markets Fund v. Zee Entertainment Enterprises Ltd. (2022),** the **Bombay High Court** held that **no Court or Tribunal** can restrain the holding of an EGM **if requisition requirements are fulfilled.**

**By the Requisitionists Themselves [Section 100(4)]**

- If the Board fails to call the meeting within the prescribed period:
  - **Requisitionists may call and hold the EGM themselves** within **3 months** from the date of requisition.
  - Such requisition **must not relate to any item required to be transacted mandatorily by postal ballot**.
- Requisition must be submitted:
  - **In writing** or through **electronic mode**.
  - At least **21 clear days prior** to the proposed date of the EGM.
- **The company must reimburse reasonable expenses** incurred by requisitionists in calling the meeting.
  - These expenses can be **recovered from the remuneration** payable to **defaulting directors** under **Section 197**.
- If a **quorum is not present within 30 minutes**, the EGM called by requisitionists shall **stand cancelled**. [Section 103(2)(b)]

**Case Law:**

In **Zee Entertainment Enterprises Ltd. v. Invesco Developing Markets Fund (2021), NCLAT New Delhi** held that **reasonable time must be allowed** to respond to a petition seeking the calling of an EGM

## 3.2 NOTICE FOR REQUISITIONED EGM

**The notice must:**

- State the **place, date, time, and agenda** of the meeting.
- Be issued at least **21 days before the meeting**.
- Be delivered via **registered post, speed post, or electronic mode.**

**Venue:**

- Meetings must be held at the **registered office** or within the **same city, town, or village**.

If the resolution is to be passed as a **special resolution**, the notice must comply with **Section 114(2)**.

**The notice must be:**

  - **Signed by all requisitionists**, or
  - Signed by one **authorized requisitionist**, or
  - Sent electronically with a **scanned, signed copy** of the requisition.
- For EGMs **convened by requisitionists**, **no explanatory statement** is required under **Section 102**, though they **may disclose reasons** for the proposed resolutions.
- The company must send the **notice of meeting within 3 days** of receiving the valid requisition.
- If the company **fails to convene the meeting**, requisitionists are entitled to receive:
  - A **list of members**, their **registered addresses**, and **shareholding** as of the **21st day** from the receipt of the requisition.
  - Any changes in this list must be provided **before the expiry of 45 days** from requisition receipt.
- **Accidental omission or non-receipt** of the notice by any member **does not invalidate** the meeting.

## 3.3 POWER OF TRIBUNAL TO CALL MEETING OF MEMBERS

As per **Section 98 of the Companies Act, 2013**, if it becomes **impracticable to call, hold, or conduct** a meeting of the company (excluding the Annual General Meeting), the **Tribunal** has the power to intervene.

**The Tribunal may act:**

- **Suo motu** (on its own) or
- Upon an **application** made by any **director** or **member** who is **entitled to vote** at the meeting.

**The Tribunal may:**

- **Order** that a meeting be **called, held, and conducted** in a manner it deems appropriate.
- Issue **ancillary or consequential directions** which it considers necessary for the proper conduct of the meeting.

**These directions may include:**

- **Modification or supplementation** of the provisions of the Companies Act, 2013, or the company's **Articles of Association**, specifically in relation to the **calling, holding, and conducting** of the meeting.
- An instruction that **even one member**, either **in person or by proxy**, shall be **considered sufficient** to constitute a valid meeting.

***A meeting held as per such Tribunal order shall be regarded as a duly convened and valid meeting of the company.***

## 4. CLASS MEETINGS

- Meetings of company members are broadly classified into **General Meetings** and **Class Meetings**.
- **Class Meetings** are held specifically for **shareholders holding a particular class of shares**, to pass resolutions that will bind **only that class of members**.
- Only the **concerned class of shareholders** is entitled to **attend and vote** at such meetings.
- The **voting procedures** at class meetings generally **mirror those of general meetings**.
- These meetings must be **convened whenever there is a proposal to alter the rights or privileges** associated with a specific class of shares, as per the company's **Articles of Association**.
- Any such change must be:
  - **Approved in a separate meeting** of the holders of that class; and
  - Supported by a **special resolution**.
- Under **Section 48** of the Companies Act, 2013 (Variation of Shareholders' Rights), class meetings must be held when **rights attached to specific shares are proposed to be varied**.
- Under **Section 232** (Merger and Amalgamation), when a **scheme of arrangement** is proposed, **meetings of different classes of shareholders and creditors** are required.
- As per **Section 92(1)(f)**, details of **class meetings** must be disclosed in the **Annual Return**.
- The provisions applicable to **general meetings apply mutatis mutandis** (with necessary modifications) to **class meetings**.

## 5. MEETINGS OF DEBENTURE HOLDERS, CREDITORS, ETC.

- Such meetings are conducted to **pass resolutions** that bind the **debenture holders** or **creditors**.
- These parties are allowed to **attend, speak, and vote** at these meetings.
- Provisions of **general meetings** apply **mutatis mutandis** to these meetings as well.
- Members of a company can exercise power and bind the company **only when acting collectively** in a validly convened meeting—not individually.

## 6. ADJOURNED MEETING

If a **quorum is not present within 30 minutes** of the scheduled start time, the meeting shall be **adjourned** to:

- The **same day of the next week**, at the same time and place, or
- **Another day/time/place** as determined by the **Board**.

**Notice for Adjourned Meeting**:

- If adjourned to the **same day in the following week**, or another date not being a **National Holiday**, the company must give **at least 3 days' notice** to members.
- Notice may be served:
  - **Individually to members**; or
  - Via advertisement in **two newspapers**:
    - (i) One in **English**, and
    - (ii) In the **vernacular language**, both widely circulated, is the **registered office**.

**No Quorum in Adjourned Meeting**:

- If a quorum is still lacking after 30 minutes in the adjourned meeting, the **members present**, being **at least two**, shall **constitute a valid quorum**.

### 6.1 PROCEDURE FOR HOLDING ADJOURNED MEETING (SS-2 GUIDELINES)

As per **Para 15.1 of SS-2**:

- A meeting should not be adjourned unless **genuinely required**.
- The **Chairman** may adjourn a meeting:
  - (i) With the **consent of members** when a quorum is present, or
  - (ii) **Mandatorily**, if directed by the members.
  - (iii) A meeting may also be adjourned in case of **disorder** or when **proceedings cannot continue** effectively.
- **Para 15.2**: If adjourned **sine die** (indefinitely) or for **30 days or more**, **fresh notice** must be issued as per regular notice provisions.
- **Para 15.3**: If adjourned for **less than 30 days**, a **minimum 3-day notice** must be given:
  - Either **personally to members**, or
  - Via advertisement in:
    - One **vernacular newspaper**, and
    - One **English newspaper** both widely circulated in the district of the company's registered office.
- **Para 15.4**: If a **non-AGM or requisitioned meeting** is adjourned due to lack of quorum, the adjourned meeting should be held:
  - On the **same day of the next week**,
  - At the **same or other time/place**, as determined by the Board.

### 6.2 RESOLUTION PASSED AT ADJOURNED MEETINGS

**Under Section 116:**

- Any resolution passed at an adjourned meeting—whether of the company, a class of shareholders, or the Board—shall be deemed **passed on the actual date** it was passed, **not an earlier date**.

**Para 15.6 of SS-2**:

- Only the **unfinished business** from the original meeting shall be considered in the adjourned meeting.
- Resolutions passed shall be considered passed **on the date of the adjourned meeting**.

## 7. TYPES OF RESOLUTIONS

**Resolutions**

**Ordinary Resolution**

Votes in favour of resolution including the casting vote shall exceed the votes cast against the resolution.

**Special Resolution**

- When there is an intention to propose the resolution as special resolution the notice of the meeting should contain the same.
- The votes cast in favour of the special resolution shall not be less than 3 times the number of votes cast against the resolution.
- Form MGT. 14 to be filed along with explanatory statement.

**Resolution Requiring Special Notice**

- Passed only if required by the provisions of Companies Act 2013 or the Articles of the Company
- Notice to move the resolution shall be given to company.
- Special notice to be sent by members to the company not earlier than 3 months but 14 days before the meeting.
- The company on receiving the notice shall give notice to the member's atleast 7 days before the meeting

### 7.1 ORDINARY RESOLUTION

**A resolution is considered Ordinary when:**

- **Due notice** has been served under the Act.
- It is **passed by a simple majority**—i.e., the **votes in favour** (whether by show of hands, electronic means, poll, or postal ballot) **exceed the votes against**.
- The **Chairman's casting vote**, if used, is included.
- Only the votes of members who are **entitled and voting** are counted.
- Members who **abstain or are not permitted to vote** are **excluded** from the count.
  - **Ordinary Resolutions** are required where the Act or Articles specify that an act is to be done **by the company in a general meeting**, without mentioning the nature of the resolution.
  - The **notice** for such a resolution can be issued either by the **company** or the **member proposing it**.

**Common examples** of business transacted through **Ordinary Resolutions** include:

(i) **Appointment of Auditors**

(ii) **Declaration of Dividend**

(iii) **Adoption of financial statements**, including **Board and Auditor's Reports**

(iv) **Appointment of directors** in place of those retiring

### 7.2 SPECIAL RESOLUTION

**A resolution is termed Special when:**

- The **intention to propose it as a special resolution** is clearly mentioned in the **notice** or other communication.
- **Due notice** under the Act is given.
- The **votes in favour** are **at least three times** the number of votes **cast against** it, by members **entitled and voting**, either in person, proxy, or by postal ballot.

- If the **notice** for a meeting involving **special business** does not mention the nature of the resolution, the **meeting is irregular**, and the **business cannot be transacted**.
- Like ordinary resolutions, the method of voting includes a **show of hands, electronic voting, a poll, or a postal ballot**.
- Only the **votes of members entitled and vote** are to be counted. Those who **abstain or are disqualified** from voting are **not considered**.
- The **notice** can be given either by the **company** or the **member proposing the resolution**.

**Examples** of matters requiring a **Special Resolution**:

- **Change in the company's name**
- **Alteration of Articles of Association**
- **Conversion of a private company into a public company**, or vice versa

## 7.3 RESOLUTIONS REQUIRING SPECIAL NOTICE (SECTION 115)

Under **Section 115**, if the Act or the **Articles of Association** require **special notice** for a resolution, it must be given by:

- Members holding **at least 1% of total voting power**, or
- Members holding shares with an **aggregate paid-up sum not exceeding ₹5,00,000**
  - The **company must notify its members** of such a resolution in a **prescribed manner** under the relevant Rules.
  - **Matters requiring Special Notice include:**
  - Appointment of an **auditor other than the retiring auditor** at the AGM or a resolution **not to reappoint the retiring auditor – [Section 140(4)]**
  - **Removal of a director** before expiry of his term and **appointment of another in his place – [Section 169(2)]**

## 7.4 PROCEDURE FOR SPECIAL NOTICE (RULE 23, COMPANIES (MANAGEMENT AND ADMINISTRATION) RULES, 2014)

**Signing of Special Notice**:

Must be signed individually or collectively by members holding:

- Not less than **1% of the total voting power**, or
- Shares with an **aggregate paid-up value of at least ₹5,00,000**

**Sending of Notice to Company**:

- Notice must be sent **not earlier than 3 months** and **at least 14 days** before the meeting.
- The **date of the notice** and the **date of the meeting** are **excluded** from the 14-day count.

**Company's Obligation on Receipt**:

- Upon receiving such notice, the company must inform its members of the resolution **at least 7 days before** the meeting, excluding the day of dispatch and the day of the meeting.

**Publication of Notice**:

If it's not feasible to serve notice in the usual manner, the company must:

- **Publish it** in an **English newspaper** (in English) and a **vernacular newspaper** (in the regional language) with **wide circulation** in the state of the registered office.
- **Post the notice** on the **company's website**, if any.
- Publication must be made **at least 7 days before** the meeting, excluding the day of publication and the day of the meeting.

## 8. NOTICE OF MEETING (SECTION 101)

The Notice should be in writing, though no form has been prescribed for this purpose. Oral intimation that it is proposed to have a General Meeting is not a Notice at all, and consequently, if any Meeting is held, it will be invalid.

### 8.1 LENGTH OF NOTICE OF MEETING

A general meeting of a company may be called by giving not less than 21 clear days' notice either in writing or through electronic means. Notice through electronic mode shall be given in such manner as may be prescribed.

***In case of section 8 companies, 14 days' clear notice is required instead of 21 days.***

The expression "twenty-one clear days", means that the date of service of Notice and the date of the Meeting are to be excluded when calculating the period of twenty-one days ***[N.V.R. Naggappa Chettair v. Madras Race Club (1949) 19 Comp. Cas. 175 (Mad)].***

Further, fractions of days are not to be taken into account i.e. part of the day after the hour at which the Notice is posted cannot be combined with the part of the day before the Meeting commences, to form one day. Each of these days should be a full or a calendar day ***[Bharat Kumar Dilwali v. Bharat Carbon & Ribbon Mfg. Co. Ltd. (1973) 43 Comp. Cas. 197 (Del)]***. Intervening holidays are counted within the period of Notice.

Where a notice of a general meeting is sent by post, it shall be deemed to be served at the expiration of **48 hours after the letter containing the same is posted** (Rule 35(6) of the Companies (Incorporation) Rules, 2014).

Each of the **21 days must be a complete day**. The day on which the notice is deemed to be served on the member, and the day of the general meeting, have to be in addition to the 21 days.

In case a **valid special notice** under the Act has been received from member(s), the company shall give **Notice of the Resolution** to all its members at least **seven days before the meeting**, exclusive of the day of dispatch of Notice and the day of the meeting, in the same manner as a notice of any general meeting is to be given.

Where this is not practicable, the Notice shall be **published in a vernacular newspaper** in the principal vernacular language of the district in which the registered office of the company is situated, and in an **English newspaper in English language**, both having a wide circulation in that district, at least seven days before the meeting, exclusive of the day of publication of the Notice and the day of the meeting.

***In case of companies having a website, such Notice shall also be hosted on the website.***

**Illustration:**

**Question:** ABC Ltd. issued a notice on 1st August, 2020 to hold its AGM on 24th August, 2020. Check the validity of the notice referring to the provisions of the relevant act, in case it is sent by post.

**Answer:** Date of holding AGM: 24th August, 2020; Date of dispatch of notice: 1st August, 2020; Days to be excluded:

- Day of holding AGM i.e 24th August, 2020.
- Day of dispatch of notice i.e. 1st August, 2020.
- 2 additional days for service of notice i.e 2nd & 3rd August, 2020 (SS-2 Para 1.2.6) Number of days' notice given: 20 days. Number of days' notice required under section 101 of the Act is 21 days.

Therefore, it is not a case of valid notice. However, shortfall of 1 day can be condoned if consent is given for such shorter notice by at least 95% of the members entitled to vote at such AGM

*Service of notice of AGM by hand, under certificate of posting, and by publication in newspapers is considered as deemed service of notice****. [Held in the case of Ganesh Commercial Co. Ltd. v. Arun Kumar Mohata (2013) by the High Court of Calcutta]***

## 8.2 SHORTER NOTICE

A general meeting may be called after giving a shorter notice if consent is given in writing or by electronic mode by ***not less than 95% of the members*** entitled to vote at such meeting.

***A general meeting may be called after giving shorter notice if consent, in writing or by electronic mode, is accorded thereto:***

1. **In the case of an Annual General Meeting (AGM):**

   – By not less than 95% of the members entitled to vote thereat.

2. **In the case of any other General Meeting:**

   (a) Where the ***company has a share capital*** – by members holding a majority in number of members entitled to vote and representing ***not less than 95% of such part of the paid-up share capital of the company*** as gives a right to vote at the meeting; or

   (b) Where the ***company has no share capital***, by ***members having not less than 95% of the total voting power*** exercisable at that meeting.

Where any member of a company is entitled to vote only on some resolutions to be moved at a meeting and not on the others, those members shall be taken into account in respect of the former resolution(s) and not in respect of the latter.

## 8.3 SECRETARIAL STANDARD (SS-2) ON SHORTER NOTICE

- Para 1.2.7 of SS-2 provides that notice and accompanying documents may be given at a shorter period of time if consent in writing is given, by physical or electronic means, ***by not less than 95% of the members entitled to vote at such meeting***.
- The request for consent to shorter notice and the accompanying documents shall be sent together with the notice.
- The meeting shall be held only if such consent is received prior to the time fixed for the meeting from not less than 95% of the members entitled to vote at such meeting.

## 8.4 CONTENTS OF NOTICE

***Section 101(2):*** Every notice of a meeting shall specify the place, date, day, and hour of the meeting and shall contain a statement of the business to be transacted at such meeting.

1. **Place of Meeting (Section 96)**
   - The notice should state the place where the general meeting is scheduled to be held.
   - In case of an Annual General Meeting (AGM):
     - The place has to be either the registered office of the company or some other place within the city, town, or village in which the registered office is situated.
   - ***Notice shall also contain complete particulars of the venue, route map, and landmark for easy location, except in the case of:***

     (i) A company in which only its directors and their relatives are members;

     (ii) A wholly owned subsidiary.

2. **Day of Meeting (Section 96)**
   - ***The day and date of the meeting must be clearly stated.***
   - ***An AGM and a meeting called by requisitionists shall not be held on a National Holiday.***

3. **Time of Meeting [Section 96(2)]**
   - The exact time of the meeting should be stated in the notice.
   - ***An AGM and a meeting called by requisitionists can be held only during business hours (9:00 a.m. – 6:00 p.m.).***

- There is no restriction on timing in case of an Extraordinary General Meeting (EGM).
- For a Section 8 Company, the time, date, and place of each AGM are decided in advance by the directors, subject to directions of the company in a general meeting.

4. **Agenda (Section 102)**
   - ***The notice must contain a statement of the business to be transacted.***
   - ***In case of special business, an explanatory statement should be attached giving details about such an item.***
5. **Proxy Claus (Section 105(2))**
   - Every notice calling a meeting of a company with share capital, or whose articles provide for proxy voting, must state with reasonable prominence:
     - ***A member entitled to attend and vote is entitled to appoint a proxy*** (one or more) to attend and vote instead of himself.
     - A ***proxy need not be a member.***
   - **SEBI (LODR) Regulation 44(4):** Listed entities shall send proxy forms to security holders mentioning that a holder may vote for or against each resolution.

## 8.5 NOTICE OF THE MEETING (RULE 18 OF COMPANIES (MANAGEMENT AND ADMINISTRATION) RULES, 2014)

- **Mode of Service in Electronic Form:**
  (i) A company may give notice through electronic mode via its authorized and secure computer program capable of producing confirmation and keeping records.
  (ii) A notice may be sent by e-mail as:
  (iii) The e-mail shall be addressed to the person entitled, as per the company records or depository.
  (iv) Companies must maintain proof of sending, including confirmations and re-sent notices.
  (v) Notice of the general meeting shall also be placed on the company's website (if any) and any other website notified by the Central Government.

## 8.6 SECRETARIAL STANDARD (SS-2) ON ISSUANCE OF NOTICE

**Para 1.2.2 of SS-2: Notice may be sent by –**

- Hand delivery, ordinary post, speed post, registered post, courier, facsimile, e-mail, or any electronic means.
- Notice shall be sent by registered post/speed post/courier/e-mail (not ordinary post) in the following cases:
  (a) Where the company provides a facility of e-voting.
  (b) Where the item of business is to be transacted through a postal ballot.
- If a member requests delivery of notice by another mode, he shall pay fees as determined by the company in the AGM.
- Notice shall be sent by registered post/speed post/e-mail if the meeting is called by the requisitionists themselves (where the Board fails to act).

## 8.7 PERSONS ENTITLED TO RECEIVE NOTICE

***Section 101(3): Notice of every meeting of the company must be given to:***

(a) Every member of the company, legal representative of any deceased member, or the assignee of an insolvent member;
(b) The auditor or auditors of the company; and
(c) Every director of the company.

***A private company, which is not a subsidiary of a public company, may prescribe by its Articles the persons to whom the notice should be given.***

**Special Considerations under the Act:**

- Not all members are always entitled to receive notice. For instance, Articles may provide that preference shareholders shall not receive notice or vote at general meetings, except in certain cases.
- Section 47(2): A statutory obligation exists to send notice to preference shareholders when their dividend is in arrears for a specified period, as they are then entitled to attend and vote.

**Section 101(4): Non-receipt of notice or accidental omission to send notice to any member shall not invalidate the proceedings.**

***However, omission on the mistaken ground that a person is not a shareholder is not accidental.***

### 8.8 NOTICE TO DIRECTORS, AUDITORS & OTHER PERSONS (SS-2, PARA 1.2.1)

***Notice in writing of every meeting shall be given to:***

- Members of the company
- Directors
- Auditors
- Secretarial Auditor
- Debenture Trustees (if any)
- Other specified persons, wherever applicable

***Additionally, Courts may direct the issuance of notice to:***

- Court-appointed Chairman
- Observers
- Persons whose entitlement is under challenge

### 8.9 MODE OF ADDRESSING NOTICE

- Members: Sent to the address registered with the company or depository.
- Joint Holders: Sent to the first holder as per records.
- Other Entitled Persons: Sent to the address provided by them.

### 8.10 NOTICE IN CASE OF DEATH, INSOLVENCY OR WINDING UP (SS-2, PARA 1.2.1)

**On the death of a member:**

(a) If securities are held singly, to the nominee.

(b) If held jointly, to the surviving first joint holder.

(c) If all joint holders die, to the nominee appointed by them.

(d) In the absence of a nominee, to the legal representative.

On the insolvency of a member, to the assignee of the insolvent member.

If the member is a company under winding up, to the liquidator.

## 9. STATEMENT TO BE ANNEXED TO NOTICE – EXPLANATORY STATEMENT (SECTION 102)

**Section 102 requires** that a statement detailing the material facts of the businesses to be transacted as special business be annexed to the notice of the general meeting.

Ordinary business does not require such a statement, except where auditors or directors to be appointed are other than the retiring ones.

## 9.1 SECRETARIAL STANDARD ON ANNEXURE TO NOTICE OF GENERAL MEETING

Para 1.2.5 of SS-2 requires that notice shall clearly specify the nature of the Meeting and the business to be transacted thereat.

(a) **In case of Special Business:**

- Each such item shall be in the form of a resolution.
- It shall be accompanied by an explanatory statement setting out all facts necessary for members to understand the meaning, scope, and implications of the item of business and to make a decision.

(b) **In case of Ordinary Business:**

- Resolutions are not required to be stated in the notice except where the auditors or directors to be appointed are other than the retiring auditors or directors.

## 9.2 CONTENTS OF EXPLANATORY STATEMENT

**For special business items to be transacted at a general meeting, a statement setting out the following material facts shall be annexed to the notice:**

**1.** Nature of concern or interest (financial or otherwise), if any, in respect of each item of:
   - Every director and the manager, if any.
   - Every other key managerial personnel and their relatives.

**2.** Other information and facts to enable members to understand the meaning, scope, and implications of the business and to make a decision.

**3.** Classification of Business:
   - In an Annual General Meeting (AGM), all business shall be deemed special, *other than:*
     (a) Consideration of financial statements and reports of the Board and auditors.
     (b) Declaration of dividend.
     (c) Appointment of directors in place of those retiring.
     (d) Appointment of, and fixing the remuneration of, auditors.
   - In any other general meeting, all business shall be deemed special.

**4.** Where business relates to another company:
   - The extent of shareholding interest in that other company of every promoter, director, manager, if any, and every other key managerial personnel of the first-mentioned company shall also be disclosed, if such shareholding is not less than 2% of the paid-up share capital of that company.

**5.** Reference to documents:
   - Where any item of business refers to a document, the time and place of inspection of such document shall be specified in the explanatory statement.

**Penalty for Default:**

- **If any default is made in complying with Section 102:**
  - Every promoter, director, manager, or other key managerial personnel of the company who is in default shall be liable to a penalty of **₹50,000 or five times the amount of benefit accruing, *whichever is higher.***

**SEBI (LODR) Regulations, 2015**

- ***Regulation 17(11)*** provides that the statement annexed to the notice under Section 102 shall also clearly set forth the recommendation of the Board to the shareholders on each item of special business.

## 10. QUORUM FOR MEETINGS (SECTION-103)

Quorum refers to the minimum number of members required to constitute a valid meeting.

***Section 103 specifies the minimum quorum*** for various categories of companies. However, the Articles of Association may provide for a higher number.

**Public Company**

- 5 members personally present if the number of members as on the date of meeting is not more than 1000
- 15 members personally present if the number of members as on the date of meeting is more than 1000 but up to 5000
- 30 members personally present if the number of members as on the date of the meeting exceeds 5000

**Private Company**

- 2 members personally present, shall be the quorum for a meeting of the company

### 10.1 SECRETARIAL STANDARD ON QUORUM (SS-2)

- Para 3.1 of SS-2: Quorum must be present not only at the commencement of the meeting but also throughout the transaction of business.
- If the Articles provide for a higher quorum than the Act, the higher requirement shall prevail.
- Members must be personally present to constitute a quorum.
- Proxies are excluded for quorum purposes.

**Illustration:**

- Suppose a company has 500 Members and the Articles fix quorum at 100 Members present.
- Later, 450 Members transfer their shares to some of the remaining 50 Members.
- In this case, the meeting will be valid if all 50 Members are present in person.
- If less than 50 Members are present, quorum will not be complete.

### 10.2 AUTHORIZED REPRESENTATIVES

***Para 3.2 of SS-2:***

- A duly authorized representative of a body corporate, or the representative of the President of India or the Governor of a State, is deemed to be personally present.
- One individual may represent more than one body corporate, and in such a case, he is counted as more than one member present.
- However, at least two individuals must be present in person to constitute a meeting.

**Example:**

- In a public company with ≤1000 members, quorum required = 5 members.
- If one person represents five body corporates, quorum is not complete unless one more member is present.

**Judicial Position:**

- A single member present cannot constitute a meeting.
- Judicial decisions affirming this principle include:
  - Sharp v. Dawes (1876) 2 QBD 26 (CA)
  - Awadhoot v. State of Maharashtra AIR 1978 Bom 28
- **Proxies excluded:** Representatives under Section 112 (President/Governor) or Section 113 (body corporate) are considered personally present [Re Kelantan Coconut Estate Ltd., 1920 W.N. 274].
- A person representing multiple bodies corporate is expected to act as per instructions of each principal. Hence, his presence counts as multiple members for quorum [Maclead (Neil) & Sons Ltd., Petitioners, 1967 Scottish Law Times 46].

**Exceptions where a one-member meeting is valid:**

1. Where one person holds all shares of a class, he may constitute a class meeting.
2. Where a default is made in holding an AGM under Section 96, the Tribunal may order that one member present (in person or proxy) shall constitute a quorum [**Section 97(1) Proviso].**
3. Where it is impracticable to call a meeting, the Tribunal may direct that one member present (in person or proxy) shall constitute a quorum **[Section 98(1) Proviso].**

### 10.3 CONSEQUENCES OF NO QUORUM

***If a quorum is not present within 30 minutes of the scheduled time:***

(a) The meeting shall be adjourned to the same day in the next week, at the same time and place, or at such other date, time, and place as the Board decides.

(b) If the meeting was called by requisitionists under Section 100, it shall stand cancelled.

## 11.CHAIRMAN OF MEETINGS (SECTION 104)

- Unless the Articles of Association provide otherwise, the members personally present at a meeting shall elect one of themselves as Chairman on a show of hands.
- If a poll is demanded on the election of Chairman, it must be taken forthwith in accordance with the Act.
- The Chairman elected on a show of hands shall continue as Chairman until another person is elected as a result of the poll. The newly elected person shall then act as Chairman for the rest of the meeting.

### 11.1 SECRETARIAL STANDARD ON APPOINTMENT AND ROLE OF CHAIRMAN (SS-2, PARA 5)

The Chairman of the Board shall ordinarily preside and conduct the meeting.

If the Chairman is not present ***within 15 minutes***, or is unwilling to act, or if no Director is designated, then:

(a) The Directors present shall elect one of themselves as Chairman.

(b) If no Director is present within 15 minutes, or if none is willing, the Members present shall elect one of themselves as Chairman on a show of hands (unless Articles provide otherwise).

- **If a poll is demanded on the election of the Chairman:**
  - It shall be taken immediately.
  - The Chairman elected on a show of hands shall continue until another person is elected through a poll.
  - The newly elected person will preside for the remaining part of the meeting.

### 11.2 DUTIES AND RESPONSIBILITIES OF CHAIRMAN

- Ensure that the meeting is duly constituted in compliance with the Act, Articles, and other applicable laws before transacting business.
- Conduct the meeting in a fair and impartial manner.
- Ensure that only business set out in the Notice is transacted.
- Regulate the voting process in line with the Act.
- Para 5.2 of SS-2: The Chairman must explain the objective and implications of every resolution before putting it to a vote.
- Provide a fair opportunity to members to seek clarifications or offer comments, and address them appropriately.

### 11.3 RESTRICTIONS ON CHAIRMAN'S ROLE (SS-2, PARA 5.3)

- In the case of public companies, the Chairman shall not propose or conduct proceedings on any resolution in which he is deemed to be concerned or interested.
- ***If interested in any item of business, the Chairman must:***
  (*a*) Entrust the conduct of that item to a disinterested Director or a Member (with consent of members present).
  (*b*) Resume the chair after completion of that business.

### 11.4 ADDITIONAL DUTIES (SS-2, PARA 4)

- **Absence of Directors:** If any Director is unable to attend, the Chairman must explain such absence at the meeting (Para 4.1.1).
- **Seating arrangement:** Directors present and the Company Secretary must be seated with the Chairman. The Company Secretary shall assist the Chairman in conducting the meeting (Para 4.1.2).

## 12. PROXIES (SECTION 105)

A proxy is a person appointed by a member to attend and vote at a meeting in the absence of the member. Thus, a proxy acts as an agent of the member appointing him. The term 'proxy' also refers to the instrument by which such an appointment is made.

***Section 105 of the Companies Act, 2013 provides detailed provisions regarding proxies:***

**Who Can Appoint a Proxy**

- Any member entitled to attend and vote at a meeting may appoint another person as a proxy to attend and vote on his behalf.
- SS-2 further provides:
  (a) A member may appoint one or more proxies to attend and vote instead of himself.
  (b) A proxy need not be a member.
  (c) However, in the case of companies registered under Section 8 (charitable or not-for-profit), a proxy shall necessarily be a member.

### 12.1 LIMITS ON NUMBER OF PROXIES

- A proxy can act on behalf of ***not more than fifty members and hold in the aggregate not more than 10% of the total share capital*** carrying voting rights.
- A member holding ***more than 10% of the total share capital carrying voting rights may appoint a single proxy***, and such proxy shall not act for another person or shareholder.
- If a ***proxy is appointed for more than fifty members***, he must choose any fifty and confirm to the company before the commencement of the inspection period. Otherwise, only the first fifty proxies received shall be considered valid.

## 12.2 NOTICE REQUIREMENT

***Every notice calling a meeting of a company (with share capital, or where articles permit proxy voting) must state prominently:***

- ***A member entitled to attend and vote is entitled to appoint a proxy.***
- ***Where allowed, a member may appoint one or more proxies.***
- ***A proxy need not be a member.***

**Default:**

If the company fails to include this statement, every defaulting officer is liable to a ***penalty of ₹5,000***.

## 12.3 DISABILITIES OF PROXY

- A proxy cannot speak at the meeting.
- A proxy cannot vote on a show of hands.
- A proxy is not counted for quorum.

## 12.4 RIGHTS OF PROXY

- Right to attend the meeting.
- Right to vote only in a poll.
- Right to demand a poll (if eligible under Section 109).

## 12.5 TIME LIMIT FOR DEPOSIT OF PROXY FORMS

- The proxy form must be deposited 48 hours before the meeting.
- Any longer period mentioned in Articles shall be deemed to be 48 hours.
- In case of a private company, the deposit shall be in accordance with Section 105 unless otherwise provided in the Articles.
- In listed companies providing e-voting, a proxy is not required. Further, in virtual meetings (video/audio conferencing), the logged-in person is deemed to be personally present, making proxies irrelevant.

## 12.6 FORM OF PROXY (MGT-11)

- Proxy must be in Form MGT-11.
- It must be in writing and signed by the appointer or his attorney.
- If the appointer is a body corporate, the instrument must be under its seal or signed by an authorized officer/attorney.
- A proxy in prescribed form cannot be questioned for non-compliance with any special requirement of the Articles.

## 12.7 SECRETARIAL STANDARD (SS-2) PROVISIONS ON PROXIES

- **Deposit of Proxies (Para 6.6.1):**
  - Proxies shall be deposited with the company in person or by post, ***not later than 48 hours before commencement of the meeting***.
  - A proxy is valid even if deposited on a holiday if it is the last date of acceptance.
- **Records of Proxies:**
  - All proxies received must be entered chronologically in a register.
  - If a proxy is rejected, the reason must be recorded in the remarks column.
- **Execution of Proxy Instrument:**
  - Proxy must be signed by the appointer or attorney.
  - If a body is corporate, it must be under seal or signed by an authorized officer/attorney.

- Proxy is valid only for the specific meeting and its adjournment.
- Proxy must be properly stamped. Unstamped or inadequately stamped proxies are invalid.
- Proxy-holders must prove identity at the meeting.
- An authorized representative of a body corporate/the President of India/Governor of a State may also appoint a proxy.

- **Invalid Proxies:**
  - A proxy form without the proxy's name or without a date is invalid.
  - If multiple proxies are received for the same holding:
    - The latest dated proxy is valid.
    - If undated or the same date without time, all such proxies are invalid.

## 12.8 INSPECTION OF PROXY

- Every member entitled to vote at a meeting, or on any resolution, has the right to inspect the proxies lodged with the company.
- For inspection, the member must ***give at least 3 days' notice in writing*** to the company, and such notice must be received 3 days before commencement of the meeting.
- Inspection is allowed:
  - ***24 hours before the time*** fixed for commencement of the meeting,
  - During business hours of the company (between 9:00 a.m. and 6:00 p.m.),
  - And continues till the conclusion of the meeting.
- If the meeting is adjourned, a fresh requisition confirming the above requirements must be given for inspection of proxies.

## 12.9 REVOCATION OF PROXY

- If a member attends the meeting personally after appointing a proxy, the proxy is automatically revoked.
- However, once the proxy has voted, revocation is not possible.

**Secretarial Standard (SS-2) Provisions:**

- Para 6.7.1: If a proxy is appointed for the original meeting and the meeting is adjourned, a new proxy for the adjourned meeting automatically revokes the earlier proxy.
- Para 6.7.2: A later-dated proxy revokes any earlier proxy/proxies.
- Para 6.7.3: A proxy remains valid until a written notice of revocation is received by the company before the commencement of the meeting or adjourned meeting.
  - An undated revocation shall not be accepted.
  - The notice of revocation must be signed by the same member(s) who signed the proxy (in case of joint membership).
  - A proxy holder need not be informed about such revocation.

**Illustrations:**

**Q.1: An Annual General Meeting of a public company was scheduled for 15.12.2020.**

- Mr. A, a shareholder, issued two proxies in respect of his shares:
  - In favour of Mr. Y (lodged on 12.12.2020), and
  - In favour of Mr. X (lodged on 15.12.2020).
- The company rejected the proxy in favour of Mr. Y, considering Mr. X's proxy (dated 15.12.2020) as the later one.

**Hint/Answer:**

- As per Section 105 of the Companies Act, 2013, a proxy must be deposited 48 hours before the meeting.
- Since the meeting was on 15.12.2020, proxies should have been deposited on or before 13.12.2020.
- Mr. X deposited his proxy on 15.12.2020, hence it became invalid.
- Thus, rejection of Y's proxy was unsustainable. Proxy in favour of Mr. Y was valid as it was deposited in time.

**Q.2: The Chairman of a public company's meeting refused to accept a proxy lodged 54 hours before the meeting, citing the company's Articles which required proxies to be filed 60 hours before.**

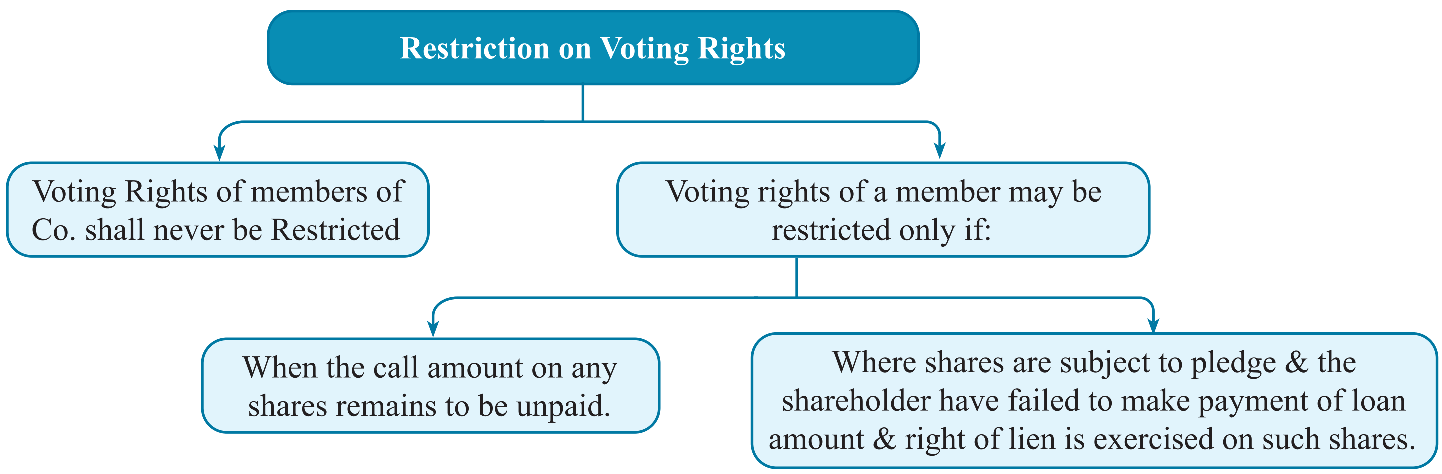
**Hint/Answer:**

- Section 105 states that a proxy must be deposited within 48 hours before the meeting.
- Any provision in the Articles requiring a longer period than 48 hours is void.
- Therefore, the Chairman's refusal was not valid. The proxy holder can compel acceptance.

# 13. VOTING

## 13.1 RESTRICTION ON VOTING RIGHTS (SECTION 106)

The articles of a company may provide that a member shall not exercise any voting right in respect of any shares registered in his name on which any calls or other sums presently payable by him have not been paid or on which the company has exercised any right or lien. No member can be prohibited from exercising their voting right on any other ground.




## 13.2 VOTING BY SHOW OF HANDS (SECTION 107)

***At any general meeting, a resolution put to the vote of the meeting shall, in the first instance, be decided on a show of hands, unless-***

(a) A poll is demanded under section 109 of the Act.

(b) Voting is carried out electronically under section 108 of the Act.

A declaration by the Chairman of the meeting of the passing of a resolution (that the resolution has been passed or failed, as the case may be) on a show of hands and an entry to that effect in the minutes book shall be conclusive evidence of the fact of passing of such resolution.

No proof of the number of votes cast in favor of and against the resolution is required.

***In case of a private company, Section 107 shall apply, unless otherwise specified in respective sections or the articles of the company provide otherwise –***

## 13.3 VOTING THROUGH ELECTRONIC MEANS (SECTION 108)

General meetings of companies are held at their registered offices, and it is not possible for every member, especially members holding minor shares, to travel to the registered office of the company and participate in the general meetings of the company.

To eliminate this type of difficulty and to enhance the participation of minority members, the concept of e-voting has been introduced by the Companies Act 2013. Now, a member can cast their vote easily through electronic mode without physically attending the general meeting.

E-voting does not eliminate members' right to physically attend and vote at the general meeting. However, a member can cast their vote through only one mode.

A member, after casting his vote through e-voting, can go and attend the general meeting, but cannot cast a vote in that general meeting.

**Applicability:**

**Section 108 of the Act, read with Rule 20** of the Companies (Management and Administration) Rules, 2014, shall apply to such companies as may be prescribed by the Central Government. The prescribed class of companies, for this purpose, is:

(i) All companies whose equity shares are listed on a recognized stock exchange, and

(ii) All companies having 1000 or more members.

***However, the provisions of section 108 shall not apply to*** a Nidhi, or an enterprise or institutional investor.

**The following companies are out of the ambit of mandatory e-voting:**

(i) Companies whose debenture/preference shares are only listed.

(ii) Companies listed on the SME trading platform.

(iii) Companies listed on institutional trading platforms.

**Legal Requirement:**

(a) A company to which section 108 is applicable shall provide to its members the facility to exercise their right to vote on resolutions proposed at general meetings by electronic means.

(b) A resolution proposed to be considered through voting by electronic means shall not be withdrawn.

# 14. DEMAND FOR POLL (SECTION 109)

***Before or on the declaration of the result of the voting on any resolution on a show of hands***, a **poll may be ordered to be taken by the Chairman** of the meeting on his own motion, and shall be ordered to be taken by him on a demand made in that behalf by the following person(s):

**(a) In the case of a company having a share capital:** by the members present in person or by proxy, where allowed, and ***having not less than one-tenth of the total voting power or holding shares on which an aggregate sum of not less than Rs . 5,00,000/-*** or such higher amount as may be prescribed, has been paid-up; and

**(b) In the case of any other company,** by any member or members present in person or by proxy, where allowed, and ***having not less than one-tenth of the total voting power.***

The Chairman shall get the validity of the demand verified.

The demand for a poll may be withdrawn at any time by the persons who made the demand.

## 14.1 TIME FOR TAKING POLL AND DECLARING THE RESULT

A poll shall be taken forthwith if it is demanded for the adjournment of the meeting or the appointment of the Chairman of the meeting.

- **Poll to be taken within 48 hours**:
  - ☛ If demanded on any other question.
  - ☛ Chairman to announce **date, venue, and time** of poll for an adequate opportunity to members.

- The chairman may permit members to be present during the **counting of votes**.
- Where date, venue, and time are not announced, the **modes and time of communication** must be informed within **24 hours of closure of the meeting**.
- The chairman shall appoint **scrutineers** to oversee the poll process.
- The result of the poll is **deemed the decision of the meeting** on the concerned resolution.

### 14.2 MANNER OF SCRUTINY OF POLL (RULE 21, COMPANIES (MANAGEMENT AND ADMINISTRATION) RULES, 2014)

**The Chairman must ensure:**

- Scrutinizers are provided with:
  - **Register of Members**, specimen signatures, attendance register, and **Register of Proxies**.
  - Documents received under **Sections 105, 112, and 113**.
- **Polling papers** are arranged and distributed in **Form MGT-12**.
  - For joint shareholders, given to the first-**named holder**, or in his absence, to the next joint holder as per folio order.
- Scrutinizers maintain records of received polling papers with **initials**.
- **Polling box** to be locked and sealed in the presence of members/proxies.
- After voting, a box was opened in the presence of **two witnesses**.
- In case of **proxy validity doubts**, Scrutinizers decide in consultation with the Chairman.
- If a member votes personally, **the proxy's vote stands disregarded**.
- Scrutinizers to **count votes** and prepare a **report** addressed to the Chairman.
- In the case of **e-voting**, the company must provide technical support.
- Scrutinizers' Report must include:
  - **Total votes cast**,
  - **Valid votes**,
  - **Votes in favour and against**,
  - **Invalid votes/polling papers**.
- Report to be **submitted to the Chairman**, who countersigns it.
- The chairman (or authorized person in writing) shall **declare the poll result**.

### 14.3 SCRUTINIZERS' REPORT (FORM MGT-13)

- Scrutinizers must submit a report to the Chairman in **Form MGT-13** within **7 days** of the poll.
- The report must be signed by the scrutinizer**(s)**.
- The declared result is final and forms the **decision of the meeting**.

**Note:**

- Sections **102, 103, 104, 105, 106, 107 and 109** apply to a **private company,** unless otherwise provided in the Articles of the company.

## 15. POSTAL BALLOT (SECTION 110)

**Meaning of Postal Ballot**

- As per **Section 2(65)**, "**postal ballot**" means **voting by post or through any electronic mode**.
- It includes voting by shareholders by **postal or electronic mode** instead of voting personally at a general meeting.

## 15.1 MANDATORY BUSINESS THROUGH POSTAL BALLOT

- A company shall transact such items of business as the **Central Government** may, by notification, declare to be transacted only by means of postal ballot.
- **Proviso**: Any business required to be transacted by postal ballot under **Section 110(a)** may be transacted at a general meeting by a company that is required to provide the facility to members to vote by electronic means under **Section 108**.

## 15.2 PERMITTED USE OF POSTAL BALLOT

A company may use a postal ballot for transacting any item of business, other than:

- **Ordinary business**; and
- Any business in respect of which **directors or auditors have a right to be heard** at a meeting.

## 15.3 BUSINESS TO BE TRANSACTED THROUGH POSTAL BALLOT

As per **Rule 22 of the Companies (Management and Administration) Rules, 2014**, the following shall be transacted only through postal ballot:

| | |
|---|---|
| (A) | Alteration of object clause, alteration of AOA to determine private company. |
| (B) | Buy back of shares by Company |
| (C) | Change in the register office outside local limits. |
| (D) | Demerger/merger/takeover/acquisition |
| (E) | Election of small shareholder director |
| (F) | For selling whole or substantially whole of the undertaking. |
| (G) | Giving loan or extending guarantee or provide security in excess of the limit. |
| (H) | Variation of right attached to shareholder and debenture holder. |

**Exception**

- The above businesses (requiring a postal ballot) may be transacted at a general meeting by companies required to provide an **electronic voting facility** under Section 108.

### 15.4 COMPANIES EXEMPTED FROM POSTAL BALLOT REQUIREMENT

(a) **One Person Company (OPC)**.

(b) All other companies have **members up to 200**.

## 16. CIRCULATION OF MEMBERS' RESOLUTION (SECTION 111)

**As per Section 111**, a company shall, on requisition in writing of a certain number of members, give notice to members of any proposed resolution intended to be moved in the meeting or circulate any statement with respect to matters referred to in the proposed resolution.

***A company shall not be bound under this section to give notice of any resolution or to circulate any statement unless:***

(a) A copy of the requisition signed by the requisitionists (or two or more copies which, between them, contain the signatures of all the requisitionists) is deposited at the registered office of the company,

  (i) In the case of a requisition requiring notice of a resolution, **not less than six weeks before the meeting;**

  (ii) In the case of any other requisition, **not less than two weeks before the meeting; and**

(b) There is deposited or tendered with the requisition a sum reasonably sufficient to meet the company's expenses in giving effect thereto.

**Provided that** if, after a copy of a requisition requiring notice of a resolution has been deposited at the registered office of the company, an annual general meeting is called on a date ***within six weeks after the copy has been deposited***, the copy, although not deposited within the time required, ***shall be deemed to have been properly deposited***.

***The statement need not be circulated if the Central Government declares that the right conferred is being abused to secure needless publicity for defamatory matters.***

**Penalty:**

- If default is made, the company and every officer of the company shall be punishable with fine.

## 17. MAINTENANCE OF MINUTES OF MEETINGS

**Meaning:** The minutes refer to a written record of business transacted at a meeting.

***As per Section 118:***

- Every company shall prepare, sign, and keep minutes of proceedings of every general meeting (including requisitioned meetings), meetings of any class of shareholders or creditors, Board of Directors or committees of the Board, and resolutions passed by postal ballot within **30 days** of the conclusion of such meeting.
- In case of Board meetings or committee meetings, the minutes shall contain the names of directors present and also the name of any dissenting director or a director who has not concurred in the resolution.
- The Chairman shall exercise absolute discretion in respect of inclusion or non-inclusion of matters which are defamatory, irrelevant, or detrimental to the company's interest.

***Minutes kept shall be evidence of the proceedings recorded in a meeting and must contain a fair and correct summary of the proceedings.***

### 17.1 SECRETARIAL STANDARDS

***As per Section 118(10)***, every company shall observe Secretarial Standards with respect to General and Board Meetings as specified by the Institute of Company Secretaries of India (ICSI) and approved by the Central Government.

**Exceptions**

- **Section 8 Company** – Section 118 shall not apply as a whole, except that minutes may be recorded within 30 days of the conclusion of every meeting where the Articles provide for confirmation of minutes by circulation.
- **Specified IFSC Public/Private Company** – Sub-section (10) of Section 118 shall not apply.

**Penalty:**

- Company: ₹25,000
- Every officer in default: ₹5,000

  If any person tampers with the minutes, punishment is imprisonment up to 2 years and fine between ₹25,000 and ₹1,00,000.

### 17.2 RULE 25 OF THE COMPANIES (MANAGEMENT AND ADMINISTRATION) RULES, 2014

**A. Distinct minute book for each type of meeting:**

- General meetings of members
- Meetings of creditors
- Meetings of the Board
- Meetings of committees of the Board

Resolutions passed by postal ballot shall be recorded in the general meeting's minute book.

**B. Manner of maintenance of minutes:**

- Minutes shall be entered within **30 days** of the conclusion of the meeting.
- For postal ballot resolutions, a brief report (resolution, voting result, summary of scrutinizer's report) shall be entered within **30 days**.

**C. Manner of signing minutes:**

- Each page initialed/signed, last page dated and signed:
  - Board/Committee meetings → Chairman of that meeting or next meeting.
  - General meetings → Chairman of that meeting, or in his absence, a director authorised by the Board.
  - Postal ballot resolutions → Chairman of the Board, or in absence, an authorised director.

**D. Preservation:**

- Minute books of general meetings → Permanently, at registered office, in custody of CS or authorised director.
- Board/committee minutes → Permanently, at a registered office or other place approved by the Board.

**Preservation in case of mergers/amalgamations:**

If a company is merged/amalgamated, the minutes of the transferor company must be handed over and preserved permanently by the transferee company.

## 18. REPORT ON ANNUAL GENERAL MEETING (SECTION 121, RULE 31)

Every listed public company must prepare a report on each annual general meeting confirming that it was convened, held, and conducted as per the provisions of the Companies Act, 2013.

- The report must be filed with the Registrar in **Form No. MGT-15** within **30 days** of the AGM.
- It must be signed by the Chairman, or in his absence, by two directors (one being Managing Director, if any) and the Company Secretary.

**Contents of the Report:**

(i) Day, date, hour, and venue of the AGM
(ii) Confirmation of appointment of Chairman
(iii) Number of members attending
(iv) Quorum confirmation
(v) Compliance with the Act, Rules, and Secretarial Standards
(vi) Business transacted and results
(vii) Adjournment/postponement/change in venue, if any
(viii) Any other relevant points

The report shall contain a **fair and correct summary** of the proceedings.

**Penalty for default:**

- **Company:** ₹1,00,000, plus ₹500 per day of continuing default (max. ₹5,00,000)
- **Officer in default:** Minimum ₹25,000, plus ₹500 per day of continuing default (max. ₹1,00,000)

## 19. VIRTUAL MEETINGS: TECHNOLOGICAL ADVANCEMENT IN CONDUCT OF GENERAL MEETINGS

- **Traditional General Meetings**:
  - General meetings, especially with large shareholder participation, are **costly** and not always **cost-effective**.
  - Since AGMs can only be conducted in the **city/town of the registered office**, shareholders from distant locations face difficulties due to **travel time and expenses**.
  - This often results in **low participation**, and agenda items may get passed without much discussion.
- **Virtual Meetings – Benefits**:
  (i) **Increase shareholder participation** as shareholders can join remotely.
  (ii) **Global investors** can participate without incurring travel costs.
  (iii) **Accessibility** improves for those unable to attend physically.
  (iv) **Institutional investors** can attend multiple meetings in a single day, safeguarding shareholder interests.
  (v) **Lower cost of conducting meetings** – savings on venue, stationery, transport, and refreshments.
  (vi) **Time saving** for both shareholders and company personnel.
  (vii) Allows **directors and management** to reduce time spent on travel and meetings, increasing overall efficiency.
- **Difficulties in Virtual Meetings**:
  (i) **System security** concerns.
  (ii) **Quality of streaming** without interruption.
  (iii) **Secure login and authentication** with ease of shareholder access.
  (iv) Requirement of **integrated registration, voting, and reporting software**.
  (v) Need for **instant result screens and detailed audit reporting**.
  (vi) **Data security** of logins and passwords.
  (vii) Compatibility with **multiple devices** for shareholder choice.
  (viii) Technology must ensure a **reasonable opportunity to participate** for all shareholders.
  (ix) Technology should allow **verification/validation** of shareholders attending and voting.
  (x) Companies must provide a **digital record of the meeting**.

**SEBI (LODR) Regulation 44, 2015**:

The **top 100 listed entities** (based on market capitalization at the end of the previous financial year) must provide a one-way **live webcast of AGM proceedings**.

## PAST YEAR QUESTIONS

**1.** Explain the compliance requirement for holding of Annual General Meeting (AGM) of the company, including the listed company and One Person Company, as per the provisions of the Companies Act, 2013, and applicable Regulations of SEBI (Listing Obligations and Disclosure requirements) Regulations, 2015.

**[June 2024 (5 Marks)]**

**2.** Diamond Ltd. issued a notice for holding its annual general meeting on 5th September 2023. The notice was sent to all members on 14th August, 2023, through email, which was received by them on the same day. Suneeta, who is a member of the company holding 10% of the share capital, alleged that the company had defaulted on the provisions of the Companies Act, 2013, with regard to the length of notice, and such a meeting was not validly called. Referring to the provisions of the Companies Act, 2013, examine whether the length of notice convening the annual general meeting is valid. What will be your answer if Diamond Ltd. is a section 8 company (i.e., a company not for profit)? **[Dec. 2023 (5 Marks)]**

**3.** The Annual General Meeting (AGM) of Terminal Bearings Limited, a listed company, was called on 31st August, 2023, after issuing due notice. 120 members were personally present at the AGM. After the chairman declared the presence of a quorum, a section of the members disrupted the proceedings, demanding bonus shares and a higher dividend. After waiting half an hour, as the members continued to disrupt the proceedings, the chairman adjourned the AGM to 15th September 2023. Referring to the provisions of the Companies Act, 2013, state whether the chairman of the Annual General Meeting can adjourn the meeting suo motu? **[Dec. 2023 (4 Marks)]**

**4.** In the general meeting of CBD Ltd., six individual members were present, and the meeting was adjourned by the Chairman of the meeting at his own will, to the same day of the next week, as an important member was not present for the meeting. In this context, referring to the provisions of the Companies Act, 2013, answer the following questions:

(i) Could the Chairman adjourn the meeting if the company's shareholders (i.e., the members) were 300?

(ii) For the adjourned general meeting, is any fresh notice of the meeting to be sent?

(iii) If only three members were present in the adjourned meeting, where in such a meeting an important member (shareholder) could not participate, would the meeting be considered as duly convened and conducted? **[Dec. 2022 (5 Marks)]**

**5.** As a Company Secretary, advise your client whether the following matter can be transacted by getting a resolution passed through postal ballots:

(a) Issue of shares with differential voting rights.

(b) Sale of the whole of the undertaking of the Company.

(c) Buy-back of its own shares by the Company. **[June 2023 (3 Marks)]**

CHAPTER 13

# DIRECTORS

**Regulatory Framework**

- The Companies Act, 2013 (Section 149-171, 184 & 185)
- The Companies (Appointment & Qualification of Directors) Rules, 2014
- The Companies (Meetings of Board & its Powers) Rules, 2014
- Schedule IV of the Companies Act, 2013
- SEBI (LODR) Regulations, 2015

## 1. INTRODUCTION

Directors are individuals responsible for managing the day-to-day affairs of a company.

When a company has more than one director, they collectively form the **Board of Directors**.

A company cannot act on its own; all significant decisions are taken through the Board of Directors.

To manage the company's operations and make various decisions, the Board of Directors meets at regular intervals and, when necessary, on special occasions. Such decisions are taken by passing resolutions, depending on the nature and importance of the matter.

**Section 2(34)**

***"Director"*** means a director appointed to the Board of a company.

**Section 2(10)**

***"Board of Directors"*** or ***"Board",*** in relation to a company, means the collective body of the directors of the company.

By virtue of ***Section 149*** of the Companies Act, 2013, the ***Board of Directors of every company shall consist of individual only***. Thus, no body corporate, association or firm shall be appointed as director.

***Section 166 (6)*** of Companies Act, 2013, prohibits assignment (transfer) of office of director to any other person. Any ***assignment of office made by a director shall be void***.

## 2. DIN REQUIREMENT

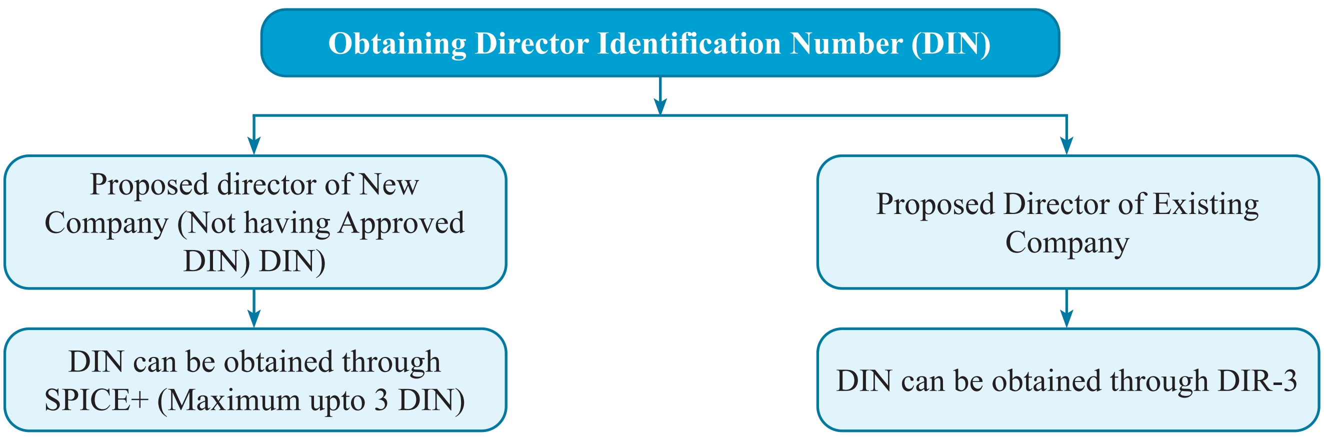
Director Identification Number (DIN) is a ***unique identification number*** allotted by the **Ministry of Corporate Affairs**, Central Government, to any individual intending to be appointed as a director or to any existing director of a company, for the purpose of his identification as a director of a company.

DIN is specific to a person, which means even if he is a director in two or more companies, he has to obtain only one DIN and if he leaves a company and joins some other, the same DIN would work in the other company as well.

The term **Director Identification Number (DIN)** also includes the **Designated Partnership Identification Number (DPIN)** issued under **Section 7 of the Limited Liability Partnership Act, 2008**, and the rules made thereunder.

***ONE PAN can be obtained by an individual***. Likewise, only ONE DIN can be obtained by one individual. If an individual generates two DINs inadvertently, he has to surrender his unused DIN immediately.

## 2.1 OBTAINING DIRECTOR IDENTIFICATION NUMBER




## 2.2 DOCUMENTS REQUIRED FOR OBTAINING DIN

| Documents to be attached in e-form DIR-3 | Description |
|---|---|
| Proof of identity of the applicant | In case of Indian nationals, a duly attested copy of:<br>1. Income-tax PAN; and<br>2. Voter's Identity Card/ Passport/Driving License are mandatory requirements for proof of identity.<br>In case of foreign nationals, duly attested copy of passport is a mandatory requirement for proof of identity.<br>Proof of the father's name is not required in the case of foreign nationals.<br>In case the name of a person does not have a last name, then his or her father's or grandfather's surname shall be mentioned in the last name along with the declaration in ***Form No. DIR-3A***. |
| Proof of residence of the applicant | Duly attested Address proofs- ANY ONE of the below is mandatory:<br>Latest (not more than two months old) Bank Statement/ Electricity Bill/ Telephone Bill/ Mobile bill, etc., shall be attached and should be in the name of the applicant only. (In case of proofs which are in languages other than Hindi / English, the proofs should be translated in Hindi / English by a professional translator carrying his details (name, signature, address) and seal.<br>In the case of foreign nationals, translation done by the notary of the home country is also acceptable.) |

| | |
|---|---|
| Photograph | In JPEG |
| Board resolution | A Board Resolution proposing his appointment as director in an existing company. |
| Specimen signature | A specimen signature duly verified |
| Digital Signature | Obtain a Digital Signature Certificate before applying for DIN and ensure that the applicant does not have any DIN allotted earlier, as the Companies Act, 2013, ***prohibits obtaining and retaining more than 1 DIN*** (Section 155).<br>The Digital Signature Certificate is required, and the Form will be ***signed digitally*** by the applicant. |

## 2.3 PROCEDURE FOR APPLICATION FOR ALLOTMENT OF DINS TO THE PROPOSED FIRST DIRECTORS IN RESPECT OF NEW COMPANIES: E-FORM SPICE + (SIMPLIFIED PROFORMA FOR INCORPORATING COMPANY ELECTRONICALLY PLUS: INC-32)

Any individual who does **not have an approved DIN** and is proposed to be a **first director** in a **new company** must apply through the **web form SPICe+ (INC-32)**.

**SPICe+ (Simplified Proforma for Incorporating Company Electronically Plus)** is an **integrated online form** that provides multiple services, including:

- **Name Reservation**
- **Company Incorporation**
- **DIN Allotment**
- **Mandatory PAN & TAN issuance**
- **EPFO Registration (mandatory)**
- **ESIC Registration (mandatory)**
- **Profession Tax Registration** (for **Maharashtra**)
- **Mandatory Opening of a Bank Account** for the company
- **GSTIN Allotment**, if applied

I. A maximum of **three directors** (without an existing DIN) can be allotted a **DIN** through SPICe+ at the time of incorporation.

II. The applicant must attach self-attested **proof of identity** and **proof of address** along with the application.

III. **DIN** will be allotted **only after approval** of the SPICe+ form.

IV. As per **Section 153** read with **Rule 9** of the **Companies (Appointment and Qualification of Directors) Rules, 2014**, DIN allotment is an essential part of this process.

V. Once the **SPICe+ form is successfully processed**, the **company is registered**, and a **Corporate Identity Number (CIN)** is generated.

VI. In case of a **Section 8 company**, a **License Certificate** will also be issued along with the **DINs for the proposed directors** who do not already hold a valid DIN.

## 2.4 PROCEDURE FOR APPLICATION FOR ALLOTMENT OF DIN BEFORE APPOINTMENT IN AN EXISTING COMPANY - SECTION 153 READ WITH RULE 9 OF THE COMPANIES (APPOINTMENT AND QUALIFICATIONS OF DIRECTORS) RULES, 2014

As per **Section 153** read with **Rule 9** of the **Companies (Appointment and Qualifications of Directors) Rules, 2014**, any **individual proposed to be appointed as a director in an existing company** must apply **electronically in Form DIR-3**.

The **application for allotment of DIN** must be submitted through the **MCA21 portal**, along with the **prescribed fee**.

The applicant must **fill e-Form DIR-3** with the necessary details and **attach the following documents**:

- **Photograph**
- **Proof of identity**
- **Proof of residence**
- **Board Resolution** proposing the appointment as a **director in an existing company**
- **Specimen signature**, duly verified

If the applicant **does not have a last name**, the **father's or grandfather's surname** must be used as the **last name**, along with a **declaration in Form DIR-3A**, which must be submitted with Form DIR-3.

**Form DIR-3** must be:

- **Digitally signed** by the **applicant** using their own **Digital Signature Certificate (DSC)**
- **Digitally verified** by a:
  - **Company Secretary** in **full-time employment**, or
  - **Managing Director**, **Director**, **CEO**, or **CFO** of the **existing company** where the applicant is proposed to be appointed.

## 2.5 PROCEDURE FOR APPLICATION OF DIN FOR FOREIGN NATIONAL

For a foreign national applying for a DIN, the following procedure shall be complied with:

- Details of a **valid passport** must be provided in the application.
- A **certified copy of the passport** must be attached to the application.

All **supporting documents**, including the **photograph**, must be **certified by either**:

- The **Indian Embassy** in the applicant's home country, or
- A **notary public** in the applicant's home country

If the foreign national holds a valid:

- **Multiple-entry Indian visa**, or
- **Person of Indian Origin (PIO) card**, or
- **Overseas Citizen of India (OCI) card**,

Then, the documents may also be **attested in India** by a **Public Notary** or a **Gazetted Officer**.

**NOTE:** *Person of Indian Origin (PIO) card scheme has been officially merged into the Overseas Citizen of India (OCI) card scheme since January 9, 2015. From that date, the Government of India withdrew the PIO card scheme and treated all existing PIO cardholders as OCI cardholders.*

## 2.6 PROCEDURE FOR GENERATION OF DIN- SECTION 154 READ WITH RULE 10 & 10A OF THE COMPANIES (APPOINTMENT AND QUALIFICATIONS OF DIRECTORS) RULES, 2014

As per **Section 154** read with **Rules 10 & 10A** of the **Companies (Appointment and Qualifications of Directors) Rules, 2014**, the **Central Government** shall **allot a DIN** within **one month** of receiving the application under **Section 153**.

***The process of DIN generation involves the following steps:***

**Step 1: Submission of Application**

- On submission of ***Form DIR-3*** and payment of the prescribed fee through the MCA portal, an application number is generated automatically.
- However, as per the Amendment Rules, 2022 (notified on June 01, 2022), no application number shall be generated for applicants who are nationals of countries sharing a land border with India, unless a security clearance from the Ministry of Home Affairs is attached to the application.

**Step 2: Processing by the Central Government**

- After the generation of the application number, the Central Government processes the DIN applications and either approves or rejects them under Rule 9(2).
- In case of approval, the DIN is allotted and communicated to the applicant via post, email, or other electronic modes, within one month from receipt of the application.

**Step 3: Handling Defective Applications**

- If the application is found to be defective or incomplete, the government shall notify the applicant by:
  - Placing the defect notice on the MCA website
  - Sending an email to the applicant
- The applicant must rectify and resubmit the application within 15 days of such notice.
- If defects are not fully rectified or the information remains defective, the government may:
  - Reject the application and ask to file a fresh one
  - Label the application as invalid in the electronic system
  - Notify the applicant through post, email, or other acceptable methods

**Step 4: Fee Policy**

- In case of rejection or invalidation, the fee paid shall not be refunded or adjusted with any other application.

***Other Provisions:***

- All DINs allotted prior to the commencement of these rules are deemed valid under the current rules.
- A DIN once allotted is valid for the lifetime of the applicant and cannot be allotted to another person.
- Every director functioning in one or more companies on or before 30th June 2007 and who has not yet intimated his DIN must inform the respective companies within one month of receiving the DIN from the Central Government using ***Form DIR-3B.***
- The company, upon receiving the DIN intimation from the director ***under Section 156***, must furnish this information to the Registrar in ***Form DIR-3C within 15 days***, as per Section 157 of the Companies Act.

***Intimation of changes in particulars of Director- Rule 12 of the Companies (Appointment and Qualifications of Directors) Rules, 2014***

As per **Rule 12** of the **Companies (Appointment and Qualifications of Directors) Rules, 2014**, every individual who has been **allotted a DIN** must **intimate any such change** to the **Central Government** within **30 days** using **Form DIR-6**.

The applicant must:

- Fill in the **relevant changes** in **Form DIR-6**
- **Verify** the form
- Attach **scanned copies of supporting documents** for the changed particulars
- Submit the form **electronically**

**Form DIR-6** must be **pre-certified** by a **practicing Chartered Accountant (CA)**, **Company Secretary (CS)**, or **Cost Accountant (CMA)**.

The **Central Government**, after verifying the submitted proofs, will:

- **Update the changes** in its **electronic database**
- **Inform the applicant** through **post**, **email**, or **other accepted modes**

The **DIN Cell of the MCA** will also notify the **concerned Registrar(s)** of the companies in which the individual is a director, based on the **jurisdiction of the company's registered office**.

The individual must also **intimate the changes** to all **companies** in which they are serving as a **director** within **15 days** of the change.

## 2.7 CANCELLATION/SURRENDER/DEACTIVATION OF DIN- RULE 11 OF THE COMPANIES (APPOINTMENT AND QUALIFICATIONS OF DIRECTORS) RULES, 2014

*The [Central Government/RD (North), Noida/ Authorised Officer by the RD] may, upon being satisfied on verification of particulars or documentary proof attached with the application along with specified fee received from any person,* ***cancel or deactivate the DIN in case*** *–*

(a) The DIN is found to be duplicated in respect of the same person provided the data related to both the DIN shall be merged with the validly retained number;

(b) The DIN was obtained in a wrongful manner or by fraudulent means;

(c) of the death of the concerned individual;

(d) The concerned individual has been declared as a lunatic or of unsound mind by a competent Court;

(e) if the concerned individual has been adjudicated an insolvent, Provided that before cancellation or deactivation of DIN pursuant to clause (b), an opportunity of being heard shall be given to the concerned individual;

(f) On an application made in Form DIR-5 by the DIN holder to surrender his or her DIN along with a declaration that he has never been appointed as director in any company and the said DIN has never been used for filing of any document with any authority, the Central Government may deactivate such DIN, but after verification of e-records.

***Once a person is appointed as Director in any company as per the Companies Act 2013, he cannot relinquish his DIN in the future. Even if he/she doesn't remain a director anymore in that company or in any other company, his/her DIN will exist as it is.***

***Illustration-*** Mr. Amit has obtained two DINs inadvertently and both DINs got used in two different appointments as Director. Now, it came into his knowledge. He wants to surrender his second DIN and merge his both appointments in single DIN Can he do so?
The Answer is NO. Because only an unused DIN can be surrendered by filing the ***Form DIR-5.***

## 2.8 IMPACT OF NON-COMPLIANCE OF DIR-3 KYC/DIR-3 KYC WEB

The Central Government or Regional Director (Northern Region), or any officer authorized by the Central Government or Regional Director (Northern Region) shall deactivate the Director Identification Number (DIN) of an individual who does not intimate his particulars in e-form DIR-3-KYC [or the web service ***DIR-3-KYC-WEB*** as the case may be] within stipulated time in accordance with ***rule 12A.***

The de-activated DIN shall be re-activated only after ***e-Form DIR-3-KYC*** [or the web service DIR-3-KYC-WEB as the case may be] is filed along with the fee as prescribed under Companies (Registration Offices and Fees) Rules, 2014.

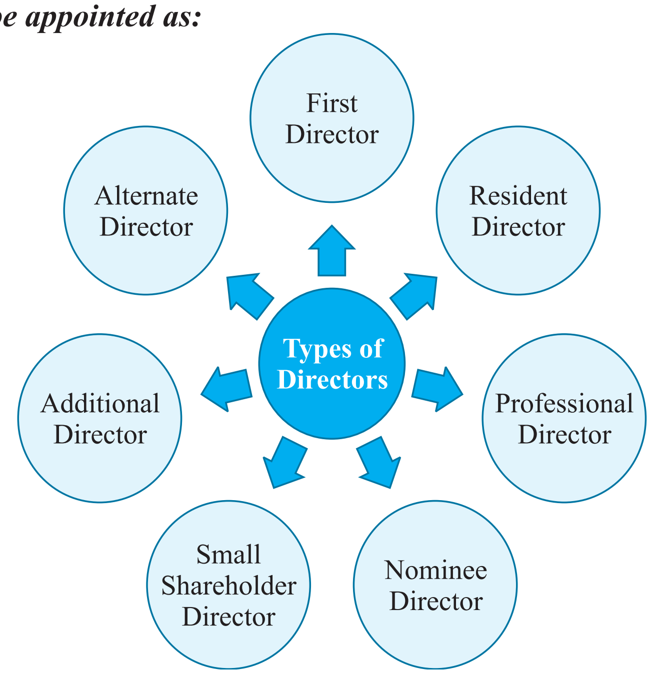
| DIR-3 KYC | DIR-3 KYC Web |
|---|---|
| One-time filing | Annual filing |
| Filing in case of change of mobile number and email ID | Annual filing |
| OTP required on personal email ID and mobile number | OTP required on personal email ID and mobile number |
| If not done DIR-3 KYC WEB within the due date, then DIR-3 KYC is required to file, and the fee of Rs. 5000 shall be payable. | No fees |
| It is filed for two purposes: 1. When there is a change in mobile number and email id 2. The DIN holder didn't file DIR-3 KYC WEB within the due date. | Annually filing |

### 2.9 SUMMARY OF DIN FORMS

| Forms | Purpose |
|---|---|
| DIR-3 | Application for allotment of Director Identification Number before appointment in an existing company |
| DIR-6 | Intimation of change in particulars of Director to be given to the Central Government |
| DIR-5 | Application for surrender of Director Identification Number |
| DIR-3B | Intimation of DIN to Company (By every director, functioning as a director in one or more companies on or before the 30th June, 2007 & not yet intimated his DIN) |
| DIR-3C | Intimation of Director Identification Number by the company to the Registrar DIN services |
| DIR-3 KYC/DIR-3 KYC Web | Application for KYC of Directors |

## 3. TYPES OF DIRECTORS

***A director to the Board may be appointed as:***




### 3.1 FIRST DIRECTOR

***Section 152 of the Act*** provides that where there is no provision made in the Articles of Association of the company for the appointment of the first directors, then the subscribers to the memorandum who are individuals shall be deemed to be the first directors of the company until the directors are duly appointed. Section 152(1) of the Act is applicable to all companies, whether public or private.

In the case of a One Person Company, the individual who is its member shall be deemed to be its first director until a director is duly appointed by the member in accordance with Section 152.

### 3.2 RESIDENT DIRECTOR

***Section 149(3)*** provides that every company shall have at least one director who has stayed in India for a total period of not less than one hundred and eighty-two days during the financial year. However, in case of a newly incorporated company the requirement under this sub-section shall apply proportionately at the end of the financial year in which it is incorporated.

This sub-section shall apply to a Specified IFSC private company in respect of financial years other than the first financial year from the date of its incorporation.

### 3.3 PROFESSIONAL DIRECTOR

The **Companies Act, 2013,** does **not define** the term **Professional Director**, but it is commonly used to describe a person who serves on the **Board of Directors** based on their **professional qualifications, expertise, and experience**.

A **Professional Director** is generally:

- **Not a promoter or significant beneficial owner** of the company.
- **Not involved in day-to-day management**.
- **Appointed primarily** for their knowledge and contribution in areas such as law, finance, accounting, corporate governance, or economics.

### 3.4 NOMINEE DIRECTOR

A **Nominee Director** is defined under **Section 149(7)** of the **Companies Act, 2013**.

Such a director is **nominated by an institution or entity**—typically a **financial institution**, **government**, or **shareholder**—based on the terms of an **agreement**, **law**, or **articles of association**.

A **Nominee Director** represents the **interest of the nominating party** on the **Board of Directors** of the company.

### 3.5 SMALL SHAREHOLDERS' DIRECTOR

A **'Small Shareholders' Director'** refers to a director **elected by small shareholders** under ***Section 151*** of the **Companies Act, 2013**.

**Small shareholders** are defined as **shareholders holding shares of *nominal value not more than ₹20,000***, as per the **Companies (Appointment and Qualification of Directors) Rules, 2014**.

The Act provides that a listed company **may have one director elected by small shareholders**, either:

- **Suo motu by the company**, or
- Upon a notice by ***at least 1,000 small shareholders*** or ***one-tenth of the total small shareholders***, whichever is ***lower***.

### 3.6 ADDITIONAL DIRECTOR

An **Additional Director** is a person appointed by the **Board of Directors** under ***Section 161(1) of the Companies Act, 2013.***

The power to appoint an additional director must be **expressly authorized** by the **Articles of Association** of the company.

An **Additional Director** is appointed ***between two Annual General Meetings (AGMs)*** to fill a vacancy or to expand the board.

### 3.7 ALTERNATE DIRECTOR

An **Alternate Director** is appointed under ***Section 161(2)*** of the **Companies Act, 2013**.

The **Board of Directors** may appoint an alternate director **in place of a director** who is:

- **Absent from India** for a period of ***not less than 3 months***.

The power to appoint an alternate director must be **expressly provided** in the **Articles of Association** or **authorized by a resolution** passed by the company in a **general meeting**.

## 4. COMPANY TO HAVE BOARD OF DIRECTORS

Under **Section 149(1)** of the Companies Act, 2013, every company shall have a **Board of Directors** consisting only of individuals as directors, with the following composition:

- **Minimum number of directors:**
  - Three directors in the case of a public company;
  - Two directors in the case of a private company;
  - One director in the case of a One Person Company (OPC).
- **Maximum number of directors:** Fifteen directors.

**Proviso:** A company may appoint more than fifteen directors after passing a **special resolution**

**Note:** Section 8 companies are exempt from the maximum limit of fifteen directors.

## 4.1 WOMAN DIRECTOR

Second proviso to ***Section 149(1) read Rule 3 of Companies (Appointment and Qualification of Directors) Rules, 2014***:

| Following class of Companies MUST have at least one Women Director | | |
|---|---|---|
| All Listed Company; | Public Company having paid up share Capital of ₹ 100 cr or more; or, | Public Company having turnover of ₹ 300 cr or more |

Additionally, for listed entities as per ***Regulation 17 of the SEBI*** (Listing Obligations and Disclosures Requirements) Regulations, 2015, the Board of directors of the ***top 1000 listed entities shall have at least one independent woman director*** by April 1, 2020.

**Explanation:** The ***top 1000 entities shall be determined*** on the basis of ***market capitalization***, as at the end of the immediate previous financial year.

## 4.2 RESIDENT DIRECTOR

***Section 149(3) provides that every company shall have at least one director who has stayed in India for a total period of not less than one hundred and eighty-two days*** during the financial year. However, in case of a newly incorporated company, the requirement under this sub-section shall apply proportionately at the end of the financial year in which it is incorporated.

This sub-section shall apply to a Specified IFSC private company in respect of financial years *other than the first financial year* from the date of its incorporation.

## 4.3 INDEPENDENT DIRECTORS

***Section 149(4) read with Rule 4*** of Companies (Appointment and Qualification of Directors) Rules, 2014 provides following companies to have a specified number of independent directors.

| Class of Companies | Minimum Number of Independent Directors |
|---|---|
| All listed public companies | At least ***1/3rd of the total number of Directors*** or such other numbers as provided. (Any fraction contained in such a one-third number shall be ***rounded off*** as one). |
| Public companies having:<br>(a) With paid up capital of ₹***10 crore or more***, or with ***turnover of ₹100 crore or more***, or<br>(b) With ***outstanding loans, debentures and deposits of ₹50 crore or more***. | ***At least 2 independent Directors***. |

However, the following classes of ***unlisted public companies shall not be covered*** under sub-rule as above:

(a) A joint venture;

(b) A wholly owned subsidiary; and

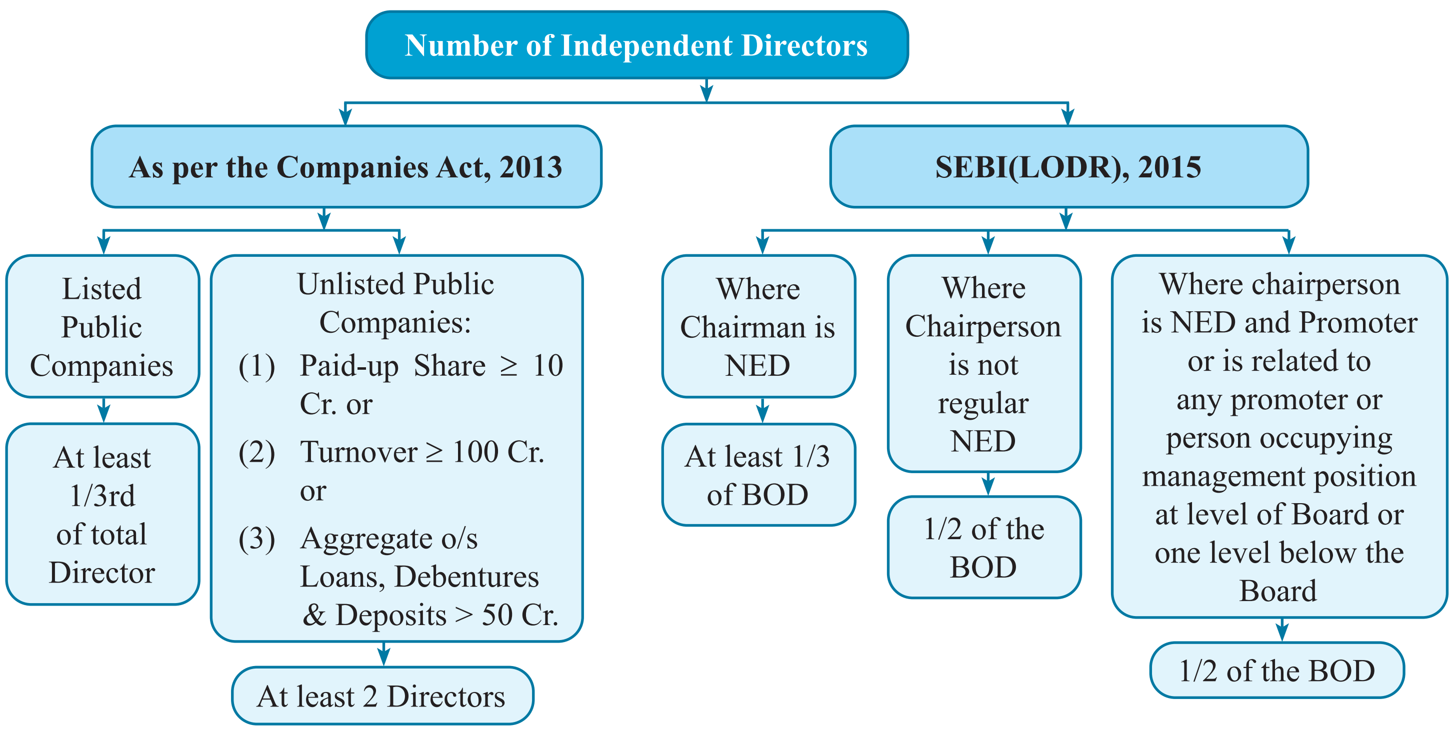
(c) A dormant company as defined under section 455 of the Act.

In case a company covered under this rule is required to appoint a higher number of independent directors due to the composition of its audit committee and then it shall appoint such a higher number of independent directors.

***In case of section 8 companies and specified IFSC public companies this sub-section is not applicable,***

Further, if there is any intermittent vacancy of an independent director then it shall be filled up by the board of directors ***within 3 months from the date of such vacancy*** **or** ***not later than immediate next board meeting***, whichever is ***later.***

Once the company is covered under the above sub-rule (i) to (iii) of ***Rule 4 of the Companies (Appointment and Qualification of Directors) Rules, 2014, ceases to fulfil any of the three conditions for three consecutive years then it shall not be required to comply*** with these provisions until such time as it meets any of such conditions.




## 4.4 DEFINITION OF AN INDEPENDENT DIRECTOR

***Section 2(47) of the Companies Act***, 2013 provides that the **"independent director"** means an independent director referred to in ***sub-section (6) of section 149*** of the Companies Act, 2013.

An ***independent director*** means a director **other than a managing director or a whole-time director or a nominee director** who does ***not have any material or pecuniary relationship*** with the company or its directors. Basically, an independent director is a **non-executive director**.

***Section 149(6) of the Act prescribes the criteria for independent directors which are as follows:***

(a) **Who in the opinion of the Board, is a person of integrity and possesses relevant industrial expertise and experience;**

(b) **Such individual shall not be a promoter or related to promoter of the company or its holding, subsidiary or associate company;**

(c) **Such individual who has or had no pecuniary relationship, other than remuneration as such director or having transaction not exceeding ten per cent. of his total income or such amount as may be prescribed, with the company, its holding, subsidiary or associate company, or their promoters, or directors, during the two immediately preceding financial years or during the current financial year;**

(d) **None of whose relatives—**

  **(i) Is holding any security of or interest in the company, its holding, subsidiary or associate company during the two immediately preceding financial years or during the current financial year:** *Provided that the relative may hold security or interest in the company of face value not exceeding **fifty lakh rupees** or **two per cent. of the paid-up capital** of the company, its holding, subsidiary or associate company or such higher sum as may be prescribed;*

  **(ii) Is indebted to the company, its holding, subsidiary or associate company or their promoters, or directors, in excess of such amount as may be prescribed during the two immediately preceding financial years or during the current financial year;**

  **(iii) Has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, its holding, subsidiary or associate company or their promoters, or directors of such holding company, for such amount as may be prescribed during the two immediately preceding financial years or during the current financial year;**

  **(iv) Has any other pecuniary transaction or relationship with the company, or its subsidiary, or its holding or associate company amounting to two per cent. or more of its gross turnover or total income singly or in combination with the transactions referred to in sub-clause (i), (ii) or (iii).**

(e) **He must not either directly or any of his relatives—**

  **(i) Hold or has held the position of a key managerial personnel or is or has been employee of the company or its holding, subsidiary or associate company in any of the three financial years immediately preceding the financial year in which he is proposed to be appointed:**

  *Provided that in case of a relative who is an employee, the restriction under this clause shall not apply for his employment during preceding three financial years;*

  **(ii) Is or has been an employee or proprietor or a partner, in any of the three financial years immediately preceding the financial year in which he is proposed to be appointed, of–**

    **A. Firm of auditors or company secretaries in practice or cost auditors of the company or its holding, subsidiary or associate company; or**

    **B. Any legal or a consulting firm that has or had any transaction with the company, its holding, subsidiary or associate company amounting to ten per cent. or more of the gross turnover of such firm.**

  **(iii) Holds together with his relatives two per cent or more of the total voting power of the company; or**

  **(iv) Is a Chief Executive or director, by whatever name called, of any non-profit organisation that receives 25% or more of its receipts from the company, any of its promoters, directors or its holding, subsidiary or associate company or that holds 2% or more of the total voting power of the company;**

(f) **Who possesses such other qualifications as prescribed in Rule 5 of Companies (Appointment and Qualification of Directors) Rules, 2014 i.e. as an independent director he shall possess appropriate skills, experience and knowledge in one or more fields of finance, law, management, sales, marketing, administration, research, corporate governance, technical operations or other disciplines related to the company's business.**

**None of the relatives of an independent director**, for the purposes of sub-clauses (ii) and (iii) of clause (d) of sub-section (6) of section 149:

(i) **Is indebted to the company, its holding, subsidiary or associate company or their promoters, or directors; or**

(ii) **Has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, its holding, subsidiary or associate company or their promoters, or directors of such holding company,** *for an amount of **fifty lakhs rupees**, at any time during the **two immediately preceding financial years** or during the **current financial year.***

> NOTE
>
> **In case of Government company – clause (c) of Section 149(6) shall not apply** i.e. no such restriction is levied on Government Company related to **Pecuniary relationship** of Independent Director – *Notification dated 5th June, 2015.*

## 4.5 DECLARATION BY AN INDEPENDENT DIRECTOR- SECTION 149 (7)

As per **Section 149(7)** of the Companies Act, 2013, every **Independent Director** must provide a **declaration of independence**:

- **At the first Board meeting** in which he participates as a director;
- **At the first meeting of the Board** in every financial year;
- **Whenever there is any change** in circumstances that may affect his independence.

For **listed entities**, as per **SEBI Notification dated May 9, 2018** (effective April 1, 2019):

- Independent directors must declare that:
  - They **meet the criteria of independence**, and
  - They are **not aware of any circumstance** that may impair their **objective, independent judgment**.
- The **Board of Directors** must **record and assess** the veracity of this declaration.

From **October 1, 2018**, the **top 500 listed companies by market capitalization** (as on March 31 of the previous year) must provide **Directors and Officers (D&O) Insurance** for their **Independent Directors**, as decided by the Board.

*A **Nominee Director** is one **nominated by a financial institution**, **Government**, or **any person** under applicable laws or agreements to represent their interests.*

## 4.6 REMUNERATION OF AN INDEPENDENT DIRECTOR- SECTION 149(9)

***As per section 149(9) of the Act,*** an independent director shall not be entitled to any stock option.

They may receive:

- **Sitting fees** as per **Section 197(5)**;
- **Reimbursement of expenses** for participation in Board/committee meetings;
- **Profit-related commission**, as approved by members.

If the company has **no profits or inadequate profits**, they may still receive **remuneration (excluding sitting fees)** as per **Schedule V**.

> ***Exemptions from Section 149(4) to (13):***
>
> **Section 8 Companies** (vide notification dated **June 5, 2015**) and **Specified IFSC Public Companies** (vide notification dated **January 4, 2017**) are **exempted** from:
>
> - Requirement of Independent Directors;
> - Definitions and related provisions under Section 149(4) to (11), (12)(i), and (13).

## 4.7 TERM OF AN INDEPENDENT DIRECTOR- SECTION 149(10)

An **Independent Director** can be appointed for **up to 5 consecutive years**.

**Reappointment** is allowed for **another 5 years**, only through a **special resolution** and **disclosure in the Board's report**.

After **two consecutive terms**, a **cooling-off period of 3 years** is mandatory before re-appointment.

- During this period, the person must **not be associated** with the company in **any capacity**.

Even if the term served is **less than 5 years**, it is **counted as one full term**.

Maximum allowable duration is **two terms**, even if **less than 10 years** in total.

Any tenure served **before the commencement of the Companies Act, 2013** is **not counted** towards the limit.

## 4.8 LIABILITY OF INDEPENDENT DIRECTORS [SECTION 149(12)]

An ***Independent Director or Non-Executive Director*** (not being a promoter or KMP) is **liable only** for acts:

- Done with his **knowledge**,
- **Consent or connivance**, or
- Where he **failed to act diligently**.

***Case Reference – Re V. Selvaraj vs. RBI:***

The Madras High Court ruled in favour of a **non-executive independent director**, stating that **without proof** of his involvement in misconduct, he **cannot be held liable or classified as a wilful defaulter**.

**Independent Director Requirements**

**Applicability** — Listed companies must have 1/3rd of directors as Independent Directors.

**Capital Threshold** — Public companies with capital over 10 crore need at least 2 Independent Directors.

**Appointment Term** — Maximum term is 5 years, not more than 2 consecutive terms, re-appointment requires Special Resolution.

**Remuneration** — Fees, expense reimbursement, and profit-related commission are allowed, subject to member approval.

**Rotation Exemption** — Retirement by rotation in AGM does not apply to Independent Director appointments.

**Vacancy Filling** — Vacancy must be filled in the next Board Meeting or within 3 months, whichever is later.

**Separate Meeting** — Independent Directors must hold at least one meeting annually without non-independent directors.

### 4.9. PAYMENT OF SITTING FEE/COMMISSION

*According to Section 149(9), **the independent director** is entitled to receive**:***

**Sitting Fee**: As per **Section 197(5)**, up to **₹1,00,000 per meeting**.

**Expenses**: Reimbursement for attending meetings.

**Profit-based Commission**:

- **1% of net profits** (if MD/WTD/Manager exists).
- **3% of net profits** (in other cases).

**No stock options** allowed.

If **no/inadequate profits**, remuneration (excluding sitting fee) may be paid as per **Schedule V**.

### 4.10 ROLE OF INDEPENDENT DIRECTOR

Independent directors are required because they perform the following important roles:

(i) Balance the often conflicting interests of the stakeholders.

(ii) Facilitate withstanding and countering pressures from owners.

(iii) Fulfill a useful role in succession planning.

(iv) Act as a coach, mento,r and sounding Board for their full-time colleagues.

(v) Provide independent judgment and wider perspectives.

***As per Schedule IV (Code for Independent Directors) of the Companies Act, 2013, the Independent Director shall;***

I. Uphold ethical standards of integrity and probity;

II. Act objectively and constructively while exercising his duties;

III. Exercise his responsibilities in a bona fide manner in the interest of the company.

IV. Devote sufficient time and attention to his professional obligations for informed and balanced decision-making;

V. Not allow any extraneous considerations that will vitiate his exercise of objective independent judgment in the paramount interest of the company as a whole, while concurring in or dissenting from the collective judgment of the Board in its decision making;

VI. Avoid abusing his position to the detriment of the company or its shareholders or for the purpose of gaining direct or indirect personal advantage or advantage for any associated person;

VII. Refrain from any action that would lead to the loss of his independence;

VIII. Inform the Board immediately whose circumstances arise which makes an Independent Director lose his independence;

IX. Assist the company in ensuring best corporate governance practices.

***Separate Meeting of Independent Director:***

The independent directors of the company ***shall hold at least one meeting in a financial year***, without the attendance of non-independent directors and members of management.

## 5. APPOINTMENT OF DIRECTORS TO BE ELECTED BY SMALL SHAREHOLDERS

**Section 151** read with **Rule 7 of the Companies (Appointment and Qualification of Directors) Rules, 2014,** allows a **listed company** to have **one director elected by small shareholders**.

A **small shareholder** is one who holds shares of **nominal value not exceeding ₹20,000** or such other prescribed amount.

***Appointment Procedure:***

1. A notice from at least **1,000 small shareholders** or **1/10th of total such shareholders**, whichever is lower, is required.

2. Notice must be given **14 days before the meeting**, containing:
   - **Name, address, shares held, and folio number** of both the proposed director and the proposing shareholders.
3. If the proposed director does **not hold shares**, folio and shareholding details are not required.
4. **Declaration** by proposed director with **DIN**, **non-disqualification statement**, and **consent** must accompany the notice.
5. The director is considered **independent**, subject to meeting the conditions in **Section 149(6) and (7)**.
6. The election must be done through **postal ballot**.
7. Such director shall not be:
   - **Appointed in more than two companies** at the same time.
   - **Appointed in competing businesses** simultaneously.
8. **Not liable to retire by rotation** and holds office for **a continuous period of three years**.
9. **No reappointment** is allowed after the completion of tenure.
10. Ceases to hold office upon **loss of status as small shareholder**.
11. **Form DIR-12** must be filed with the **ROC** within **30 days**, along with required fees.
12. DIR-12 must be **digitally signed** by the **MD/manager/company secretary** and **certified by a practicing professional**.
13. **Attachments with DIR-12** include:
    - **Letter of appointment**
    - **Declaration by the first director**
    - **Form DIR-2**
    - **Interest in other entities**
14. **In listed companies**, notify the **stock exchange** about the director's appointment.
15. Update company registers as per **Sections 170 and 189**.
16. A newly appointed director must inform other companies where he holds directorship.

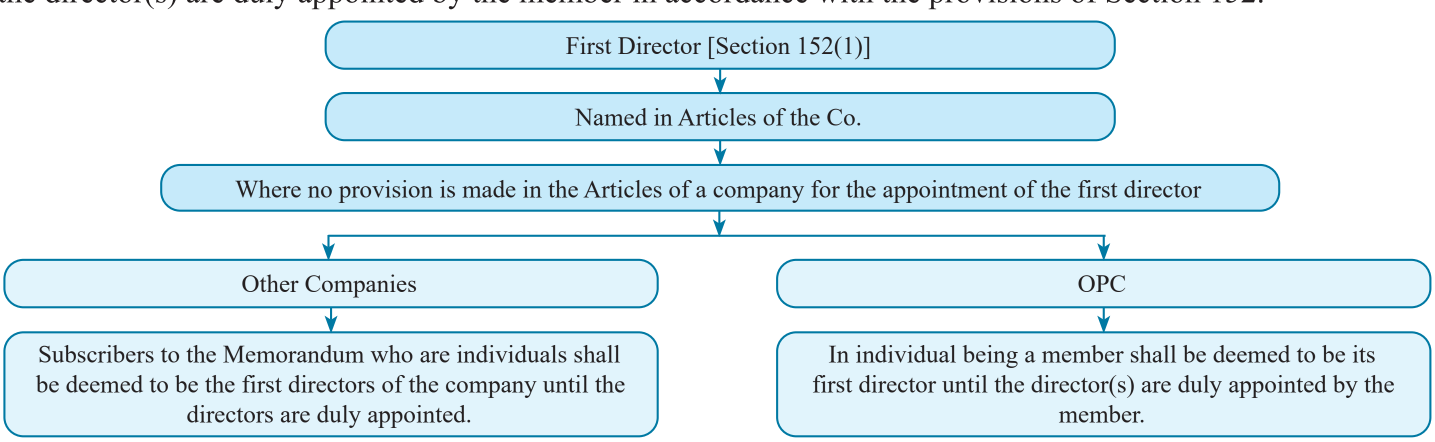
## 6. APPOINTMENT OF FIRST DIRECTOR

Generally, the first directors are named in their Articles of Association.

***Regulation 60 of Table F*** provides that the number of directors and the names of the first directors shall be determined in writing by the subscribers of the memorandum or a majority of them.

If they are not so named in the articles of a company, then subscribers to the memorandum who are individuals shall be deemed to be the first directors of the company until the directors are duly appointed.

In the case of a One Person Company, an individual being a member shall be deemed to be its first director until the director(s) are duly appointed by the member in accordance with the provisions of Section 152.



## 7. APPOINTMENT OF DIRECTORS BY MEMBERS AT GENERAL MEETING

A person appointed as director shall not act as director unless he gives his consent to hold office of director and such consent in ***Form DIR - 2 has been filed with the registrar within thirty days of his appointment.***

The company shall ***within thirty days of appointment of a director***, file such consent with the ***Registrar in Form DIR-12***.

However, a specified ***IFSC public company*** shall file such consent ***within sixty days***.

**According to Section 152, every director shall be appointed by the company in a general meeting**.

***Under section 152(6)***, articles of a company may provide that all directors of the company shall be retiring by rotation.

***Retirement by Rotation – Section 152(6):***

- Company articles may provide that **all directors retire by rotation**.
- If not, then at least **2/3rd of the total directors** in a **public company** shall retire by rotation and be reappointed at the general meeting.
- At every **AGM**, **1/3 of such retiring directors** must retire (or the number nearest to one-third).
- Retiring directors are those **longest in office**.
- If multiple directors were appointed on the same day, the order of retirement shall be determined by draw of lots.

***Vacancy Due to Retirement – Section 152(7):***

- If the retiring director's position is **not filled** and the meeting **doesn't resolve not to fill**, the meeting stands **adjourned** to the same **day next week**.
- If still not filled in adjourned meeting and **no resolution passed not to fill**, the **retiring director is deemed reappointed**, unless:
  1. Reappointment resolution **was put and lost**,
  2. Director has **expressed unwillingness** in writing,
  3. Director is **disqualified or unqualified**,
  4. **Special/Ordinary resolution is required**,
  5. **Section 162** is applicable.
- ***In case of section 8 companies and Government companies, this provision is not applicable.***

## 8. RIGHT OF PERSONS OTHER THAN RETIRING DIRECTORS TO STAND FOR DIRECTORSHIP [SECTION 160]

**Eligibility & Notice**:

- Any person (member or non-member) can stand for election as director at a general meeting by giving a **written notice at least 14 days before** the meeting.
- Such a person may be a member or a non-member, an additional director or an alternate director or a nominee or a director to fill a casual vacancy.

**Deposit Requirement**:

- A **deposit of ₹1,00,000** or such higher amount as may be prescribed.
- This deposit is **refundable** if:
  - ☛ The person gets elected, or
  - ☛ Secures ***>25% of valid votes***.

**Exceptions**:

- **No deposit** required for:
  - Independent directors
  - Nomination and Remuneration Committee -recommend candidates
  - Directors recommended by the Board in case Nomination and Remuneration Committee is not required
  - Govt companies or their subsidiaries (100% owned) and Private/Section 8 Companies where election is via ballot.

***Procedural Steps***:

(i) **Notice to members** (7 days before AGM): Individually or via newspaper (in English and regional language).

(ii) **Listed Companies**: Must also inform stock exchange(s).

(iii) **Obtain DIN**, **Form DIR-2** (Consent & declaration), and **file DIR-12** within 30 days of appointment.

(iv) **DIR-12 attachments**: Appointment letter, DIR-2, interest disclosure, and first director's declaration (if applicable).

(v) Update company registers u/s 170 & 189.

(vi) Appointed person to inform other companies where he is already a director.

(vii) **Additional Directors** can be appointed by the **Board of Directors**, if **authorized by the Articles of Association**, under **Section 161(1)** of the Companies Act, 2013.

(viii) Such a person **must not be one who failed to get appointed in a general meeting**.

(ix) The **term of office** is valid **till the next AGM** or **the last date by which AGM should have been held**, whichever is earlier.

(x) In case of failure to hold the AGM, the **Additional Director vacates office** on the last day when the AGM should have been held.

(xi) **Applies to all companies**, whether **public or private**, subject to authorisation in the Articles of Association.

(xii) **Form DIR-12** must be filed along with **Board Resolution**, **consent in DIR-2**, and details of **KYC and interest in other entities**.

## 9. ADDITIONAL DIRECTOR

**Section 161(1)** of the Companies Act, 2013 provides that the Articles of a company may **empower its Board of Directors** to appoint **any person as an Additional Director**, *other than a person who fails to get appointed as a director in a general meeting*.

Such an **Additional Director** shall **hold office** only up to the:

- Date of the next AGM or
- The last date on which the AGM should have been held,

***whichever is earlier***.

In case of **default in holding the AGM**, the **Additional Director** shall **vacate his office** on the **last date** on which the AGM **ought to have been held**.

A **person who has failed to get appointed** as a director in a general meeting **cannot be reappointed** as an Additional Director.

The provisions of **Section 161(1)** apply to **all companies**, whether **public or private**.

The company is required to file **e-Form DIR-12** for appointment of an Additional Director. The following attachments must be filed along with it:

- **Board Resolution** approving the appointment
- **Consent of the director** in **Form DIR-2**
- **KYC details** of the appointee
- Disclosure of interest in other entities in **Form MBP-1**

## 10. ALTERNATE DIRECTOR

**Alternate Director** may be appointed by the Board under **Section 161(2)**, if **authorized by the Articles** or a **general meeting resolution**.

Appointment can only be made if the original director is **absent from India for at least 3 months**.

The appointee must not be already holding an **alternate directorship** for any other director in the same company.

For an **Independent Director**, the alternate must also fulfill the **independence criteria under Section 149(6)**.

**Only the Board** can appoint an alternate director. Neither the **original director** nor the **members** have this power directly.

Appointment can be done by **circulation of resolution** (not necessarily in a board meeting).

***Tenure:***

- Cannot exceed the tenure of the original director.
- **Ceases** if the original director **dies or vacates** office.
- **Vacates** when the original director **returns to India**.

If the original director's term **expires while he is away**, **Section 152(7)(b)** on **automatic reappointment** applies to him, **not the alternate director**.

As per **SEBI norms effective from 1st October 2018, no alternate director** can be appointed for an **independent director in a listed entity**.

**Alternate directorship** is included while counting **total directorships** under **Section 165**.

## 11. NOMINEE DIRECTOR

A **Nominee Director** may be appointed by the Board under **Section 161(3)**, if:

  - ☛ **Permitted by the Articles**.
  - ☛ **Nominated by an institution**, **government**, or **under an agreement/law**.

- This provision applies even to government-appointed directors based on **shareholding**.
- **Exception**: Not applicable to **specified IFSC public and private companies**.

## 12. APPOINTMENT OF DIRECTORS IN CASUAL VACANCY

As per **Section 161(4)**, if a director appointed in a general meeting **vacates office before the expiry of** his term the resulting **casual vacancy** may be filled by the **Board of Directors**.

Such appointment:

- Must be **approved at the next general meeting**.
- The new appointee holds office **only till the date the original director would have held office**.

**IMPORTANT - Vacancy caused by a Board-appointed director** is **not a casual vacancy**, and **cannot be filled by the Board** under this section.

## 13. APPOINTMENT OF DIRECTORS TO BE VOTED INDIVIDUALLY- SECTION 162

As per **Section 162(1)**, a **single resolution** cannot be moved for appointing **two or more persons as directors** unless it is **first unanimously approved** at the meeting, with **no vote cast against it.**

If such a resolution is passed **without prior unanimous approval**, it shall be **void**, even if no one objected at the time.

A motion to **approve or nominate a person as a director** is deemed a motion for their **appointment**.

This provision is **not applicable to**:

- **Private companies** and **specified IFSC public companies**.
- A **Government company** where the **entire paid-up share capital** is held by the **Central Government**, **State Government(s)**, or jointly by both.
- A **subsidiary** of a government company, fully owned by such a government company.

## 14. APPOINTMENT OF DIRECTORS BY BOARD

### 14.1 PROCEDURE FOR APPOINTMENT OF ADDITIONAL DIRECTOR

I. Ensure **Articles authorize** the Board and the appointment is **within the maximum director limit**.
II. Confirm the individual is **not disqualified** under the Act.
III. Obtain **written consent** in **Form DIR-2**.
IV. Check if the person has a valid **Director Identification Number (DIN)**. If not, apply under **Section 153** and obtain **intimation of DIN**.
V. Issue **at least 7 days' notice** and **agenda** for Board Meeting (complying with **Secretarial Standard-1**) and **pass a resolution**.
VI. The director will hold office **till the next AGM or the last date by which AGM is required to be held**, whichever is earlier.
VII. Obtain declaration in **Form MBP-1** regarding **interest in other entities**.
VIII. File **Form DIR-12** with the **Registrar of Companies (RoC)** within **30 days**, along with prescribed **fee**.
**IX. Record the appointment** in the register of **directors, KMPs, and their shareholding**.
**X. Notify all concerned authorities**.

### 14.2 PROCEDURE FOR APPOINTING DIRECTOR IN CASUAL VACANCY

I. Obtain **written consent** in Form DIR-2 before appointment.
II. Confirm that the person is **not disqualified**.
III. Ensure the person has a valid **DIN** or apply in Form DIR-3
IV. If the vacancy is for an **Independent Director**, the appointee must meet the criteria under **Section 149(6)** and **Rule 5** of the related Rules.
V. Issue **minimum 7 days' notice** and **agenda** (complying with **Secretarial Standard-1**).
VI. Pass a resolution to appoint a director who will serve **for the remaining term** of the original director.
VII. Obtain declaration in **Form MBP-1**.
VIII. File **Form DIR-12** with **RoC** within **30 days** of such appointment with prescribed **fees**.
**IX. Update the register** of directors and KMPs.
**X. Inform concerned authorities**.
XI. In case of a **private company**, follow the procedure as per its **Articles of Association**.

### 14.3 PROCEDURE FOR APPOINTMENT OF AN ALTERNATE DIRECTOR

I. Check if **Articles permit** such appointments, or **authorize via general meeting resolution**.
II. Obtain **written consent** to act as director.
III. Ensure the person has a valid **DIN**, or apply in FORM-3
IV. Confirm that the person is **not disqualified**.
V. If an alternate director is for an **Independent Director**, he must fulfill criteria under **Section 149(6)** and **Rule 5**.

VI. Issue **7 days' notice and agenda** for Board Meeting (**Secretarial Standard-1** compliant) and **pass board resolution**.

VII. Appointment is valid **during the original director's absence from India**, and ceases on his **return** or **expiry of original director's term**, whichever is earlier.

VIII. Obtain **Form MBP-1** declaration.

IX. File **Form DIR-12** with **RoC** within **30 days** of such appointment with prescribed **fees**.

X. Make entries in the **register of directors, KMPs, and shareholding**.

## 15. APPOINTMENT OF DIRECTOR BY SYSTEM OF PROPORTIONAL REPRESENTATION

As per **Section 163** of the Companies Act, **Articles of a company may provide** for appointment of **not less than two-thirds** of total directors through **proportional representation**.

This can be implemented using methods such as **single transferable vote**, **cumulative voting**, or any other system. Directors appointed by proportional representation hold office for **3 years**, and casual vacancies among them are filled by the Board as per Section 161(1) until the next general meeting.

***Section 163 is not applicable to:***

- **Government companies** where the entire **paid-up share capital** is held by the **Central Government**, **State Government(s)**, or jointly.
- **Subsidiaries** of such Government companies where 100% capital is held by the parent Government company.

## 16. DISQUALIFICATIONS FOR APPOINTMENT OF DIRECTOR- SECTION 164

***A person shall not be eligible for appointment as a director of a company, if —***

| | |
|---|---|
| (a) | He is of unsound mind and stands so declared by a competant court; |
| (b) | He is an undischarged insolvent |
| (c) | He has applied to be adjudicated as an insolvent and his application is pending |
| (d) | He has been convicted by a court for offence involving moral turpitude or otherwise and sentenced imprisonment for 6 months or more and 5 years has not elapsed after expiry of imprisonment.<br>(If imprisonment of 7 years or more - he shall not be eligible to be appointed as a director in any company for lifetime.) |
| (e) | An order disqualifying him for appointment as a director has been passed by a court or NCLT and the order is in force; |
| (f) | He has not paid any call in respect of any shares of the company held by him, whether alone alone or jointly with others, and six months have elapsed from the last day fixed for payment of the call. |
| (g) | He has been convicted of the offence dealing with related party transactions under section 188 at any time during the last preceding five years; or |
| (h) | He has not complied with **sub-section (3) of Section 152**; |
| (i) | He has not complied with the provisions of ***sub-section (1) of section 165*** |

***No person who is or has been a director of a company which—***

(a) Has not filed financial statements or annual returns for any continuous period of three financial years; or

(b) Has failed to:

Repay the deposits accepted or pay interest thereon or

To redeem any debentures on the due date or

Pay any dividend declared, and such failure to pay or redeem continues for one year or more. SHALL NOT be eligible to be re-appointed as a director of that company or appointed in other company for a period of **5 years** from the date on which the said company fails to do so.

Where director is appointed in defaulting company, he shall not incured above disqualification for a period of **6 months** from date of his appointment.

Before appointment/re-appointment, every director SHALL inform give declaration that he is not disqualified in Form DIR 8.

Defaulting Company u/s 164(2) to file Form DIR 9 with the ROC within 30 days of failure.

A private company may by its articles provide for any disqualifications for appointment as a director in addition to those specified in sub-sections (1) and (2): Provided that the disqualifications referred to in clauses (d), (e) and (g) of sub-section (1) shall continue to apply even if the appeal or petition has been filed against the order of conviction or disqualification.

## 17. NUMBER OF DIRECTORSHIP (SECTION 165)

***No person, after the commencement of this Act, shall hold office as a director, including any alternate directorship, in more than twenty companies at the same time:***

Provided that the maximum number of public companies in which a person can be *appointed as a director shall not exceed ten.*

Subject to the provisions of sub-section (1), the members of a company may, by special resolution, specify any lesser number of companies in which a director of the company may act as directors.

| **Maximum 10 public company** | **Remaining other company** |
|---|---|
| Public company | Private company |
| Holding of public company | Section 8 company |
| Subsidiary of public company | OPC & Small company |

Any person holding office as director in companies more than the limits as specified in sub-section (1), immediately before the commencement of this Act shall, ***within a period of one year*** from such commencement:

(a) Choose not more than the specified limit of those companies, as companies in which he wishes to continue to hold the office of director;

(b) Resign his office as director in the other remaining companies; and

(c) Intimate the choice made by him under clause (a), to each of the companies in which he was holding the office of director before such commencement and to the Registrar having jurisdiction in respect of each such company.

**NOTE:**

If a person accepts an appointment as a director in violation of this section, he shall be liable to a penalty of ***two thousand rupees for each day*** after the first during which such violation continues, subject to a ***maximum of two lakh rupees***.

## 18. DUTIES OF DIRECTORS [SECTION 166]

***The duties of directors as contained in section 166 of the Companies Act, 2013 are described as follows:***

1. ***Duty to act as per the articles of the company***

   The director of a company shall act in accordance with the articles of the company.

2. ***Duty to act in good faith***

   A director of a company shall act in good faith in order to promote the objects of the company for the benefit of its members as a whole, and in the best interests of the company, its employees, the shareholders, the community and for the protection of the environment.

3. ***Duty to exercise due care***

   A director of a company shall exercise his duties with due and reasonable care, skill and diligence and shall exercise independent judgment.

4. ***Duty to avoid conflict of interest***

   A director of a company shall not be involved in a situation in which he may have a direct or indirect interest that conflicts, or possibly may conflict, with the interest of the company.

5. ***Duty not to make any undue gain***

   A director of a company shall not achieve or attempt to achieve any undue gain or advantage either to himself or to his relatives, partners, or associates and if such director is found guilty of making any undue gain, he shall be liable to pay an amount equal to that gain to the company.

6. ***Duty not to assign his office***

   A director of a company shall not assign his office and any assignment so made shall be void.

**NOTE:**

Punishment for contravention If a director of the company contravenes the provisions of this section such director shall be ***punishable with fine which shall not be less than one lakh rupees*** but which ***may extend to five lakh rupees.***

## 19. VACATION OF OFFICE

***According to Section 167 of the Companies Act, 2013, the office of a director shall become vacant in case–***

| | |
|---|---|
| (a) | He incurs any of the disqualifications specified in section 164; the office of the director shall become vacant in all the companies, other than the company which is in default under that sub-section; |
| (b) | He absents himself from all the meetings of the Board of Directors held during a period of twelve months with or without seeking leave of absence of the Board; |
| (c) | He acts in contravention of the provisions of section 184 relating to entering into contracts or arrangements in which he is directly or indirectly interested; |
| (d) | He fails to disclose his interest in any contract or arrangement in which he is directly or indirectly interested, in contravention of the provisions of section 184 |
| (e) | He becomes disqualified by an order of a court or the Tribunal; |

| | |
|---|---|
| (f) | He is convicted by a court of any offence, whether involving moral turpitude or otherwise and sentenced in respect thereof to imprisonment for not less than six months.<br>Provided that the office shall not be vacated by the director in case of orders referred to in clauses (e) and (f)-<br>(i) For thirty days from the date of conviction or order of disqualification;<br>(ii) Where an appeal or petition is preferred within thirty days as aforesaid against the conviction resulting in sentence or order, until expiry of seven days from the date on which such appeal or petition is disposed of; or<br>(iii) Where any further appeal or petition is preferred against order or sentence within seven days, until such further appeal or petition is disposed of. |
| (g) | He is removed in pursuance of the provisions of this Act; |
| (h) | He, having been appointed a director by virtue of his holding any office or other employment in the holding, subsidiary or associate company, ceases to hold such office or other employment in that company. |

Where all the directors of a company vacate their offices under any of the disqualifications specified in sub-section (1), the promoter or, in his absence, the Central Government shall appoint the required number of directors who shall hold office till the directors are appointed by the company in the general meeting.

A private company, which is not a subsidiary of a public company, may, by its articles, provide additional grounds for vacation of the office of a director. On vacation from the office of the director, the company is required to **file the e-Form DIR–12** to the Registrar of Companies.

If a person, functions as a director even when he knows that the office of director held by him has become vacant on account of any of the disqualifications specified in sub-section (1), he shall be punishable with fine which shall ***not be less than one lakh rupees*** but which ***may extend to five lakh rupees.***

## 20. RESIGNATION OF DIRECTORS

***According to section 168 –***

I. A director may resign from its office by giving a notice with the reasons of resignation in writing to the company.

II. The Board shall on receipt of such a notice from a director shall take note of the same.

III. The company shall within 30 days from the date of receipt of notice of resignation from a director, intimate the registrar in Form DIR-12 and post the information on its website if any as provided in Rule 15 of the companies (Appointment and Qualification of Directors) Rules, 2014. The board shall place the facts of such resignation by the director in the Report of Directors laid immediately following the general meeting by the company.

IV. The Director may within 30 days from his resignation, forward to the registrar a copy of his resignation along with reasons for resignation with reasons provided therein in Form DIR-11 along with the fee provided. In case of Specified IFSC public and private company, a director may file Form DIR-11 to the Registrar.

V. The resignation shall be effective from the date on which the notice is received by the company, or the date specified by the director in the notice, whichever is later

VI. When all the Directors resign at the same time under section 167, in such case the required number of directors are to be appointed by the promoter or in his absence, the Central Government.

VII. The Directors so appointed shall hold office till the Directors are appointed by the company in general meeting.

The proviso to ***sub-section (2) of section 168*** of the Companies Act, 2013 clarifies that the Director who shall be liable even after his resignation for the offences which occurred during his tenure.

## 21. REMOVAL OF DIRECTORS

Under **Section 169 of the Act**, a company may, by **ordinary resolution**, **remove a director** before the expiry of the period of his office.

The provisions of Section 169 shall apply **regardless of the manner** in which the director concerned was appointed and **notwithstanding anything** contained in the **articles of the company** or **any agreement** with the director concerned.

### 21.1 REMOVAL OF DIRECTORS BY SHAREHOLDERS

According to Section 169, a company may, by ordinary resolution, remove a director — *other than a director appointed by the Tribunal under Section 242* — before the expiry of the period of their office, after giving them a reasonable opportunity of being heard

An **independent director**, re-appointed for a second term under **sub-section (10) of section 149**, shall be removed by the company **only by passing a special resolution** and after giving him a **reasonable opportunity of being heard**.

The provision relating to **removal** shall **not apply** where the company has availed itself of the **option to appoint not less than two-thirds** of the total number of directors according to the **principle of proportional representation**.

### 21.2 PROCEDURE FOR REMOVAL OF DIRECTOR

***The following procedure must be followed for the removal of a director:***

I. A **special notice** from a member of the company proposing an **ordinary resolution** for removing the director is necessary.

II. Immediately **send a copy of the special notice to the director proposed to be removed.**

III. Take a **decision to call a general meeting** through the **Board resolution**.

IV. **Issue notice of the general meeting** in writing at least **twenty-one clear days** before the date of the meeting, informing about the **special notice** and proposing the **ordinary resolution** for removal.

V. In the **notice of the meeting**, **state the facts** of the **representation made** by the director concerned and also **send a copy** of the representation to **every member of the company** to whom notice of the meeting is sent (whether before or after the receipt of the representations by the company).

VI. If the **representation is received too late** and it could not be sent to the members, the **director concerned may require** that the representation shall be **read out at the meeting**. The director concerned also has the **right of being heard** at the meeting.

VII. However, the **National Company Law Tribunal**, on an **application of the company** or **any other person who claims to be aggrieved**, on having satisfied, may **dispense with the procedure** of sending a copy of representation and reading thereof at the meeting if it is being used to **secure needless publicity for defamatory matter**.

VIII. In case of a **listed company**, send **notice of the general meeting** to the **stock exchange(s)** within **24 hours** of the occurrence of the event where the company is listed [Refer **regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015**].

IX. **Hold the general meeting** and **pass the proposed resolution** by **ordinary resolution**.

X. In case of a **listed company**, **forward a copy of the proceedings** of the meeting within **24 hours** of the occurrence of the event to the **stock exchange(s)** where the company is listed.

XI. The company has to **file particulars of director** in **Form DIR – 12** with the **Registrar of Companies** within **thirty days** of the removal after paying the **requisite fee electronically**.

For the purpose of filing **Form DIR – 12**, the following **attachments** are required:

(a) **Notice of resignation**;

(b) **Evidence of Cessation**;

(c) Disclosure of **Interest in other entities**.

Ensure that said Form is **digitally signed** by the managing **director** or **manager** or **secretary** of the company and also **certified by a Company Secretary or Chartered Accountant or Cost Accountant in Whole-time Practice** by digitally signing it.

XII. The **particulars of the director** and other aspects of the director have accordingly to be **modified in the registers** maintained under **Sections 170 and 189**.

XIII. Give a **general public notice in the newspaper** regarding removal of the director if it is warranted for the **protection of the company** and **benefit of the general public**.

## 22. REGISTER OF DIRECTORS AND KEY MANAGERIAL PERSONNEL AND THEIR SHAREHOLDING

**Section 170** makes it **mandatory** for every company to **maintain a register** containing the **prescribed particulars** of all its **directors** and **Key Managerial Personnel (KMPs)** along with their **shareholding** details.

As per **Section 170(1)** read with **Rule 17 and Rule 18** of the Companies (Appointment and Qualification of Directors) Rules, 2014:

- Every company shall **keep at its registered office** a **register** containing prescribed particulars of its **directors** and **KMPs**, which must include **details of securities held** by each of them in the company or its **holding**, **subsidiary**, **subsidiary of its holding**, or **associate companies**.

According to **Section 170(2)**, a **return** containing such particulars and documents, as may be prescribed, of the directors and KMPs, shall be **filed with the Registrar** in **e-form DIR-12** within **30 days** from the **appointment** of every director or KMP and within **30 days** of any **subsequent changes**.

**Exemption for Government Companies**:

- Section 170 does not apply to a government company in which the entire share capital is held by the Central Government, or by one or more State Governments, or jointly by the Central and State Governments.

## 23. MEMBERS RIGHT TO INSPECT (SECTION 171)

As per **Section 171(1)(a)**:

- The **register of directors and KMPs** maintained under **Section 170(1)** shall be **open for inspection** during **business hours**, and **members** have the **right to take extracts** or obtain **copies**, upon request, **free of cost**, within **30 days** of request.

According to **Section 171(1)(b)**:

- The said register shall also be **open for inspection** at **every annual general meeting**, and made **accessible to any person attending** the meeting.

Under **Section 171(2)**:

- If any **inspection is refused** or any **copy** is **not provided within 30 days** from the receipt of request, the **Registrar**, upon application, may **order immediate inspection** and **supply of required copies**.

**Exemption for Government Companies**:

- Section 171 shall not apply to a Government company where the entire share capital is held by the Central Government, or any State Government or Governments, or jointly by the Central and State Governments.

## 24. DISCLOSURES BY A DIRECTOR OF HIS INTEREST

***Section 184(1): Every director shall, at—***

- The **first Board meeting** he attends as a director, and
- The **first Board meeting of every financial year**, or
- The **first Board meeting after any change** in earlier disclosures, **disclose his concern or interest** in any **company**, **body corporate**, **firm**, or **association of individuals**, including **shareholding**, as per **Rule 9** of the Companies (Meetings of Board and its Powers) Rules, 2014.

***Section 184(2):***

Every director who is directly or indirectly **concerned or interested** in any **contract/arrangement**, existing or proposed—

(a) With a **body corporate** in which the director (alone or with another director)
   - Holds **more than 2% shareholding**, or
   - Is a **promoter**, **manager**, or **CEO**;

(b) With a **firm/other entity** in which the director is a **partner, owner, or member**, **must disclose** the **nature of interest** at the **Board meeting** where such contract/arrangement is discussed and **shall not participate** in such meeting.

***Proviso***:

If the director was not interested at the time of entering into the contract but becomes interested **afterwards**, he must **disclose his interest forthwith** or at the **first Board meeting** held after he becomes so concerned.

***Section 184(3):***

If the company enters into any contract without disclosure under sub-section (2) or with participation by the interested director, the contract is **voidable at the option of the company**.

***Section 184 Clarifications:***

(a) Nothing in this section affects **common law restrictions** on a director's interest in company contracts.

(b) It does **not apply** to contracts between two companies or body corporate where the director(s) of one company holds **not more than 2% of paid-up capital** in the other company/body corporate.

***Penalty for Contravention***:

If a director contravenes **Section 184(1)** or **184(2)**, he shall be liable to a **penalty of ₹1,00,000**.

***Relaxations in Private Companies:***

- **Section 184(2)** shall apply with the **exception** that the **interested director may participate** in such a meeting **after disclosure** of interest.

***For Section 8 Companies***:

- **Section 184(2)** applies **only if** the transaction under **Section 188** exceeds **₹1,00,000**.

***For Specified IFSC Public Companies***:

- **Section 184(2)** applies with **relaxation**—the **interested director may participate** in the meeting, **provided disclosure** is made either **before or during** the meeting.

### 24.1 RULE 9 OF COMPANIES (MEETINGS OF BOARD AND ITS POWERS) RULES, 2014

I. Every director shall **disclose concern or interest** (including **shareholding**) in companies, bodies corporate, firms, or associations by submitting **Form MBP-1** in writing.

II. It shall be the **duty of the director** giving the notice to ensure that it is **disclosed in the meeting** held **immediately after** the date of the notice.

III. All such **notices** shall be kept at the **registered office** and **preserved for 8 years** from the end of the financial year they relate to, in the **custody of the company secretary** or another person **authorised by the Board**.

## 25. LOANS TO DIRECTORS (SECTION 185)

According to **Section 185(1)**, **no company shall**, directly or indirectly, **advance any loan**, including any loan represented by a **book debt** to, or give any **guarantee** or provide any **security** in connection with any loan taken by–

(a) Any **director** of the company, or of a company which is its **holding company**, or any **partner** or **relative** of any such director; or

(b) Any **firm** in which any such director or relative is a **partner**.

Under **Section 185(2)**, a company **may advance** any loan (including book debt), or give guarantee/security **to any person** in whom any of the **directors of the company is interested**, **subject to the following conditions**:

(i) A **special resolution** is passed by the company in a general meeting.

The **explanatory statement to the notice** for the meeting shall disclose full particulars of the loans, guarantees, or securities, their proposed utilisation, and any other relevant facts; **and**

(ii) The **loans** are **utilised by the borrowing company** for its **principal business activities**.

For the purposes of *Section 185(2),* the expression **"any person in whom any of the director of the company is interested"** means—

(a) Any **private company** in which such director is a **director or member**;

(b) Any **body corporate** in which **not less than 25% of total voting power** may be exercised or controlled by such director or by two or more such directors together;

(c) Any **body corporate**, the **Board of directors**, **managing director**, or **manager** whereof is accustomed to act as per **directions/instructions** of the Board or any director(s) of the lending company.

***Section 185(3)***:

The provisions of sub-sections (1) and (2) **shall not apply** to—

(a) Loans to a **managing or whole-time director**—

(i) As part of **conditions of service** extended to all employees, or

(ii) Pursuant to any **scheme approved** by members through a **special resolution**.

(b) A **company** which in the **ordinary course of business** provides loans or guarantees or securities, and such loans bear interest **not less than** the **Government security yield** (1, 3, 5, or 10 years) closest to the loan tenor;

(c) Any **loan by a holding company** to its **wholly owned subsidiary** or **guarantee/security** for loans taken by such subsidiary;

(d) Any **guarantee or security** by a **holding company** for loans taken by its subsidiary from a **bank or financial institution**:

*Provided that loans under clauses (c) and (d) are utilised for the subsidiary's* ***principal business activities.***

***Contravention of Section 185 results in penalties:***

**Company**: Fine not less than **₹5,00,000**, up to **₹25,00,000**;

**Officer in default**: Imprisonment up to **6 months**, or fine between **₹5,00,000 to ₹25,00,000**, or both;

**Director/Person receiving the loan**: Imprisonment up to **6 months**, or fine between **₹5,00,000 to ₹25,00,000**, or both.

# PAST YEAR QUESTIONS

1. Mamta is a woman director in ABC Ltd., a listed company. On 15th July, 2023 she resigned from the post of women's director. The Board of Directors of ABC Ltd., appointed Sanchi as a woman director in the board meeting held on 16th September, 2023, to fill the vacancy of woman director, which had occurred as a result of the resignation of Mamta. Examine the validity ofthe appointment of Sanchi as a woman director with reference to the provisions of the Companies Act, 2013. What would be your answer, if Sanchi is appointed as a women director in the board meeting held on 1st October, 2023? **[Dec. 2023 (5 Marks)]**

2. Prapti Hotels Ltd. wants to appoint Susmita as an independent director from 1st January, 2022. It came to the knowledge of the Vice President (Commercial) of the company that Susmita stayed at their hotel at Ooty for three days from 1st June to 3rd June, 2021, at a room rent of ₹ 2,500 per day and thus had entered into a transaction with the company. The Hotel charged the same room rent to other members of the general public during that time.

   Advise the Vice President (Commercial), if Susmita can be appointed as an independent director of the company from 1st January, 2022. **[June 2023 (4 Marks)]**

3. JK Scooters Ltd. is a listed company and wants to appoint a small shareholders' director suo motu. You are the Company Secretary of the company. Apprise the managing director on the following points, referring to the provisions of the Companies Act, 2013.

   Is it mandatory for a listed company to appoint a small shareholders' director with or without receiving a notice from a requisite number of such shareholders?

   (a) Tenure of office and retiring by rotation?

   (b) Number of small shareholderwhs' directorship.

   (c) Small shareholders' director to be an independent director. **[Dec. 2023 (5 Marks)]**

4. Bhupesh is a director of ABC Ltd., which is a Government Company. The company has accepted deposits from the public in the financial year 2020- 2021. As on 31st March 2022, deposits of ₹ 51 Crore were outstanding and the due date of repayment of the deposit was 1st September 2022. The financial position of ABC Ltd. turned bad, and the company failed to repay the deposits, which were due for repayment on 1st September, 2022, and such repayment has not been made to date. Another company, TNC Ltd., wants to appoint Bhupesh as a director in TNC Ltd. in its Annual General Meeting (AGM) to be held on 15th October, 2023. As a Company Secretary, advise TNC Ltd., with reference to the provisions of the Companies Act, 2013, whether Bhupesh can be appointed as a director of TNC Ltd.?

   **[Dec. 2023 (4 Marks)]**

5. Sunil, a shareholder (holding 15% shares) of JJ Chemicals Limited (the company), and other shareholders have lost confidence in the managing director (MD) of the company, who is a director not liable to retire by rotation and was re-appointed as managing director for 5 years w.e.f. 1st April, 2024, in the last annual general meeting of the company held in 2023. Sunil wants to know from you the procedure/steps to be taken by him and the company on this behalf. **[June 2024 (5 Marks)]**

CHAPTER 14

# BOARD COMPOSITION AND POWERS OF THE BOARD

**Regulatory Framework**

- The Companies Act, 2013 (Section 177-188)
- The Companies (Meetings of Board & Powers) Rules, 2014
- Secretarial Standard (SS-1 & SS-2)
- SEBI (LODR) Regulations, 2015

## 1. INTRODUCTION

**Board of Directors – Core of Corporate Governance**

- The **Board of Directors** plays a central role in corporate governance by supervising how management serves and safeguards the **long-term interests of stakeholders**.
- The concept of a **Board** stems from the idea that a trustworthy and reputable group should protect the interests of shareholders not directly managing the company.
- **Shareholders and investors** place their confidence in the Board to oversee and guide company affairs on their behalf.
- The **Board's role is fiduciary**, entrusted with acting in the **best interests of the company**.
- It is accountable for:
  - (i) **Creating, protecting, and enhancing shareholder wealth**
  - (ii) **Optimizing resource utilization**
  - (iii) **Ensuring timely, transparent performance reporting**
  - (iv) **Ensuring compliance** with applicable laws

**Key Functions of the Board**

- The Board usually performs **three critical roles**:
  - (i) **Direction** – Setting the company's strategic course.
  - (ii) **Control** – Monitoring the management's actions.
  - (iii) **Advisory** – Providing support and expert guidance.

**Board Independence and Composition**

- The Board should include **independent-minded directors**, with a balanced mix of:
  - (i) **Executive directors**
  - (ii) **Independent directors**
  - (iii) **Non-executive, non-independent directors**
- It should be:
  - (i) Of **appropriate size**
  - (ii) **Diverse** in expertise and perspectives
- **Board committees** may be formed for efficient functioning.

As per **Sir Christopher Hogg**, "Good boards are pretty uncomfortable places and that's where they should be."

As per **Section 2(10)** of the Companies Act, 2013, the **"Board"** refers to the **collective body of directors**.

## 2. BOARD COMPOSITION

**Individuals as Directors**

- Under **Section 149(1)**, **only individuals** can be appointed as directors.
- As per **Section 2(34)**, a **director** is an individual appointed to the Board under the Companies Act.

**Minimum Number of Directors**

- **Section 149(1)** specifies:
  - (i) **3** directors – Public Company
  - (ii) **2** directors – Private Company
  - (iii) **1** director – One Person Company

As per **SEBI (LODR) Regulation 17**:

- **Top 1000 listed entities** (from 1st April 2019) and **Top 2000 entities** (from 1st April 2020) must have **at least 6 directors**.

**Producer Companies – Section 378(o)**

- Must have a **minimum of 5 and a maximum of 15 directors**.
- In the case of **inter-state cooperative societies**, more than 15 directors are allowed for **1 year from incorporation**.
- Election of directors to occur within **90 days** of registration (or **365 days** for converted inter-State societies).

**Maximum Number of Directors**

- A company may have **up to 15 directors** (Section 149(1)).
- **More than 15 directors were allowed** through a **special resolution**.
- **Government Companies** and **Section 8 Companies** are **exempt** via notifications.

**Minimum Director Requirement – Consequences of Non-compliance**

- If the number of directors falls **below the statutory minimum**, any decision taken is **invalid**.
- If Articles require a **higher number than law**, that must be complied with.
- **Lack of quorum** due to insufficient directors renders decisions **void**.

### 2.1 BOARD COMPOSITION IN LISTED ENTITIES

Independence of the Board and its composition with a balanced mix of executive and non-executive directors is prescribed under ***Regulation 17 of SEBI (LODR) Regulations, 2015***, which stipulates that the composition of the board of directors of the listed entity shall be as follows:

- BOD shall have an optimum combination of executive and non-executive directors with at least one women director and not less than 50% of the board of directors shall comprise of NED. [top 1000 listed entities shall have at least one independent woman Director]
- Where the chairperson = non-executive director, at least one-third of BOD shall be independent directors &, where the chairperson = executive director, at least half of BOD shall be independent directors
- Where the listed company has outstanding Superior Voting Rights Equity Shares, at least half of the board of directors shall be independent directors.

**Age Limit for Non-Executive Directors:**

- Cannot appoint/continue **non-executive directors aged 75+** unless a **special resolution** is passed with proper **justification** in the explanatory statement.

*Additional Directorship Limits for Listed Companies – Regulation 17A, SEBI (LODR), 2015*

- As per **Regulation 17A** of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the following restrictions apply on the **maximum number of directorships** (including **alternate directorships**) that a person may hold:

**General Cap on Directorships:**

- A person shall **not be a director in more than:**
  - Eight **listed entities** – effective from **April 1, 2019**
  - Seven **listed entities** – effective from **April 1, 2020**

**Cap on Independent Directorships:**

- A person shall **not serve as an Independent Director** in more than **7 listed entities**.

**Additional Restriction for Executive Directors:**

- A person serving as a **Whole-Time Director (WTD)** or **Managing Director (MD)** in any listed entity shall **not act as an Independent Director** in more than **3 listed entities**.

**Committee Membership Limits – Regulation 26, SEBI (LODR), 2015**

To ensure effective participation, SEBI limits the **committee involvement** of directors in listed companies:

**Overall Limits:**

- A director shall not:
  - Be a **member in more than 10 committees**, or
  - Be **chairperson in more than 5 committees**

  – across **all listed entities** where he/she is a director.

**Determination Rules:**

(a) **Scope of Companies Covered**:
  - Only **public companies** (listed or unlisted) are counted.
  - **Excluded companies**: Private companies, Section 8 companies, foreign companies, and **high-value debt listed entities**.

(b) **Committees Considered**:
  - Only the **Audit Committee** and the **Stakeholders' Relationship Committee** are considered for this limit.
  - Other board committees are **not counted**.

## 3. BOARD COMMITTEES

A **Board Committee** is a smaller working group, formed by the **Board of Directors**, comprising some of its members to assist in carrying out specific responsibilities.

Committees are usually constituted to **leverage subject-matter expertise** and manage the board's workload more efficiently.

These committees provide **in-depth scrutiny**, prepare the **groundwork for decision-making**, and submit their findings and recommendations to the full board in subsequent meetings.

While committees aid efficiency, the **ultimate responsibility remains with the full Board** for all committee actions.

## 3.1 FUNCTIONS OF BOARD COMMITTEE

***Key Functions of Board Committees***

1. **Governance Function**:
   - Committees may be delegated decision-making powers, including **financial authority** or **actionable mandates**.
   - While their scope may be **limited or broad**, decisions must align with the **interests of stakeholders**.
2. **Coordination Function**:
   - Committees improve operational focus in large boards by forming **specialized groups** (e.g., **Audit Committee**, **Finance Committee**, **Compensation Committee**).
   - These groups regularly review developments, projects, and cross-functional issues to streamline board coordination.
3. **Research & Recommendations**:
   - Temporary or **ad-hoc committees** may be set up to **study** particular matters or projects (e.g., **capital investments**) and provide **recommendations** to the board.
   - These committees are usually **dissolved** after submitting their report.

With rising **complexities in business** and **limited availability of directors**, committee structures have become essential to maintain efficiency while ensuring quality oversight.

## 3.2 POWERS OF THE BOARD TO FORM A COMMITTEE

The authority of the Board to form committees is derived from the **Articles of Association (AOA)** of the company:

- As per **Table F** (Companies Limited by Shares) and **Table H** (Companies Limited by Guarantee and not having share capital) under the **Companies Act, 2013**, the Board may:
  - **Delegate powers** to a committee composed of board members.
  - Impose **regulations** or conditions on how these powers are exercised.

**SEBI LODR Requirement for Committees**

According to **Regulation 4 of SEBI (LODR) Regulations, 2015**:

- If a listed company constitutes any board committee, the **mandate, composition, and working procedures** of such committee must be:
  - **Clearly defined**, and
  - **Disclosed** by the Board of Directors.

## 3.3 MANDATORY BOARD COMMITTEES

**Certain committees** are required by law under:

- The **Companies Act, 2013** – applicable to **specific classes of companies**
- The **SEBI (LODR) Regulations, 2015** – mandatory for **listed companies**

# 4. AUDIT COMMITTEE

The Audit Committee is one of the main pillars of the Corporate Governance mechanism in any company.

The main function of an Audit Committee is oversight of financial disclosures, reporting, internal and external audits, internal control, accounting, regulatory compliance, and risk management.

Its main aim is to strengthen the confidence of stakeholders in the company's financial statements and announcements, its internal control process, and the risk management process.

***The constitution of the Audit Committee is mandated under the Companies Act, 2013, and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.***

## 4.1 CONSTITUTION OF AUDIT COMMITTEE

***Section 177(1) of the Companies Act, 2013, read with Rule 6 of the Companies (Meetings of the Board and its Powers) Rules, 2014***, provides that the Board of Directors of the following companies are required to constitute an Audit Committee of the Board-

**(i) Every listed public company;**

**(ii) All public companies with a paid-up share capital of 10 crore rupees or more; or**

**(iii) All public companies having a turnover of 100 crore rupees or more; or**

**(iv) All public companies having aggregate outstanding loans, debentures, and deposits exceeding 50 crore rupees.**

**Exemptions**: Joint Ventures, Wholly-Owned Subsidiaries, Dormant Companies (Section 455).

## 4.2 COMPOSITION OF THE AUDIT COMMITTEE

***The audit committee needs to consist of the following:***

| Criteria | Companies Act, 2013 | SEBI (LODR) Regulations, 2015 |
|---|---|---|
| **Members** | Minimum **3 directors** | Minimum **3 directors** |
| **Independent Directors** | **The majority** should be Independent Directors (Not applicable to Section 8 Companies) | **Two-thirds** must be Independent; for companies with SR equity shares, **all** must be Independent |
| **Chairperson** | No specific requirement | Must be an **Independent Director** |
| **Qualification** | Majority, including the Chairperson, should be able to **read and understand financial statements** | All members must be **financially literate**; **at least one** must have **accounting/financial expertise** |
| **Attendance at AGM** | SS-2: The Chairperson or an authorized member should attend | **The chairperson must attend** to address shareholder queries |
| **Secretary** | Not specified | **Company Secretary** |
| **Participation of Others** | May consult **auditors** and **management** on internal controls and financial matters | May invite the **finance head**, **internal auditors**, **statutory auditors**, or any relevant executive; may also meet **without executives** occasionally |
| **Meetings** | As per **SS-1**: As often as required. | As per **SEBI**: At least **4 times a year**, and not more than **120 days** between two meetings. |
| **Quorum** | **Companies Act**: As per Board-specified norms; if not specified, **all members** must be present. | **SEBI**: Minimum **2 members** or **1/3rd** of the total, whichever is greater, with at least **2 Independent Directors**. |

## 4.3 POWER OF AUDIT COMMITTEE

Can **investigate** matters under Section 177(4) or as referred by the Board.

May seek **external professional advice** and access **company records**.

SEBI regulations also permit:

- Seeking information from **any employee**.
- Obtaining **legal or professional advice**.
- Inviting **external experts**.

## 4.4 FUNCTIONS/ROLE OF THE AUDIT COMMITTEE

***Specified in writing by the Board and include:***

(a) Recommending **appointment, remuneration, and terms** of the auditors.

- *(For Government Companies: Only recommendation of remuneration applies – Notification dated 5 June 2015).*

(b) Reviewing the **auditor's independence** and **audit effectiveness**.

(c) Examining **financial statements** and **auditor reports**.

(d) Approving or modifying **related party transactions**.

(e) *May provide **omnibus approvals** under Rule 6A.*

(f) Scrutinizing **inter-corporate loans/investments**.

- Valuation of **assets or undertakings**.

(g) Evaluating **internal controls** and **risk management** systems.

(h) Monitoring **use of public issue proceeds** and related aspects.

***Exemption: Section 177 is not applicable to Specified IFSC Public Companies.***

## 4.5 OMNIBUS APPROVAL OF RELATED PARTY TRANSACTIONS [RULE 6A OF THE COMPANIES (MEETINGS OF BOARD AND ITS POWERS) RULES, 2014]

**The Audit Committee** must define **criteria** for omnibus approval of RPTs after **Board approval**.

The criteria must include:

(a) **Aggregate maximum value** of transactions allowed in a year.

(b) **Maximum value per transaction** allowed.

(c) **Disclosures** required at the time of seeking omnibus approval.

(d) **Review frequency** for transactions approved under the omnibus route.

(e) **Exclusions**, i.e., transactions not eligible for omnibus approval.

**While defining criteria, the Audit Committee must consider:**

(a) **Repetitiveness** of transactions.

(b) **Justification** for omnibus approval.

The committee must **ensure** that:

(a) Omnibus approval is required for **repetitive transactions**.

(b) Approval is **in the interest of the company**.

**Omnibus approval must include**:

(a) **Name of related party**.

(b) **Nature and duration** of the transaction.

(c) **Maximum amount** permitted.

(d) **Indicative price/contracted price** and price variation formula.

(e) **Other relevant information** for decision-making.

**Exception:** Where details are not foreseeable, omnibus approval may still be granted, but **transaction value must not exceed ₹1 crore** per transaction.

- **Validity:** Omnibus approval is valid for **one financial year** and must be renewed thereafter.
- **Restriction:** No omnibus approval for **sale/disposal of undertakings**.
- The Audit Committee may impose **additional conditions** as deemed fit.

**Circular Resolution by Audit Committee**

- **Section 188(1)** prohibits the Board from approving RPTs via **circular resolution**.
- However, the **Companies Act is silent** on Audit Committee circular resolutions.
- By applying **SS-1** and legislative intent:
  - **Transactional approvals** of RPTs must be discussed **at meetings**, not through circulation.
  - **Omnibus limits**, however, **can be approved** via circular resolution.

**Special RPT Situations under Section 177(4)**

**Non-188 RPTs**:

- If **not approved** by the Audit Committee, the company must forward to the Board with recommendations.

**RPTs under ₹1 crore:**

- If entered without prior Audit Committee approval, it must be **ratified within 3 months**.
- Otherwise, the transaction becomes **voidable** at the discretion of the Audit Committee.
- If initiated by a director or related party, that **director must indemnify** the company against losses.

**Transactions with Wholly Owned Subsidiaries (WOS):**

- If not covered under Section 188 → **Audit Committee approval not required**.
- If covered under Section 188 → **Audit Committee approval is required**, even if with WOS.

**Rights of Auditors and KMP**

- **Auditors and Key Managerial Personnel (KMPs)** have the right **to be heard** in Audit Committee meetings when the auditor's report is considered.
- They do **not have voting rights**.

## 4.6 DISCLOSURE IN BOARD'S REPORT [SECTION 177(8)]

- The composition of the Audit Committee must be **disclosed in the Board Report**.
- If the Board **disagrees with any recommendation**, reasons must be disclosed in the same report.

## 4.7 THE ROLE OF AUDIT COMMITTEE AS PRESCRIBED UNDER PART C OF SCHEDULE II OF SEBI (LODR) REGULATION, 2015

The role of the Audit Committee under ***Regulation 18*** is wider than the Companies Act, 2013, which includes:

- Oversight of **financial reporting** and **disclosures**.
- Recommending **auditor appointments** and their **remuneration**.
- Approving payments for **non-audit services**.
- **Reviewing:**
  - **Annual and quarterly financial statements**.
  - **Auditor's reports** and **modified opinions**.
  - **Use of issue proceeds** and monitoring agency reports.
  - **Auditor independence** and **performance**.
  - **RPTs and inter-corporate loans**.
  - **Valuation of assets**, internal controls, and risk systems.
  - **Performance of internal/statutory auditors**.
  - **Whistleblower mechanism**.
  - **Appointment of CFO** (qualifications and background).
  - **Mergers, demergers**, or restructuring impact.
  - **Utilization of holding company loans/investments** in subsidiaries exceeding ₹100 crore or 10% of assets.

**The Audit Committee shall mandatorily review the following information:**

(i) **Management Discussion & Analysis** of Financial Performance.

(ii) **Internal audit reports** and **statutory auditors' letters** on internal control weaknesses.

(iii) Review of **Chief Internal Auditor's appointment, removal**, and remuneration.

(iv) **Statement of Deviations**:

- Quarterly and annual disclosures under **Regulation 32** of SEBI (LODR).

## 5. VIGIL MECHANISM [SECTION 177(9) TO 177(10)]

***Section 177(9) of the Act read with Rule 7 of the Companies (Meetings of Board and its Powers) Rules, 2014*** provides for the establishment of a Vigil Mechanism for their directors and employees to report their genuine concerns or grievances as under:

(i) **Every listed company**.

(ii) **Companies accepting public deposits**.

(iii) **Companies that have borrowed more than ₹50 crore** from banks or public financial institutions.

**Purpose**:

To enable **reporting of genuine concerns or grievances** safely and confidentially.

**Safeguards**:

- Adequate **protection against victimization** for whistleblowers.
- **Direct access** must be provided to the **Chairperson of the Audit Committee**, or in exceptional cases, to the **Director nominated** for the role.

**Frivolous Complaints**:

- In case of **repeated baseless complaints** by a director or employee, the Audit Committee (or the nominated director) may take **suitable action**, including **reprimand**.

**Oversight**:

- Companies required to have an Audit Committee must ensure **oversight by the Committee**.
- In case any Committee member has a **conflict of interest**, they must **recuse themselves**, and the rest of the Committee handles the matter.
- For companies **not required** to have an Audit Committee, the **Board shall nominate a Director** to oversee the vigil mechanism.

**Disclosure Requirements**:

- Details of the Vigil Mechanism must be disclosed in the **Board's Report** and also on the **company's website**, if any.

**Extended Coverage for Listed Companies**:

- Although Section 177(9) mandates vigil mechanisms for **directors and employees**, listed companies must also extend it to **all stakeholders**.

**SEBI (LODR) Regulations on Vigil Mechanism**

**Regulation 4(2)(d)(iv)**:

- Listed companies must establish an **effective vigil mechanism/whistleblower policy** enabling **stakeholders**, including employees and their representatives, to **report illegal or unethical practices** freely.

**Regulation 22**:

- Vigil mechanism must include:
  - **Safeguards against victimization** of whistleblowers.
  - Provision for **direct access** to the **Chairperson of the Audit Committee** in appropriate or exceptional cases.

## 6. SECTION 178: NOMINATION AND REMUNERATION COMMITTEE

***The Nomination and Remuneration Committee*** helps the Board of Directors in the preparations relating to the election of members of the Board of Directors, and in handling matters within its scope of responsibility that relate to the conditions of employment and remuneration of senior management, and to management's and personnel's remuneration and incentive schemes.

***The Board of Directors of the following companies shall constitute the Nomination and Remuneration Committee of the Board:***

(a) **Every listed public company**.

(b) **Unlisted public companies** meeting any of the following:

 (i) **Paid-up share capital** of ₹10 crore or more.

 (ii) **Turnover** of ₹100 crore or more.

 (iii) **Outstanding loans, debentures, and deposits** aggregating to ₹50 crore or more.

The paid-up share capital or turnover or outstanding loans, debentures, and deposits, as the case may be, as existing on the last date of the latest audited financial statements shall be taken into account for the above purpose.

***The following classes of unlisted public companies shall not be covered for the above purpose:***

(a) A joint venture;

(b) A wholly owned subsidiary; and

(c) A dormant company as defined under section 455 of the Act.

### 6.1 COMPOSITION OF NOMINATION AND REMUNERATION COMMITTEE

| Aspect | Companies Act, 2013 | SEBI (LODR), 2015 |
|---|---|---|
| **Number of Directors** | Minimum **3 non-executive directors** | Minimum **3 non-executive directors** |
| **Chairperson of the Company** | May be a member but **not a chairperson** of the committee | Same provision |
| **Independent Directors** | **At least 50%** of members | **At least two-thirds** of members |
| **Chairperson of the Committee** | Not specified | Must be an **Independent Director** |
| **Presence at AGM/ GM** | The chairperson or authorized member must attend | The chairperson *may* attend and answer queries |
| **Meetings** | As often as required (as per SS-1 or the Board's stipulation) | Minimum **once per year** |
| **Quorum** | If unspecified, **all members** must be present (as per SS-1) | Minimum **two members or one-third**, including **one Independent Director** |

### 6.2 FUNCTIONS OF NOMINATION AND REMUNERATION COMMITTEE

***As per section 178(2) of the Act***, the Committee shall identify the person qualified to become Directors and may be appointed in senior management, in accordance with the criteria laid down and recommend to the Board their appointment and removal and shall specify the manner for effective evaluation of performance of Board, its Committees and individual directors to be carried out either by the Board, by the Nomination and Remuneration Committee or by an independent external agency and review its implementation and compliance.

***As per section 178(3) of the Act***, the Committee shall formulate the criteria for determining qualifications, positive attributes, and independence of a Director and recommend to the Board the policy relating to remuneration for Directors, KMPs, and other employees.

As per section 178(4) of the Act, while formulating its policy, the Nomination and Remuneration Committee shall ensure that:

(a) The level and composition of remuneration is reasonable and sufficient to attract, retain, and motivate the directors of the quality required to run the company successfully;

(b) Relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and

(c) Remuneration to directors, key managerial personnel, and senior management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals:

Such policy shall be placed on the website of the company, if any, and the salient features of the policy and changes therein, if any, along with the web address of the policy, if any, shall be disclosed in the Board's report.

**Exceptions:**

In case of Government company - Sub-sections (2), (3) and (4) of Section 178, shall not apply except with regard to appointment of 'senior management' and other employees;- Notification dated 5th June, 2015.

### 6.3 FUNCTIONS OF THE NOMINATION AND REMUNERATION COMMITTEE AS SPECIFIED IN PART D OF THE SCHEDULE II OF SEBI (LODR) REGULATION, 2015

1. Frame criteria for **qualifications, independence, and positive attributes** of directors.
2. Recommend policy for **remuneration of Directors, KMPs, and employees**.
3. For **Independent Directors**:
   (a) Evaluate **skills, knowledge, and experience** required.
   (b) Describe role and capabilities for prospective candidates.
   (c) Use **external agencies**, if necessary.
   (d) Ensure **diverse backgrounds** and assess **time commitment**.
4. Devise criteria for **performance evaluation** of Board and Independent Directors.
5. Develop a **Board diversity policy**.
6. Identify and recommend **qualified candidates** for directorship and senior management roles.
7. Decide on **term extension** or continuation of Independent Directors based on evaluation.
8. Recommend **remuneration** of senior management in any form.

## 7. SECTION 178- STAKEHOLDERS RELATIONSHIP COMMITTEE

**Mandatory Constitution**:

Under **Section 178(5)** of the Companies Act, 2013, a **Stakeholders Relationship Committee (SRC)** must be constituted if the company has **more than 1000** shareholders, debenture-holders, deposit-holders, or other security holders at any time during a financial year.

### 7.1 COMPOSITION OF STAKEHOLDERS RELATIONSHIP COMMITTEE

I. **Companies Act, 2013**:
   - The SRC shall include a **Chairperson** and **other members** as decided by the Board.
   - The Chairperson must be a **non-executive director**.

II. **SEBI (LODR) Regulation 20**:
   - Minimum **three directors** must be appointed, with at least **one independent director**.
   - If the company has **SR equity shares**, at least **two-thirds** of the members must be **independent directors**.
   - The Chairperson must be a **non-executive director**.
   - The Chairperson must be **present at the AGM** to respond to shareholder queries.

III. **Meetings**:

- As per **Secretarial Standard-1 (SS-1)**, meetings should be held **as necessary**, respecting any legal or Board-prescribed frequency.
- SEBI (LODR): **At least once a year**.

IV. **Quorum**:

- SS-1: If not specifically provided, the **presence of all members** is required for a quorum.
- SEBI (LODR): **No specific provision** for quorum.

## 7.2 FUNCTIONS OF STAKEHOLDERS RELATIONSHIP COMMITTEE

The main function of the committee is to consider and resolve the grievances of security holders of the company.

On similar terms, ***Part D of the Schedule II of the SEBI (LODR) Regulations, 2015*** provides the role of the committee, which inter alia includes the following:

(a) Resolving the grievances of the security holders of the listed entity, including complaints related to transfer/ transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new/ duplicate certificates, general meetings etc.

(b) Review of measures taken for the effective exercise of voting rights by shareholders.

(c) Review of adherence to the service standards adopted by the listed entity in respect of various services being rendered by the Registrar & Share Transfer Agent.

(d) Review of the various measures and initiatives taken by the listed entity for reducing the quantum of unclaimed dividends and ensuring the timely receipt of dividend warrants/annual reports/statutory notices by the shareholders of the company.

***Resolves grievances of security holders, including:***

- Transfer/transmission of shares
- Non-receipt of annual reports, dividends
- Duplicate certificates
- Issues relating to general meetings

**Reviews:**

- Measures ensuring **effective voting rights**
- **Adherence to service standards** by RTA
- Efforts to **reduce unclaimed dividends** and ensure timely delivery of dividends, reports, notices, etc.

**Penalty for Non-Compliance:**

***Section 178(8) provides*** that in case of any contravention of the provisions of section 177 and section 178, the company shall be liable to a penalty of ***five lakh rupees*** and every officer of the company who is in default shall be ***liable to a penalty of one lakh rupee***.

***However, the inability to resolve or consider any grievance by the Stakeholders Relationship Committee in good faith shall not constitute a contravention of this section.***

**Independent Directors' Duty [Schedule IV – Clause II (5)]:**

- Must **safeguard the interests** of all stakeholders, especially **minority shareholders**, and **balance conflicting interests**.

## 8. RISK MANAGEMENT COMMITTEE

**Constitution of RMC**

- The Companies Act, 2013, does **not mandate** a separate RMC. However:
  - **Section 134(3)(n)**: Board Report must include details on **risk management policy**.
  - **Section 177(4)(vii)**: Audit Committee must evaluate **internal controls and risk systems**.
  - **Schedule IV (Part II)**: Independent directors must bring **independent judgment** on risk matters.

**Applicability under SEBI (LODR) Regulation 21**

- **Top 1000 listed entities** (by market capitalization)
- **High-value debt listed entities**

### 8.1 COMPOSITION OF RISK MANAGEMENT COMMITTEE

**Composition of RMC**

- Minimum **3 members**, majority from the **Board**, including at least **1 independent director**
- In case of **SR equity shares**, at least **two-thirds** must be **independent directors**
- Chairperson must be a **Board member**
- Senior executives **may be included**

**Meetings and Quorum**

- Must meet **at least twice a year**
- **Quorum**: Either **two members** or **one-third**, whichever is higher, with **at least one board member**
- **Max gap** between meetings: **210 days**

### 8.2 FUNCTIONS/ROLE OF RISK MANAGEMENT COMMITTEE

**Mandatory roles** under Part D, Schedule II of SEBI (LODR):

- Formulate **risk management policy**
- Ensure appropriate **risk evaluation systems**
- Oversee **implementation** of risk management policy
- Review policy **once in two years**
- Inform the Board on discussions, actions, and recommendations
- Specifically address **cybersecurity risks**

### 8.3 POWERS OF RISK MANAGEMENT COMMITTEE

- May **seek information** from employees
- Can obtain **external legal/professional advice**
- May invite **experts** to attend meetings, if needed

## 9. CORPORATE SOCIAL RESPONSIBILITY (CSR) COMMITTEE [SECTION 135]

**Applicability of the CSR Committee**

- Every company with:
  - **Net worth** of ₹500 crore or more, or
  - **Turnover** of ₹1000 crore or more, or
  - **Net profit** of ₹5 crore or more

During the **preceding financial year**, must constitute a **CSR Committee**.

If the **CSR obligation** does **not exceed ₹50 lakh**, the constitution of a CSR Committee is **not required**. In such cases, the **Board itself** shall discharge the functions of the Committee.

A company with any **Unspent CSR amount** in its account under **Section 135(6)** must constitute a **CSR Committee** and comply with **sub-sections (2) to (6)** of Section 135.

*(As per Second Proviso to Rule 3(1), Companies (CSR Policy) Rules, 2014)*

## 9.1 COMPOSITION OF CSR COMMITTEE

- Shall consist of **three or more directors**, with at least **one independent director**.
- If the company is **not required to appoint an independent director** under Section 149(4), then the Committee should consist of **two or more directors**, and may function **without an independent director**.
- A **private company** with only **two directors** may constitute the CSR Committee with those **two directors**.
- In case of a **foreign company**, the CSR Committee shall include:
  - At least **two persons**, one of whom must be:
    - A person specified under **Section 380(1)(d)**, and
    - A **nominee of a foreign company**.

## 9.2 MEETINGS/QUORUM

- As per **Secretarial Standard-1 (SS-1)**:
  - The Committee must meet **as often as necessary**, adhering to the minimum frequency prescribed by law, the Board, or regulators.
- The **Chairperson** of the Committee shall be:
  - Appointed by the Board or elected by Committee members.
  - If no Chairperson is appointed or is absent, the members present shall **elect one among them** to chair the meeting, unless otherwise provided in the Articles.
- **Quorum**:
  - If not specified by the Act, Articles, or other laws, the **presence of all members** is required.
  - Otherwise, the quorum shall be as **specified by the Board**.

## 9.3 FUNCTIONS OF CSR COMMITTEE

- **Formulate and recommend** the **CSR Policy** to the Board, covering activities listed in **Schedule VII** of the Companies Act, 2013.
- **Recommend the CSR expenditure** to be incurred by the company.
- **Monitor the CSR Policy** from time to time.
- As per CSR Rules, the Committee must **formulate and recommend** an **Annual Action Plan**, including:
  (a) List of **CSR projects or programmes** to be undertaken.
  (b) Manner of **execution** (as per Rule 4(1)).
  (c) **Utilisation schedule** and **fund flow modalities**.
  (d) Mechanisms for **monitoring and reporting**.
  (e) Details of **need and impact assessment**, if applicable.
- The Board may **alter the annual action plan** at any point during the year based on **CSR Committee recommendations** and **reasonable justification**.

### 9.4 DISCLOSURES RELATED TO CSR COMMITTEE

- The Board must:
  - **Approve the CSR Policy** after considering the Committee recommendations.
  - **Disclose the CSR Policy** in the Board's Report and **upload it** on the company's **website**, if available.
- The company must also **disclose** the:
  - **Composition of the CSR Committee**,
  - **CSR Policy**, and
  - **CSR projects** approved by the Board,

  on its **website** for **public access**.

*(Note: For further details, refer to Chapter 17 – Corporate Social Responsibility – Concepts.)*

## 10. OTHER BOARD COMMITTEES

In addition to the statutory Committees such as the **Audit Committee**, **Nomination and Remuneration Committee**, **Stakeholders Relationship Committee**, and the **CSR Committee**, the Board may set up other **non-mandatory Committees** for specialized functions or oversight of specific projects.

**Examples of Other Committees:**

1. **Corporate Governance Committee**
2. **Science, Technology & Sustainability Committee**
3. **Regulatory, Compliance & Government Affairs Committee**
4. **Investment Committee**
5. **Ethics Committee**

- The **nomenclature**, **composition**, and **roles** of these Committees vary based on the **company's objectives** and specific **project requirements**.

## 11. POWERS OF BOARD [SECTION 179]

- **Shareholders** derive their powers from the **Memorandum of Association (MoA)**. Hence, a company can exercise all powers except those that are **ultra vires**.
- The **Board of Directors** is empowered to do all acts and things that the company is authorized to do, **except**:
  - Those requiring **approval in a general meeting** as per the Companies Act, 2013;
  - Where **shareholders have regulated** the conduct of directors;
  - Or where the **Articles of Association** restrict such powers.

**General Powers of the Board**

I. As per **Section 179(1)**:
  - The Board may exercise **all powers** and do all such acts as the company itself is empowered to do.
  - Subject to the provisions of:
    - The **Companies Act, 2013**,
    - The **Memorandum and Articles of Association**,
    - And any **regulations made by the company in a general meeting**.

II. **No regulation** made in a general meeting shall **invalidate prior acts** of the Board that were valid before such regulation.

**Powers to Be Exercised Only by Board Resolution [Section 179(3) & Rule 8]**

The following powers must be exercised **only through resolutions passed at Board Meetings**:

(a) To **make calls** on shareholders for unpaid share capital;

(b) To authorize **buy-back** of securities under Section 68;

(c) To **issue securities**, including debentures in or outside India;

(d) To **borrow monies**;

(e) To **invest company funds**;

(f) To **grant loans**, or **give guarantees/security** in respect of loans;

(g) To approve the **financial statements** and the **Board's report**;

(h) To **diversify** the business;

(i) To approve **amalgamation, merger or reconstruction**;

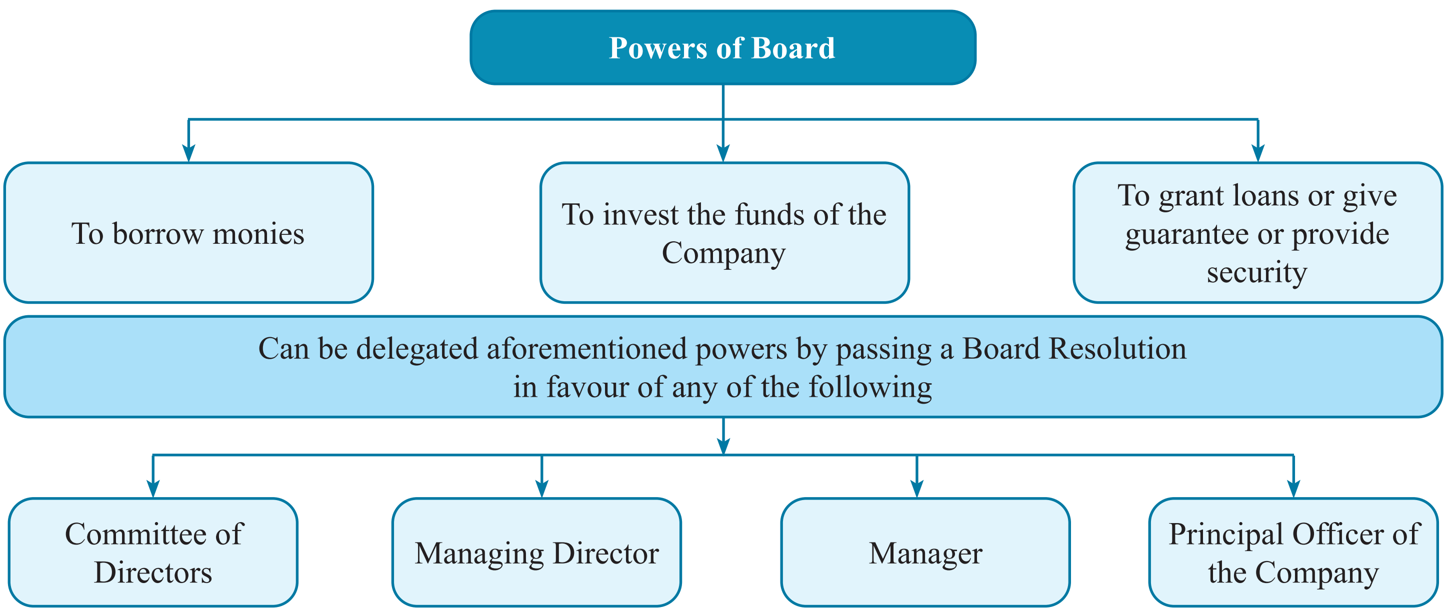
(j) To **take over** or acquire a **controlling/substantial stake** in another company;

(k) To make **political contributions**;

(l) To **appoint or remove Key Managerial Personnel (KMP)**;

(m) To appoint **Internal Auditors** and **Secretarial Auditors**.

## 12. DELEGATION OF POWERS OF BOARD




As per the **First Proviso to Section 179(3)**, the Board may delegate the following powers:

- **To borrow money**;
- **To invest funds of the company**;
- **To grant loans or provide guarantees/security** in respect of loans.

**Delegation may be made to:**

- A **committee of directors**,
- The **Managing Director**,
- The **Manager**,
- Or any **principal officer** of the company or branch.

**Important Note**:

- Such delegation must be done by **resolution at a Board Meeting**.
- It **cannot be done through circular resolution**.

**Special Provisions for Banking Companies**

**Deposits by the public** or **placement with other banks** are **not treated as borrowings or loans** under Section 179.

**Section 179(3)(d)** does **not apply** to borrowings by a **banking company** from:

- Other banking companies,
- **Reserve Bank of India (RBI)**,
- **State Bank of India (SBI)**,
- Or any other **statutory banks**.

**For arrangements with bankers:**

(a) The **exercise of power to borrow** under Section 179(3)(d) means setting up an arrangement (e.g., **cash credit or overdraft limits**) with bankers.

(b) **Routine operation** of these accounts is **not considered** fresh borrowing each time.

**General Meeting's Control Over Board Powers**

- Section 179 allows the **general meeting** to **impose restrictions or conditions** on how the Board exercises its powers.
- However, **existing valid acts** of the Board remain **unaffected** even if later restricted.

**Exceptions to Board Resolution Requirement**

**Section 8 Companies**:

- Powers under clauses **(d), (e), and (f)** (borrow, invest, loan/guarantee/security) **can be exercised by circulation** instead of a meeting.
- Refer: **Exemption Notification dated 5th June 2015**.

**Specified IFSC Public/Private Companies**

- The board may exercise powers via **Board Meeting or circular resolution**.
- Refer: **Notification dated 4th January 2017**.

## 13. RESTRICTION ON POWERS OF BOARD [SECTION 180]

The **Board of Directors** must obtain **approval via special resolution** from the company to exercise the following powers:

(a) To ***sell, lease or otherwise dispose of the whole or substantially the whole of the undertaking of the company*** or where the company owns more than one undertaking, of the whole or substantially the whole of any of such undertakings.

(b) ***To invest otherwise in trust securities*** the amount of compensation received by it as a result of any merger or amalgamation

(c) ***To borrow money, where the money to be borrowed, together with the money already borrowed by the company*** will exceed aggregate of its paid-up share capital, free reserves and securities premium apart from temporary loans obtained from the company's bankers in the ordinary course of business;

> ***Temporary loans refer to:***
> - Loans repayable on demand or within **6 months**;
> - Includes **cash credit, bill discounting**, or **seasonal loans**;
> - **Excludes** loans for **capital expenditure**.

☛ ***Banking company deposits from the public are not considered borrowings under this section.***

(d) To remit, or give time for the repayment of, any debt due from a director.

***The company cannot pass a blanket resolution in relation to borrowing money exceeding paid up share capital, free reserves, and securities premium***. It has to specify in the resolution the total amount up to which the money may be borrowed by the Board of Directors.

***Nothing contained in clause (a) of sub-section (1) of Section 180 shall affect;***

(a) The title of a buyer or other person who buys or takes on lease any property, investment or undertaking as is referred to in that clause, in good faith; or

(b) The sale or lease of any property of the company where the ordinary business of the company consists of, or comprises, such selling or leasing.

### 13.1 CONDITION MAY BE IMPOSED FOR RESOLUTION UNDER SECTION 180

***Any special resolution passed by the company*** consenting to the transaction as is referred to in *clause (a) of sub-section (1) of Section 180* may stipulate such conditions as may be specified in such resolution, including conditions regarding the use, disposal or investment of the sale proceeds which may result from the transactions.

However, this sub-section shall not be deemed to authorize the company to effect any reduction in its capital except in accordance with the provisions contained in this Act.

It is prescribed that no debt incurred by the company in excess of the limit imposed by clause (c) of sub-section (1) of Section 180 is valid or effectual, unless the lender proves that he advanced the loan in good faith and without knowledge that the limit imposed by that clause had been exceeded, the Company shall be liable for the repayment of the same.

***As per MCA Exemption Notification dated 05th June, 2015, Section 180 is exempted to Private Limited Companies.***

***Section 180 shall apply in case of a Specified IFSC public company, unless the articles of the company provides otherwise.***

## 14. VARIOUS CONTRIBUTIONS MADE BY COMPANY

**Various Contributions made by Company**

- Contributions to Charitable Funds (Section 181)
- Political Contributions (Section 182)
- Contributions to National Defence Fund (Section 183)

### 14.1 CONTRIBUTIONS TO CHARITABLE FUNDS [SECTION 181]

**Board's Power**: The Board may contribute to *bona fide charitable* and *other funds*.

- **Limit & Approval Requirement**: If the total contribution in a financial year **exceeds 5% of the average net profits** of the **three immediately preceding financial years**, prior **approval of the company in a general meeting** is mandatory.
- **Judicial View**: In *Graphite India Ltd. & Anr. vs. Dalpat Rai Mehta & Anr.*, the Calcutta High Court held that *contribution* implies **payment or aid without consideration**.

### 14.2 PROHIBITIONS AND RESTRICTIONS REGARDING POLITICAL CONTRIBUTIONS [SECTION 182]

**Prohibited Companies**:

- **Government Companies**
- Companies **less than three financial years old**

**Eligible Companies**: All other companies may contribute to **political parties**, subject to the following:

- **Board Resolution**: Must be **passed at a Board meeting**, serving as legal justification.
- **Disclosure**: Total contribution to be disclosed in the **profit and loss account**.
- **Payment Mode**: Contribution must be made via:
  - **(i) Account payee cheque**
  - **(ii) Account payee bank draft**
  - **(iii) Electronic clearing system**
  - **(iv) Any notified instrument under the relevant law**

***Definition: A Political party refers to one registered under Section 29A of the Representation of the People Act, 1951.***

**Deemed Political Contributions**:

- **Donations/subscriptions/payments** made to individuals or entities likely to influence **public support** for a political party.

**Expenditures on advertisements in:**

- **Souvenirs, brochures, pamphlets,** etc., published *by or on behalf of a political party*.
- Publications *not by* but **for the advantage** of a political party.

**Penalties for Contravention**:

- **Company:** Fine up to **five times the amount** contributed.
- **Officer in Default:** Imprisonment up to **6 months** and **fine up to five times** the contribution.

### 14.3 POWER OF BOARD AND OTHER PERSONS TO MAKE CONTRIBUTIONS TO NATIONAL DEFENCE FUND, ETC. [SECTION 183]

**Authority**:

The **Board**, **any authorized person**, or the **general meeting** may contribute **any amount** to:

- The **National Defence Fund**, or
- Any **other Fund approved** by the Central Government for national defence.

**Overriding Provision**:

This power overrides **Sections 180, 181, and 182**, as well as any **MOA, AOA or contract provisions**.
The company is required to disclose in its profit and loss account the total amount or amounts contributed by it during the financial year to which the amount relates.

## 15. INTER CORPORATE LOANS, INVESTMENTS GUARANTEES AND SECURITY

### 15.1 LOAN AND INVESTMENT BY COMPANIES (SECTION 186)

***Section 186(1) restricts the power of a company*** from making an ***investment through not more than 2 layers of investment companies***, unless otherwise prescribed, subject to exceptions provided in the proviso as follows:

(a) Acquisition of any other company incorporated in a country outside India, which has investment subsidiaries beyond two layers as per the laws of such country;

(b) A subsidiary company shall not have any investment subsidiary for the purposes of meeting the requirements under any law or under any rule or regulation framed under any law for the time being in force.

**Note**:

*"Layer"* refers to a subsidiary or subsidiaries as per Section 2(87) Explanation (d).

*"Investment Company"* means a company whose **primary business is acquiring securities**, with at least 50% of total assets or gross income derived from such activities.

A Ltd., (IC)

Layer 1 (Allowed) → A Ltd. Holds 51% Shares in C Ltd.

B Ltd., (IC)

Layer 2 (Allowed) → B Ltd. Holds 51% Shares in C Ltd.

C Ltd., (IC)

Layer 3 (Not Allowed)

In such case A Ltd. is not allowed to make investment through C Ltd. in any other Company → A Ltd. is an Ultimating Holding Company of C Ltd.

## 15.2 PROCEDURES INVOLVED IN MAKING LOAN GIVING GUARANTEE AND PROVIDING SECURITY

***Section 186(2) stipulates that no company shall directly or indirectly-***

(a) Give any loan to any person or other body corporate;

(b) Give any guarantee, or provide security, in connection with a loan to any other body corporate or person; and

(c) Acquire, by way of subscription, purchase or otherwise the securities of any other body corporate; exceeding 60% of its paid-up share capital, free reserves and securities premium account or 100% of its free reserves and securities premium account, whichever is more.

***Explanation – For the purposes of this sub-section, the word "person" does not include any individual who is in the employment of the company.***

**Limits for Loans, Guarantees, Security and Investment - Section 186(2)**

**No Company can Directly or Indirectly do The Following Activities**

Give any loan to any person or other body corporate;

Give any guarantee, or provide security, in connection with a loan to any other body corporate or person; and

Acquire, by way of subscription, purchase or otherwise the securities of any other body corporate;

exceeding 60% of its paid-up share capital, free reserves and securities premium account

Limit

OR

Whichever is more

Exceeding 100% of its free reserves and securities premium account

## 15.3 APPROVAL FROM MEMBERS [SECTION 186 (3)]

If proposed transactions **exceed the above limits**, the company must:

- Obtain **prior approval of shareholders** by **special resolution** in a general meeting.
- **Exception:** This is not needed for:
  - (i) Loans, guarantees, or securities to **wholly-owned subsidiaries** or **joint ventures**.
  - (ii) Acquisition of securities in a **wholly-owned subsidiary**.

***Rule 13: The resolution must specify the total limit up to which such transactions may be undertaken.***

## 15.4 DISCLOSURE IN FINANCIAL STATEMENTS [SECTION 186(4)]

The company shall disclose to the members in the financial statement the full particulars of the loans given, investment made or guarantee given or security provided, and the purpose for which the loan or guarantee or security is proposed to be utilized by the recipient of the loan or guarantee or security. Such disclosure has to be in the Board's Report also.

## 15.5 PRIOR APPROVAL OF FINANCIAL INSTITUTION [SECTION 186(5)]

All loans, guarantees, securities, or investments must:

- Be **approved by all directors** present at a **Board meeting** (not by circulation alone).
- Require **prior approval of public financial institutions** if any **term loan is subsisting**.

***Exemption: Prior approval of a public financial institution is not required if:***

- The transactions are **within Section 186(2) limits**, and
- There is **no default** in repayment of the existing term loan.

## 15.6 RATE OF INTEREST [SECTION 186(7)]

Loans must carry an interest rate **not lower** than the prevailing yield of Government Security closest to the tenor of the loan (1, 3, 5, or 10 years).

**Section 8 Companies Exception**:

If 26% or more capital is held by the **Central/State Government**, they are exempt from this clause when providing loans for **Industrial R&D**.

## 15.7 RESTRICTIONS FOR SEBI-REGISTERED COMPANIES – SECTION 186(6)

SEBI-registered entities (e.g., brokers, mutual funds) **must comply** with SEBI's specific limits for inter-corporate loans or deposits.

Details must be disclosed in the **financial statements**.

## 15.8 DEFAULT SUBSISTS WITH RESPECT TO REPAYMENT OF DEPOSITS [SECTION 186(8)]

No company, which is in default in repayment of any deposits accepted before or after the commencement of the Companies Act, 2013 or in payment of interest thereon, shall give any loan or give any guarantee, or provide any security or make an acquisition till such default is subsisting.

This prohibition will operate in respect of any default made ***under Sections 73 to 76 of the Act*** and the Rules made thereunder, and not only on the default of repayment of deposit or payment of interest thereon.

## 15.9 REGISTER OF LOANS MADE, GUARANTEES GIVEN, SECURITIES PROVIDED AND INVESTMENTS MADE [SECTION 186(9)]

***Sub-section (9) of section 186 of the Act***, provides that every company giving loan or giving a guarantee or providing security or making an acquisition under this section shall keep a register which shall contain such particulars and shall be maintained in manner prescribed under ***Rule 12 of the Companies (Meetings of Boards and its Powers) Rules, 2014.***

***Rule 12 states that every company*** giving a loan or giving a guarantee, or providing security or making an acquisition of securities shall, from the date of its incorporation, maintain a register in **Form MBP 2** and enter therein separately, the particulars of loans and guarantees given, securities provided and acquisitions made as aforesaid.

**Further, the rule specifies that:**

The entries in the register shall be made chronologically in respect of each such transaction within **seven days** of making such a loan or giving a guarantee or providing security or making acquisition.

(a) The register shall be kept at the registered office of the company and shall be open to inspection at such office;

(b) The register shall be preserved permanently and shall be kept in the custody of the Company Secretary of the company or any other person authorized by the Board for the purpose;

(c) The entries in the register (either manual or electronic) shall be authenticated by the Company Secretary of the company or by any other person authorized by the Board for the purpose. The register can be maintained either manually or in electronic mode;

(d) The extracts from the register maintained may be furnished to any member of the company on payment of such fee as may be prescribed in the Articles of the company which shall not exceed ten rupees for each page.

## 16. NON-APPLICABILITY OF SECTION 186

**Sub-section (11) of section 186 of the Act, provides that nothing contained in section 186, except sub-section (1) of Section 186, shall apply-**

(a) To any loan made, any guarantee given or any security provided or any investment made by a banking company, or an insurance company, or a housing finance company in the ordinary course of its business, or a company established with the object of and engaged in the business of financing industrial enterprises, or of providing infrastructural facilities;

- The expression "business of financing industrial enterprises" shall include, with regard to a Non-Banking Financial Company registered with Reserve Bank of India, "business of giving of any loan to a person or providing any guaranty or security for due repayment of any loan availed by any person in the ordinary course of its business".
- The expression "infrastructure facilities" means the facilities specified in Schedule VI.

(b) To any investment

(i) Made by an investment company;

(ii) Made in shares allotted in pursuance of clause (a) of sub-section (1) of section 62 or in shares allotted in pursuance of rights issues made by a body corporate;

(iii) Made, in respect of investment or lending activities, by a non-banking financial company registered under Chapter IIIB of the Reserve Bank of India Act, 1934 and whose principal business is the acquisition of securities.

### 16.1 EXEMPTION FROM APPLICABILITY OF SECTION 186 TO GOVERNMENT COMPANY

***In view of the Central Government's notification dated 5th June 2015 under Section 462 of the Companies Act, 2013, Section 186 shall not apply to:***

(a) A Government company engaged in defence production;

(b) A Government company, other than a listed company, in case such company obtains approval of the Ministry or Department of the Central Government which is administratively in charge of the company, or, as the case may be, the State Government before making any loan or giving any guarantee or providing any security or making any investment under the section.

**Note:**

Except the government companies falling under the above-mentioned conditions, all other companies are required to comply with the provisions of Section 186.

In cases where there is no share capital, computation shall be based upon the free reserves of the company, if any.

### 16.2 EXEMPTION FROM APPLICABILITY OF SECTION 186 TO SPECIFIED IFSC COMPANIES

In case of Specified IFSC Public Company/ Specified IFSC Private Company - In Sub-section (5) of section 186, after the proviso, the following proviso has been inserted-

"Provided further that in case of a Specified IFSC public company/ Specified IFSC Private Company, the Board can exercise powers under this sub-section by means of resolutions passed at meetings of the Board of Directors or through resolutions passed by circulation.".

In case of Specified IFSC Public Company/ Specified IFSC Private Company - In Sub-sections (2) and (3) of section 186, shall not apply if a company passes a resolution either ata meeting of the Board of Directors or by circulation.

In case of Specified IFSC Public Company/Private Company - Sub-section (1) of section 186 shall not apply.

**Penalty for Contravention of Section 186**

**For Company:**

If a company contravenes the provisions of this section, the company shall be punishable with fine which shall not be less than ***twenty-five thousand rupees*** but which may extend to ***five lakh rupees***; and

**For Officers:**

Every officer of the company who is in default shall be punishable with imprisonment for a term which may extend to ***two years and with fine*** which shall not be less than ***twenty-five thousand rupees*** but which may extend to ***one lakh rupees*** [Section 186(13)].

## 17. INVESTMENTS TO BE HELD IN COMPANY'S OWN NAME

**All investments** made or held by a company in **property, security, or other assets** must be **in its own name**.

This applies only to **investments made on the company's own behalf**, not when acting as a **trustee**.

A company acting as a **trustee** can hold investments in the name of the **beneficiaries**.

A company may hold **shares in its subsidiary** in the name of its **nominees** to maintain the **statutory minimum number of members**.

In *Exchange Travel (Holdings) Ltd. Re (1991)*, shares held jointly in the name of the company and a director were deemed to be **held by the director as a nominee** only, without independent rights.

### 17.1 EXEMPTIONS FROM APPLICABILITY OF SECTION 187(1)

In terms of the provisions of Section 187(2), Section 187(1) of the Act, does not prevent a company:

(a) From depositing with the bank, being the bankers of the company, any shares or securities for the collection of any dividend or interest payable thereon; or

(b) Depositing or transferring shares/securities to **SBI or any scheduled bank** to facilitate their **transfer**. If not transferred within **6 months**, they must be **re-transferred** to the company.

(c) Depositing or transferring securities to **any person** as **security for a loan** or performance obligation.

(d) Holding securities through a **depository** as the **beneficial owner**.

***Note: A Board resolution authorizing such transactions is sufficient. The company may enter into a specific agreement with the bank for the collection of dividends/interest.***

### 17.2 REGISTER OF INVESTMENTS NOT HELD IN COMPANY'S OWN NAME

If investments are held in another's name, the company must maintain a **register** as per **Rule 14 of the Companies (Meetings of Board and its Powers) Rules, 2014**.

**The register must be:**

- In **Form MBP-3**;
- Maintained **chronologically**;
- Include **reasons** for not holding investments in own name;
- State the **relationship/contract** justifying third-party holding;
- Record if held in **third party's name** temporarily or otherwise;
- Maintained at the **registered office**;
- **Preserved permanently**;
- Kept in the custody of the **Company Secretary**, or a **director/officer** authorized by the Board;
- Entries must be **authenticated** by the CS or an authorized person.
- Members and debenture-holders have **free access** to inspect this register during **business hours**, subject to reasonable restrictions.

**Additional Compliance – MBP-2 and MBP-3**

A company must maintain:

- **Form MBP-2 – Register of loans and investments**.
- **Form MBP-3 – Register of investments not held in own name**.

**Penalty for Non-Compliance [Section 187(4)]**

According to ***section 187(4) of the Act***, if a company is in default in complying with the provisions of this section, the company shall be liable to a penalty of five lakh rupees and every officer of the company who is in default shall be liable to a penalty of fifty thousand rupees

## 18. RELATED PARTY TRANSACTIONS

Related party transactions mean contracts or arrangements between a company and its related parties with respect to transactions covered in ***Section 188 of the Companies Act***, 2013 (Act).

The expression **'contract or arrangement'** has different connotations under the Act. While **'contract'** envisages a written / formal binding document, **'arrangement'** may be with or without a written document.

***Under the Companies Act, 2013***, the scope and coverage of related party transactions has been made more complex and intricate. Besides, strict procedural compliance have been foisted.

### 18.1 RELATED PARTY

According to **Section 2(76)** of the Companies Act 2013***, "related party",*** with reference to a company, means—

(i) A **director** or **his relative;**

(ii) A **key managerial personnel (KMP)** or **his relative;**

(iii) A **firm** where a director, manager or their relative is a **partner;**

(iv) A **private company** where a director, manager, or their relative is a **member or director;**

(v) A **public company** where a director or manager is a **director and holds more than 2%** of paid-up share capital, along with relatives;

(vi) Any **body corporate** acting on the **advice, directions, or instructions** of a director or manager
*(excluding professional advice)*

(vii) A **person** influencing a director or manager's decisions
*(excluding professional advice)*

(viii) A **holding, subsidiary, associate, co-subsidiary**, or **investing/venturer company**
*(This clause is not applicable to private companies)*

(ix) **Any other person** as may be prescribed

***According to Rule 3 of the Companies (Specification of Definitions Details) Rules, 2014*** *for the purposes of sub-clause (ix) of clause (76) of section 2 of the Act, a director other than independent director or key managerial personnel of the holding company or his relative with reference to a company, shall be deemed to be a related party.*

***List of relatives in terms of Section 2(77) of the Companies Act, 2013***

Relative with reference to any person, means anyone who is related to another if-

(a) They are members of the Hindu Undivided Family;

(b) They are husband and wife; or

(c) One person is related to another in accordance with Rule 4 of the Companies (Specification of Definitions Details) Rules, 2014.

***A person shall be deemed to be the relative of another if he or she is related to another in the following manner, namely-***

(i) Father: the term "Father" includes step-father;

(ii) Mother: the term "Mother" includes the step-mother;

(iii) Son: the term "Son" includes the step-son;

(iv) Son's wife;

(v) Daughter;

(vi) Daughter's husband;

(vii) Brother: the term "Brother" includes the step-brother;

(viii) Sister: the term "Sister" includes the step-sister.

## 18.2 NATURE OF RELATED PARTY TRANSACTIONS

The scope of dealing with Related Party Transactions has been widened under the Companies Act, 2013.

***Section 188 of the Act provides that except with the consent of the Board of Directors*** given by a resolution at a meeting of the Board and subject to such conditions as prescribed ***under Rule 15 of the Companies (Meetings of Board and its Powers) Rules, 2014***, no company shall enter into any contract or arrangement with a related party with respect to:

(i) Sale, purchase or supply of any goods or materials;

(ii) Selling or otherwise disposing of, or buying, property of any kind;

(iii) Leasing of property of any kind;

(iv) Availing or rendering of any services;

(v) Appointment of any agent for the purchase or sale of goods, materials, services or property;

(vi) Such related party's appointment to any office or place of profit in the company, its subsidiary company or associate company; and

(vii) Underwriting the subscription of any securities or derivatives thereof of the company.

However, such approval by the Board of Directors will not be required for ***transactions entered in the ordinary course of business and on an arm's length basis.***

***In other words, approval of the Board of Directors will only be required for related party transactions that are either not in the ordinary course of business or not on an arm's length basis.***

**NOTE:**

The approval of the Board of Directors cannot be obtained by way of passing of resolution by circulation. The law specifically requires that resolution can be passed in a duly convened meeting of the Board of Directors and only thereafter contract or arrangement can be entered into.

## 18.3 OFFICE OR PLACE OF PROFIT

- If held by a **director,** he receives **extra remuneration** (salary, fee, commission, perquisites, rent-free accommodation, etc.)
- If held by a **non-director individual**, **firm**, or **body corporate** receiving any **form of remuneration**
- For instance, **remuneration to a director** as per **Section 197** and **Schedule V** is considered on an arm's length basis

## 18.4 INFORMATION TO THE BOARD FOR RELATED PARTY TRANSACTIONS

Under **Rule 15 of the Companies (Meetings of Board and its Powers) Rules, 2014**, a company may enter into a related party transaction only after satisfying the following:

I. The agenda of the Board meeting at which the resolution is proposed to be moved shall disclose-
   (a) **Name of the related party** and nature of the relationship
   (b) **Nature and duration** of the contract or arrangement
   (c) **Material terms**, including value
   (d) **Advance amount** paid/received, if any
   (e) **Pricing mechanism** and commercial terms (both in and outside the contract)
   (f) **Unconsidered factors**, if any, and justification for their exclusion
   (g) **Any other relevant information** for decision-making

II. Where any director is interested in any contract or arrangement with a related party, such director shall not be present at the meeting during discussions on the subject matter of the resolution relating to such contract or arrangement.

## 18.5 PRIOR APPROVAL OF THE COMPANY BY A RESOLUTION

***First Proviso to Section 188 (1) of the Act provides*** that no contract or arrangement, in the case of a company having a paid-up share capital of not less than such amount, or transactions not exceeding such sums, as prescribed, shall be entered into except with the prior approval of the company by a resolution.

**Rule 15 of the Companies (Meetings of Board and its Powers) Rules, 2014** provides that except with the ***prior approval of the company by a resolution, a company shall not enter into a transaction or transactions***, where the transaction or transactions to be entered into, as contracts or arrangements with respect to clauses (a) to (e) of sub-section (1) of section 188, with criteria as mentioned below-

**Threshold Limits Requiring Shareholder Approval**

| Particular | Threshold |
|---|---|
| (i) Sole, purchase or supply of any goods or materials, directly or through appointment of agent | Transaction value ≥ 10% of annual turnover |
| (ii) Selling or otherwise disposing of, or buying, property of any kind, directly or through appointment of agent | Transaction value ≥ 10% of net worth |

| | | |
|---|---|---|
| (iii) | Leasing of property of any kind | Transaction value ≥ 10% of annual turnover |
| (iv) | Availing or rendering of any services, directly or through appointment of agent | Transaction value ≥ 10% of annual turnover |
| (v) | Appointment to any office or place of profit in the company, its subsidiary company or associate company | Monthly remuneration > ₹ 2.50 lakh |
| (vi) | Remuneration for underwriting the subscription of any securities or derivatives thereof | Transaction value > 1% of net worth |

***Note: Limits apply individually or aggregated during the financial year. Turnover/net worth based on audited financials of the preceding year.***

**Exemptions from Shareholder Resolution**

No shareholder resolution is required for transactions between:

A **holding company** and its **wholly owned subsidiary**, if:

Their **accounts are consolidated**, and

These are placed before **shareholders for approval**

**Further:**

As per **Explanation (2)** to Rule 15:

If consolidation isn't done, a **resolution by the holding company** suffices for transactions with the WOS.

## 18.6 RELATED PARTY NOT TO VOTE ON RESOLUTION

***Second Proviso to Section 188 (1) of the Act*** provides that no member of the company shall vote on such a resolution to approve any contract or arrangement which may be entered into by the company, if such member is a related party.

This shall **not apply** to a company in which ***ninety percent. or more members, in number, are relatives of promoters or are related parties.***

**Exemptions from Voting Restriction**

**Private companies**

**Government companies** under two conditions:

Contracts with **another Government company**, Central/State Government

Contracts (other than above) **approved by administrative ministry/department.**

**Specified IFSC Public Companies**

***Note: These exemptions are available only if the company has not defaulted in filing financials under Section 137 or 92.***

## 18.7 DISCLOSURE IN BOARD'S REPORT

**Section 188(2) of the Act** provides that every related party contract or arrangement shall have to be disclosed in the Board's report and referred to shareholders along with the justification for entering into such type of transactions in the prescribed form ,i.e., Form No. AOC-2 [pursuant to Section 134(3)(h) and Section 188(2)].

***Form AOC-2 shall be signed by the persons who have signed the Board's Report.***

Consequences of entering into Related Party Contracts or Arrangements by the Director or the Employee without the consent of the Board or Approval by Resolution:

**Ratification Requirement [Section 188(3)]**

- If an RPT is entered **without Board/shareholder approval**, it must be:
  (i) **Ratified** by Board/shareholders **within 3 months**
  (ii) Failing which, it becomes **voidable** at the option of Board/shareholders
  (iii) If the related party is a **director**, they must **indemnify** the company for any loss

**Action Against Director/Employee [Section 188(4)]**

- The company may:
  (i) **Take action** for **recovery of loss**
  (ii) **Disqualify** the director (**Section 164(1)(g)**) if convicted for an RPT offence ***within the last 5 years.***

**Penalties for Non-Compliance [Section 188(5)]**

**Section 188(5) of the Act**, prescribes penalty for any director or any other employee of a company, who had entered into or authorized the contract or arrangement in violation of the provisions of this section:

## PAST YEAR QUESTIONS

1. The CFO of a well-known public company (one among the top 20 listed companies) suggested to the Board of Directors that it constitute a Risk Management Committee with only the CFO and General Manager (HR) as its members. The Company Secretary of the company, however, insisted that he should not only be included in the Risk Management Committee but should also be made the chairman of the committee, as he is well versed in corporate laws. Referring to the provisions of the Companies Act, 2013 and the Relevant Rules, examine the proposal. **[June 2023 (5 Marks)]**

2. Zero Motors Limited, a listed company, has three manufacturing divisions:
   (i) Cycle Division
   (ii) Motorcycle Division
   (iii) Electric Scooter Division
   (iv) The following information is given:

| Particulars | (₹ in Crore) |
|---|---|
| Equity share capital | 300 |
| Preference share capital | 120 |
| General Reserve | 500 |
| Revaluation Reserve | 200 |
| Profit and Loss A/c (Cr.) | 300 |
| Long-term loan | 480 |
| Short-term loan | 620 |
| Gross revenue in last FY | 2010 |
| Investment in the Cycle division | 40 |
| Turnover of the Cycle division | 450 |

The Board of Directors of the company has decided by unanimous resolution the following in their meeting held on 31st May, 2023:

(i) To obtain a further long-term loan of ₹ 300 Crore from financial institutions.
(ii) To invest in trust securities, the compensation received as a result of the disinvestment of the Cycle Division.

Referring to the provisions of the Companies Act, 2013, decide if the board resolution is sufficient for the above proposals. **[June 2023 (4 Marks)]**

3. Venus Hospitality Limited is an unlisted public company. The following information is given as per the financial statements of the company as on 31st March, 2023:

Paid-up capital: ₹ 5 Crore

Security premium: ₹ 2 Crore

Revaluation reserve: ₹ 10 Crore

Reserves and surplus: ₹ 1

Crore Long-term loans: ₹ 8 Crore

The Board of Directors of the company has resolved by a board resolution to borrow a further long-term loan of ₹ 5 Crore.

The Articles provide that the company cannot borrow beyond its net worth. Referring to the provisions of the Companies Act, 2013, examine the validity of the Board Resolution.

Will your answer differ if it is a private company? **[Dec. 2023 (5 Marks)]**

4. The Chairman of a listed company wants to know from you the details required to be entered in the register of contracts in which a director is interested, and the requirement of the period of maintaining the said register. Explain with reference to the provisions of the Companies Act, 2013. **[Dec. 2023 (3 Marks)].**

5. Shortwalkers Limited was a listed company operating fitness centres all over India. In their Meeting on 1st April, 2022, the Board of Directors of the company approved the purchase of gym equipment for ₹ 75 Crore from Fitness Solutions (Private) Limited, a company managed by Anita, the wife of Sunil, the CFO of Shortwalkers Limited. The annual turnover of Shortwalkers Limited for the last financial year is ₹ 500 Crore. The entire shareholding of Fitness Solutions (Private) Limited was held by Anita and two other directors. In his report to the shareholders of Shortwalkers Limited, the auditor of the company made adverse remarks on the transaction, stating that the approval of the Audit Committee and special resolution were not obtained before approving the deal. The Board, in their report to the shareholders, remarked that the purchase transaction was at arm's length price and Sunil was not a related party, and approval of the audit committee and the shareholders was not necessary.

Referring to provisions of the Companies Act, 2013, examine the submissions of the Board.

**[June 2023 (5 Marks)]**

CHAPTER 15

# MEETINGS OF THE BOARD AND ITS COMMITTEES

**Regulatory Framework**

- The Companies Act, 2013 (Section 108, 118 & 173-175)
- The Companies (Meetings of Board & Powers) Rules, 2014
- The Companies (Management & Administration) Rules, 2014
- SS-1 Secretarial Standard on Meetings of the Board of Directors
- SEBI (LODR) Regulations, 2015

## 1. INTRODUCTION – BOARD AND COMMITTEE MEETINGS

***Meaning of Board and Committee:***

***As per Section 2(10) of the Companies Act, 2013***, **"Board of Directors" or "Board",** in relation to a company, means the ***collective body of the directors*** of the company.

The Board may form committees to assist with specific matters, such as a new project sub-committee, or to manage issues requiring more time and resources, like reviewing legislative changes affecting organisational programs.

***Committees may be established for:***

- A specific or general purpose (e.g., 'development'),
- For a temporary or ongoing basis, depending on the nature of work.

***What is a Board Meeting?***

A **"Meeting of the Board"** means a duly convened, held and conducted meeting of the Board or any Committee thereof.

***These meetings are a key part of corporate democracy and are held:***

- At regular intervals, or
- As needed to review performance, formulate policy, resolve critical issues, and conduct the legal affairs of the company.

Directors are required to exercise most of their powers or duties at periodical meetings of the Board or its Committees.

***Therefore, the Companies Act, 2013, and related Rules, provide detailed provisions on:***

- Frequency
- Convening, and
- Conduct of Board meetings.

These meetings are essential for ensuring the efficient and effective functioning of the company.

The Act mandates a minimum number of board meetings to ensure proper governance.

***Board meetings help in:***

- Policy-making
- Strategizing
- Management decisions, and
- Assessing stakeholder expectations.

*As per the Guidance Note on SS-1, "A mere coincidental physical presence of all Directors at one place cannot constitute a board meeting."*

## 2. MEETINGS OF BOARD AND ITS COMMITTEES

### 2.1 MEETINGS OF THE BOARD [SECTION 173]

***Section 173 of the Act deals with Meetings of the Board, and Section 174 deals with quorum*.**

As per ***Section 118(10) of the Act***, every company shall observe secretarial standards with respect to General and Board meetings as specified by the Institute of Company Secretaries of India, and approved by the Central Government.

Thus, compliance with the ***Secretarial Standard on Board Meetings (SS-1)*** along with the Companies Act is necessary.

Certain powers can be exercised by the Board only through Resolutions passed at a Meeting of the Board and not by circulation.

In some cases, even where the meeting is held, the power must be exercised with the consent of all directors present at the meeting.

### 2.2 FREQUENCY, CONVENING AND PROCEEDINGS OF THE MEETINGS OF THE BOARD

***Section 173 mandates that***

- The first Board meeting must be held **within thirty days from the date of incorporation.**
- Thereafter, the company must hold at **least four Board meetings every year.**
- Moreover, **no more than 120 days** shall elapse between two consecutive Board meetings

As per ***Regulation 17(2) of SEBI (LODR) Regulations, 2015***, the Board of an Equity Listed Company must:

- Meet at **least four times a year**, and
- Ensure a **maximum gap of 120 days** between any two meetings.

***The Secretarial Standard (SS-1) further clarifies that:***

- A company shall hold **at least four board meetings in each calendar year**,
- With a maximum interval of **120 days** between any two meetings.
- The first meeting of the Board must be held **within 30 days** of the incorporation.

For One Person Companies (OPCs), small companies, dormant companies, and start-up private companies, the requirement is relaxed:

- At least one board meeting in each half of the calendar year, and
- Minimum gap of 90 days between two meetings.
- Not applicable to a One Person Company with only one director **because they have a single director and hence no need for Board meetings.**

***Exemptions:***

In case of a Section 8 Company, as per MCA Notification dated 05.06.2015, the requirement under Section 173(1) applies only to the extent that the Board shall meet at least once in every six calendar months.

In case of Specified IFSC Public and Private Companies, as per Notification dated 04.01.2017:

- The first Board meeting must be held within sixty days of incorporation, and
- Thereafter, at least one meeting in each half of a calendar year must be held.

***The Act does not allow a Director to appoint a proxy to attend Board meetings.***

- The right to appoint a proxy is not a common law right and must be explicitly provided by statute, which it is not in this case.

## 2.3 ASPECTS TO BE CONSIDERED WHILE FIXING THE VENUE

A meeting may be held at the Registered Office of the company or at any other location, including a remote place.

A meeting may be held within India or abroad.

The Notice of the Meeting must clearly state the venue, whether it is the registered office or another location. If the meeting is held through electronic mode, all recordings of the proceedings shall be deemed to be made at the stated venue.

***As per Rule 3(6) of the Companies (Meetings of Board and its Powers) Rules, 2014***, for every meeting conducted via electronic mode, the scheduled venue as stated in the notice shall be deemed to be the venue of the meeting, and all recordings shall be deemed to have been made at such venue.

## 2.4 BOARD MEETING THROUGH VIDEO CONFERENCING

Directors may participate in board meetings in person or through video conferencing or other audio-visual means, as prescribed.

These means must be capable of recording and recognizing participation, and also of recording and storing the proceedings along with date and time.

However, the Central Government may specify certain matters that cannot be conducted through video conferencing or audio-visual means.

## 2.5 MEETINGS OF THE BOARD – THE SEBI (LODR) REGULATIONS, 2015

***Regulation 29*** requires that a listed entity must provide prior intimation to the stock exchange when the board meeting will consider any of the following:

(a) Financial results (quarterly, half-yearly, or annual),

(b) Proposal for buyback of securities,

(c) Proposal for voluntary delisting from stock exchange(s),

(d) Fundraising proposals such as public offer, rights issue, ADRs/GDRs/FCCBs, QIP, debt issue, preferential issue, or determination of issue price,

(e) Declaration/recommendation of dividend, issue of convertible securities, or passing over of dividend,

(f) Proposal for declaration of bonus securities.

***Timeframes for Intimation:***

The intimation must be given ***at least two working days*** in advance, excluding both the date of intimation and the date of the meeting.

For financial results, intimation must be given ***at least five days in advance***, excluding both the date of intimation and the date of the meeting. The intimation must include the date of the board meeting.

The listed entity must also give intimation to the stock exchange(s) ***at least eleven working days*** in advance if the board meeting proposes to consider:

(a) Any alteration in the form or nature of listed securities or rights/privileges of holders,

(b) Any alteration in the payment date of interest on debentures/bonds, redemption amount of redeemable shares or debentures.

## 3. PREPARATION OF NOTICES FOR MEETINGS OF BOARD/COMMITTEES OF BOARD

***As per Section 173(3) of the Companies Act, 2013***, **not less than seven days' notice in writing** shall be given to *every director* at their registered address (whether in India or outside India), as available with the company.

Such notice shall be ***sent by hand delivery, post, or electronic means***.

***Proviso 1:***

A Board meeting may be called at **shorter notice** to transact urgent business, provided that at **least one independent director, if any, is present**.

***Proviso 2:***

In the absence of an independent director, the decisions taken at such a meeting shall be circulated to all directors and shall be final only upon ratification by at least one independent director, if any.

**According to SS-1**, notice convening a meeting shall be given at least seven days before the date of the meeting, unless the Articles prescribe a longer period.

In case of an adjourned meeting, notice shall be sent to all directors, including those who did not attend the originally convened meeting. If the date of the adjourned meeting is not decided at the original meeting, a new notice shall be issued not less than seven days before the meeting.

As per the Guidance Note on SS-1, the ***date of the notice is not to be excluded***, while the ***date of the meeting is excluded*** when computing the length of notice.

***Notice must be in writing and may be delivered by:***

- Hand
- Speed post
- Registered post
- Facsimile
- E-mail
- Other electronic means

***Ordinary post is not permitted, as it does not provide proof of delivery or acknowledgment.***

***Notice must also be given to directors:***

- Residing abroad
- Or those who have no address in India

The ***notice shall include the contact number or email address of the Chairman, Company Secretary***, or any person authorised by the Board, to whom the director may send confirmation of receipt.

***If sent by speed post or registered post, an additional two days shall be added for service of notice.***

Notice shall be sent to the postal or email address registered by the director with the company. If such details are unavailable, addresses from the Director Identification Number (DIN) registration may be used.

Where a director has specified a preferred mode of delivery, the notice shall be sent by such mode.

> ***Illustration:***
>
> The Articles of Association of XYZ Ltd. state that all board/committee notices shall be sent by email, speed post, or registered post with acknowledgment. Accordingly, the company sends notices via speed post.
>
> However, Mr. A, an Independent Director, requests that notices be sent to him by courier at his office.
>
> Since Mr. A has specified a particular mode, the company must comply and send notices via courier to him.

The company must maintain proof of sending and delivering notice for a period not less than three years from the date of the meeting, or as decided by the Board.

***Notice shall be issued by:***

- The Company Secretary, or
- In their absence, by any Director or other person authorised by the Board.

***The notice must specify:***

- Serial number
- Day, date, time
- Full venue address
- Where approval via resolution is required, the draft resolution shall be either included in the notes or placed at the meeting.

The notice must inform directors about the option to participate via Electronic Mode and must provide all necessary information.

Even if meetings are held at pre-determined dates or intervals, a fresh notice must be issued for each meeting.

> If notice is not given to even one director, the board meeting becomes invalid and the resolutions passed therein are inoperative.
>
> *(Parmeshwari Prasad Gupta v. Union of India [1974] 44 Comp Cas 1 (SC))*

***In case of urgent business, the Notice, Agenda, and Notes on Agenda may be sent at shorter notice, subject to the following:***

(a) If the company is required to have an Independent Director:
  - At least one independent director must be present.
  - If no independent director is present, decisions shall be:
    - Circulated to all directors, and
    - Final only after ratification by at least one independent director.

(b) If the company is not required to appoint an Independent Director:
  - A meeting can be called at shorter notice without any additional conditions.
  - As per SS-1, if the company does not have an independent director, decisions shall be final only upon ratification by a majority of the directors, unless they were already approved at the meeting itself by a majority.
  - The fact that the meeting is being held at shorter notice must be clearly stated in the notice.

## 4. AGENDA MANAGEMENT

***As per SS-1***, the Agenda, setting out the business to be transacted at the Meeting, and Notes on the Agenda shall be given to the Directors ***at least seven days before the date of the Meeting***, unless the Articles prescribe a longer period.

An agenda refers to the list of items to be discussed in a meeting, drawing attention to matters requiring deliberation.

***Notes on the Agenda provide an explanation of each item for better understanding.***

These documents should be in clear, brief language, enabling the Board to understand the matter and make informed decisions.

***Modes of Sending:***

- Can be delivered by hand, speed post, registered post, email, or any other electronic means, to the registered address or email of the Director. If a Director specifies a preferred method, it must be followed.
- If sent by speed or registered post, 2 extra days shall be added for service.

- The Articles of Association may extend the 7-day period, but cannot reduce it.
- Proof of delivery must be maintained for at least three years from the date of the meeting or as determined by the Board.
- If an Alternate Director is appointed, the original Director must also receive the Agenda and Notes, and the mode of delivery is decided by the company.

**Additional Provisions**

Supplementary Notes may be circulated at or before the meeting, with the Chairman's permission and majority consent, including at least one Independent Director, if any.

Each item requiring approval must be supported by:

- A brief explanation
- Material facts
- Scope and implications
- Any Director's interest, if previously disclosed.

Every agenda item must be serially numbered.

***Any item not included in the Agenda and Notes thereon may either be circulated to the Directors before the Meeting or tabled at the Meeting, but can only be taken up with the requisite consent from the majority of the directors present at the meeting, with the permission of the Chairman.***

## 5. MEETING MANAGEMENT

### 5.1 CONVENING A MEETING

Any Director of a company may, at any time, summon a Meeting of the Board, and the Company Secretary or where there is no Company Secretary, any person authorized by the Board in this behalf, on the requisition of a Director, shall convene a Meeting of the Board, in consultation with the Chairman or in his absence, the Managing Director or in his absence, the Whole-time Director, where there is any, unless otherwise provided in the Articles.

Directors may participate in the meeting either in person or through video conferencing or other audio-visual means, as prescribed. Such means must be capable of recording and recognizing directors' participation, and recording and storing the proceedings along with the date and time.

A meeting may be convened on any day as per the Gregorian calendar, including on a public holiday, unless the Articles provide otherwise.

As a matter of good practice, companies should, as far as possible, avoid holding board meetings on national holidays, since the presence of company employees is generally needed for the smooth conduct of such meetings.

> ***Penalty***
>
> Every officer of the company who is duty bound to give notice under ***Section 173*** of the Companies Act, 2013 and who fails to do so shall be liable to a penalty of ***twenty-five thousand rupees.***

## 6. QUORUM FOR BOARD MEETINGS (SECTION 174)

**Meaning of Quorum:**

- "Quorum" refers to the **minimum number of directors** required to be present to legally conduct a Board Meeting.

**Statutory Requirement**:

- The quorum for a Board Meeting shall be **1/3rd of the total strength** or **2 directors**, whichever is **higher**.
- **Total strength** excludes **vacant positions** on the Board.
- **Participation via video conferencing or other audio-visual means** is counted for quorum, except where the director is **excluded due to interest** under any provision of the Act.

**Quorum in Special Cases**:

If the **number of Interested directors** exceeds or is equal to **two-thirds or more** of the total strength of the Board of Directors, then **at least 2 disinterested directors**, if present, shall form a quorum.

***Example:*** *If 12 directors exist and 10 are interested, the remaining 2 disinterested directors shall be deemed a quorum.*

**Optional Higher Quorum**:

Companies may **prescribe a higher quorum** in their **Articles of Association** – *Amrit Kaur Puri v. Kapurthala Flour, Oil & General Mills Co. (P) Ltd.*.

**Filling Vacancies to Restore Quorum**:

Where a quorum is not met due to **resignation, removal**, etc., the **remaining directors** may act only to:

- **Increase the number of directors** to meet the quorum, or
- **Call a general meeting** of the company.

*Illegal Board meetings* held with less than the minimum number of directors are invalid – *Dr. Renuka Datla v. Biological E Ltd. (2015)*.

**Adjournment for Want of Quorum**:

If a quorum is not present, the meeting is **automatically adjourned** to the same day, time, and place **next week**, unless the Articles provide otherwise.

If that day is a **National Holiday**, a meeting shall be held on the **next succeeding day**.
**Adjourned meetings** are considered a **continuation** of the original meeting; hence, the **120-day interval** is counted from the **original meeting date**.

**Adjournment under Secretarial Standard-1 (SS-1)**:

The **Chairman** may adjourn the meeting at any stage with the **consent of the majority of directors present**, due to reasons like:

- Lack of time to complete agenda,
- Curfew, natural calamities, or force majeure.

**Quorum Validity:**

Quorum must be **present not only at the beginning** but also **throughout the meeting** while transacting business.

**Interested Directors**:

An interested director shall **not be counted for quorum** and cannot participate in such an item of business.

**Exception**: In **private companies**, after disclosure of interest, an interested director **can be counted for quorum** – *Notification dated 13th June 2017*.

**Listed Companies – Enhanced Quorum**:

For the top **1000 listed entities (from 1st April 2019)** and the top **2000 listed entities (from 1st April 2020)**:

- Quorum = **1/3rd of the total strength or 3 directors**, whichever is **higher**.
- Must include **at least one independent director**.
- **Video/audio participation** is valid for quorum.
- Status is based on **market capitalisation** at the end of the previous financial year.

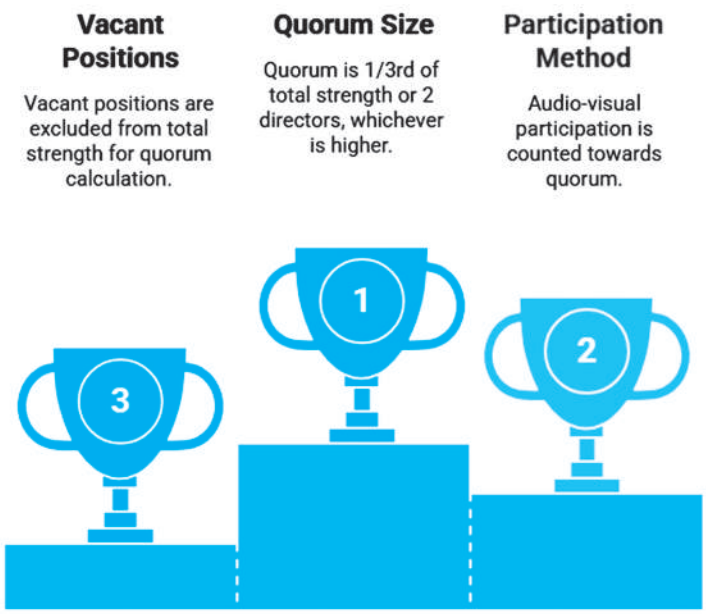
**Exemptions**:

**Section 8 Companies**: Quorum = **8 members** or **25% of total strength**, whichever is **less**, but not below 2.

**Specified IFSC Companies (Public/Private)**: Interested directors may **participate after disclosure of interest**

**Private Companies**: Interested directors can be **counted towards quorum** after **disclosure under Section 184**.

**Key Summary Points**:




**Illustrations**:

- If meeting on 8th August at 4:00 p.m. lacks quorum, it is adjourned to 15th August (next week, same time), but since that is a **National Holiday**, it will be held on **16th August**.
- If a company has **12 directors**, quorum = **4 directors** (1/3rd of 12).
- If 10 out of 12 directors have a conflict of interest (are interested), and 2 disinterested directors are present, the 2 disinterested directors shall constitute the quorum.

## 7. MEETINGS OF COMMITTEES

***SS-1 lists the hierarchy of stipulations for the quorum of a Committee constituted by the Board, as follows: —***

(a) First in hierarchy is the quorum that has been stipulated in the Act, or mentioned in the Articles or is stipulated under any other law;

(b) If no such stipulation exists, the quorum shall be as specified by the board;

(c) If the board has also not specified the quorum for the committee, the presence of all the members of the committee shall be necessary to form the quorum.

## 8. ATTENDANCE REGISTER

**Purpose & Importance**:

Serves as **formal evidence** of attendance at Board or Committee Meetings.

Ensures **accurate record-keeping**, facilitates **cross-verification**, and **safeguards the interests** of Directors and invitees.

A good secretarial practice, aiding corporate governance and ensuring compliance with statutory requirements

**Statutory Basis**:

As per **Regulation 65 of Table F** (Schedule I), every director present must **sign his name in a book** kept for that purpose.

**SS-1** mandates **separate attendance registers** for Board Meetings and Committee Meetings.

**Format & Maintenance**:

Pages of the attendance register must be **serially numbered**.

If maintained in **loose-leaf form**, it must be **bound at least once every 3 years**.

Should be kept at the **Registered Office** or any other place approved by the Board.

Can be **taken to the venue** of the meeting if held elsewhere.

**Inspection Rights**:

Directors have the right to **inspect the attendance register**.

Even after cessation, a former director may inspect attendance for the period of **his directorship**.

**Required Contents**:

**Serial number** and **date** of the meeting.

**Name of the Committee** (if applicable).

**Place** and **time** of the meeting.

**Names and signatures** of:

- Directors present
- Company Secretary
- Invitees (along with their **mode of presence**, if via electronic means)

**Electronic Participation**:

Directors attending via **video or other electronic modes** are deemed to have signed the register if:

Their attendance is **recorded** and **authenticated** by:

- Company Secretary, or
- Chairman, or
- Any other director authorised by the Chairman.

Such participation is also **noted in the Minutes**.

**Preservation**:

The register must be preserved for **at least eight financial years** from the **end of the financial year** in which the **last entry** was made.

May be **destroyed after this period** with the **Board's approval**.

In case of **listed companies**, preservation shall be as per the **policy approved by the Board**.

***Case Law***:

In the absence of **Notice**, **attendance log**, or **any supporting evidence**, the existence of a Board Meeting **cannot be established** –

***Dale & Carrington Investment (P) Ltd. v. P.K. Prathapan (2004)*.**

## 9. LEAVE OF ABSENCE

Leave of absence shall be granted to a director only when a request for such leave has been communicated to the Company Secretary, the Chairman, or any other person authorized by the Board to issue the notice of the meeting.

The ***office of a director shall become vacant*** in case the ***director absents himself from all the meetings of the Board held during a period of twelve months,*** with or without seeking leave of absence from the Board.

## 10. CHAIRMAN OF THE MEETING OF THE BOARD/COMMITTEE

**"Chairman"** means the Chairman of the Board or its Committee, as the case may be, or the Chairman appointed or elected for a Meeting.

The Chairman of the Company shall be the Chairman of the Board. If the company does not have a Chairman, the Directors may elect one of themselves to be the Chairman of the Board.

### 10.1 APPOINTMENT OF CHAIRMAN

The **Model Articles** (Regulation 70(i) of Table F) empower the Board to:

- **Elect a Chairman** for its meetings.
- **Decide the tenure** for which the Chairman shall hold office.
- After expiry of the tenure, the Board may either re-appoint the same person or appoint another director.

**Chairing Committee Meetings**:

Committee meetings are chaired by a:

(a) **Member appointed by the Board**, or

(b) **Member elected by the Committee**.

If no Chairman is appointed or the Chairman is absent:

- The **Committee members present** may elect one among themselves to chair the meeting.
- Subject to any provision in the **Articles**.

**Chairing Board Meetings**:

- If the appointed Chairman is absent or not elected, the **directors present shall elect one of themselves** to chair the meeting.
- Articles may provide otherwise.

## 11. MINUTES

**Definition and Purpose**

- **Minutes** are the official written records (in physical or electronic form) of the **proceedings and decisions** of Board or Committee Meetings.
- They serve as **evidence in court** and help in understanding deliberations and decisions.

**Legal Requirements (Section 118, Companies Act, 2013)**

- Minutes must be **prepared, signed, and keep minutes of proceedings of every meeting of the Board of Directors** within **30 days** of the conclusion of the meeting.
- They should be kept in a **bound book** with **consecutively numbered pages**.

**Contents of Minutes**

I. **General Contents**

- Serial number, type of Meeting, name of company, **date, venue, time** of start.
- Names of Directors, CS in attendance, and invitees (mentioning **mode of attendance**).
- Record of **appointments** made.

II. **Specific Contents**

- Director details and their location if via **Electronic Mode**.
- Consent to sign statutory registers (if applicable).
- **Election of Chairman**, quorum presence, leave of absence granted.

- Noting of:
  - (a) Minutes of previous Board and Committee Meetings.
  - (b) **Resolutions passed by circulation**.

**Disclosure** if any Director:

- Dissented or abstained.
- Participated only partly.
- Was interested in a matter and excluded from the discussion.

Views of Independent Directors (if insisted and not defamatory or irrelevant).

**Items considered outside the agenda** (with majority consent and later ratification).

Time of **commencement and conclusion** of the meeting.

Statement of adjournment (if for lack of quorum).

**Brief background** of proposals and rationale for major decisions.

## 11.1 RECORDING OF MINUTES

(a) Minutes must provide a **fair and accurate** summary of the meeting.

(b) Use **clear, simple language** to ensure understanding.

(c) If decisions rely on documents not included in the agenda, those documents must be **formally initiated** by the Company Secretary or the Chairman.

(d) When resolutions are modified or superseded, the minutes should clearly reference the earlier decisions.

(e) The minutes of the **previous meeting must be formally noted** at the next Board meeting.

## 11.2 FINALIZATION OF MINUTES

(a) Draft Minutes to be circulated **within 15 days** by any approved method (post, email, etc.).

(b) Directors shall send their comments within **7 days** of circulation.

(c) If no comments: deemed approved.

(d) Directors, who cease to be a director after a meeting of the Board, are entitled to receive the draft minutes of that particular meeting and to offer comments.

(e) Final Minutes to be **entered in the Minutes Book within 30 days** of the meeting.

(f) **No alterations** allowed after entry, except with **Board approval** (noted in subsequent meeting).

## 11.3 SIGNING AND DATING OF MINUTES

(a) The minutes shall be **signed by the Chairman** of the meeting at which they were recorded or by the Chairman of the next meeting.

(b) Each page **initialed**, the last page signed and dated.

(c) If maintained electronically, signed **digitally**.

(d) Within **15 days of signing**, a **certified copy** must be circulated to all the directors, as on the date of meeting and appointed thereafter, except to those Directors who have waived their right to receive the same.

(e) Proof of delivery must be retained for at least **3 years**.

## 11.4 INSPECTION AND EXTRACTS OF MINUTES

(a) **Board/Committee Minutes** can be inspected by:

- Current and ex-Directors.
- Secretarial/Statutory/Internal/Cost Auditors.

(b) **Not available to general members** of the company.

(c) Extracts allowed only **after entry in the Minutes Book**, except for **certified resolutions**.

(d) Proper precautions to prevent **tampering** during inspection.

### 11.5 PRESERVATION OF MINUTES

The minutes books of the Board and committee meetings ***shall be preserved permanently*** and ***kept in the custody of the Company Secretary*** of the company or any director duly authorized by the Board.

Where, under a scheme of arrangement, a company has merged or amalgamated with another company, the minutes of all meetings of the transferor company, as handed over to the transferee company, shall be preserved permanently by the transferee company, even if the transferor company has been dissolved.

**Penalties:**

- If any default is made in complying with the provisions of ***Section 118*** of the Companies Act, 2013 in respect of any meeting, the ***company shall be liable to a penalty of twenty-five thousand rupees*** and every officer of the company who is in default shall be liable to a penalty of ***five thousand rupees***.
- If a person is found ***guilty of tampering with the minutes*** of the proceedings of meeting, he shall be punishable with ***imprisonment for a term which may extend to two years*** and with fine which shall not be less than ***twenty-five thousand rupees*** but which may ***extend to one lakh rupees***.

## 12. TYPES OF RESOLUTIONS

| S.No. | Types of Resolution | Particulars |
|---|---|---|
| 1. | **Board Resolution** | A board resolution is a recorded form of decisions made by the Board of Directors during a board meeting. It is maintained along with the Board meeting minutes. The Board resolution is a formal written motion, which is used to track the company's significant decisions.<br>The Board of Directors of a company shall exercise certain powers on behalf of the company only by means of Resolutions passed at a Meeting of the Board and not by a Resolution passed by circulation, such as:<br>✦ To make calls on shareholders in respect of money unpaid on their shares;<br>✦ To authorise the buy-back of securities;<br>✦ To invest the funds of the company;<br>✦ To approve the financial statement and the Board's report;<br>✦ To grant loans or give a guarantee or provide security in respect of loans, etc. |
| 2. | **Unanimous Resolution** | A **Unanimous Resolution** requires the **approval of all Directors present** at a duly convened Board meeting.<br>It is required where **100% consent** is legally mandated under the Companies Act, Articles, or Shareholders' Agreement.<br>Board powers requiring **unanimous consent** include:<br>✦ Appointment of a person as **Managing Director** under Section 203, if already MD/Manager in **only one** other company.<br>✦ Granting **loans, guarantees, or investments** under Section 186(5).<br>✦ Removal of **trustees for depositors** (post issue of circular/advertisement) under Rule 7(4) of the Companies (Acceptance of Deposits) Rules, 2014. |

| | | |
|---|---|---|
| 3. | **Resolution by Circulation** | The Act requires certain businesses to be approved only at Meetings of the Board. However, other urgent matters may be approved through Resolutions passed by circulation. Such Resolutions are deemed to have been passed at a duly convened Meeting of the Board and carry equal authority.<br>The detailed provisions on resolutions by circulation are discussed in the following paragraphs. |

## 13. PASSING OF RESOLUTION BY CIRCULATION (SECTION 175)

Resolutions can be passed **without a Board Meeting** if circulated to all Directors in **draft form**, along with necessary **supporting documents**.

Circulation can be done via **hand delivery, speed post, courier, email, or fax**.

Valid only if passed by a **majority** of Directors **entitled to vote**.

**Key Conditions:**

(a) If **1/3rd or more Directors** require the matter to be discussed in a **Board Meeting**, it **must not** be passed by circulation.

(b) The resolution passed by circulation should be **noted at the next Board Meeting** and recorded in the **Minutes**.

**As per SS-1 (Secretarial Standard-1):**

Each resolution proposed via circulation must include:

- **Explanatory Note** with background, facts, scope, implications.
- **Director's interest**, if any (as previously disclosed).

**Mode and deadline** for giving assent/dissent.

- Resolutions should be explained **separately**.
- A single note can contain **multiple resolutions**, but directors must be able to vote on **each separately**.

**Timeline:**

- Directors must respond **within 7 days** from the date of circulation.
- **+2 days** are added if sent by **post or courier**.

**Validity and Effective Date**

A resolution by circulation is **equally valid** as one passed at a duly convened meeting.

Does **not replace the requirement** to hold Board Meetings at regular intervals.

Resolution is deemed passed on the **earlier** of:

- The **last date** for response, or
- The date when **majority approval** is received, provided:
  - Those who haven't responded, **plus** those who want it discussed in a meeting, **do not exceed 1/3rd** of the total Directors.

***The resolution takes effect from that date, unless specified otherwise.***

## 14. MEETING OF INDEPENDENT DIRECTORS

- Independent Directors must meet **at least once per financial year**.
- As per Clause VII(1) of Schedule IV, the meeting should be **without the presence of non-independent directors or management**.

- This meeting is **not a Board or Committee meeting**, hence **Secretarial Standard SS-1 is not applicable**.
- Company Secretary, if appointed, shall **facilitate convening** of the meeting if desired.
- **Record of proceedings** may be maintained.

## 15. DUTIES OF COMPANY SECRETARY BEFORE, DURING AND AFTER BOARD/ COMMITTEE MEETINGS

**Before the Meeting**

- **Issue a written notice** at least **7 days in advance** to each director's registered address via hand/post/ electronic means (Section 173(3)).
- **Shorter notice** allowed for urgent matters, provided at least **one independent director** is present.
- As per **Table-F**, a director or the manager/secretary (on the director's request) may **summon a meeting**.
- For the **first Board meeting**, mention the same in the notice.
- An agenda is not mandatory in the notice, but **good practice** suggests enclosing it. Per **SS-1**, agenda and explanatory notes must be sent **7 days in advance** unless the Articles state otherwise.
- **Coordinate attendance**, provide necessary logistics (travel, stay, venue).
- At least **30 minutes before the meeting**, place folders with agenda papers, business plans, and financials for director's reference.
- **Welcome directors** and record their **signatures in the Attendance Register**.

**During the Meeting**

- Confirm **quorum** (Section 174):
  - **One-third** of the total strength of the Board or **two directors**, whichever is higher.
  - For the top **2000 listed companies**, the quorum is one-third or **three directors**, whichever is higher, including **at least one independent director**.
- In **Section 8 companies**, the quorum is **8 members** or **25% of the total strength**, whichever is lower, but not less than **2 members**.
- As per **SS-1**, the Chairman of the company presides. If unavailable, directors may **elect a chairman** for the meeting.
- Assist the Chairman in **conducting the meeting as per the agenda**.
- Any director may propose an **additional item** with the Chairman's permission.
- Directors must disclose any **conflict of interest** in **Form MBP-1**.
- Decide **date, time, and venue** for the next Board meeting.

**After the Meeting**

- Prepare **draft minutes** as per **SS-1**, get them reviewed by the Chairman/Managing Director.
- **Send draft minutes** to all directors for feedback.
- **Collect and incorporate comments**, finalise the minutes with the Chairman/MD.
- Enter the minutes in the **Minutes Book**, with **consecutive numbering** on each page.
- Minutes to be **signed and dated** by the Chairman of that or the next meeting; all pages **initialled**.
- Ensure **minutes are entered within 30 days** of meeting conclusion.
- A **certified copy** of signed minutes must be sent to directors **within 15 days** after signing, certified by the **Company Secretary** or an **authorised director**.

## 16. VIRTUAL MEETINGS: TECHNOLOGICAL ADVANCEMENT IN CONDUCT OF BOARD COMMITTEE

**Meaning of Virtual Meetings:**

A meeting held totally by means of either video conferencing or other audio-visual means is known as a Virtual Meeting. A virtual meeting is when people around the world, regardless of their location, connect online using video, audio, and text.

Virtual meetings do not involve the physical presence of participants, nor is there a designated physical venue.

Participants located at different places participate in the meeting either by teleconference or video conference or a combination of them at a predetermined time.

**Importance in Today's Context:**

- Useful for directors and stakeholders **spread across cities or countries**.
- Ensures participation without requiring physical presence.
- Enables **cost savings**, time efficiency, and **lower environmental impact**.

### 16.1 REQUIREMENTS FOR VIRTUAL MEETING

***The brief requirements of virtual meetings are given below:***

***Meeting rooms;***

- Software, which can be either purchased or provided by the vendor for a fee on a yearly rental basis;
- Hardware equipment like a Monitor or an LED screen, Webcams;
- High-quality microphone system;
- Projectors;
- Document scanners;
- Leased Lines;
- High-speed wireless internet;
- Recording & Storage Equipment for recording the proceedings and Proper storage for future reference as may be required under law;
- Have a trial run before the meeting to ensure all the systems are working properly;
- Ensure that the proper arrangements are made in the meeting room.

### 16.2 VIRTUAL BOARD MEETINGS

**Meaning of Virtual Meetings:**

A meeting held totally by means of either Video conferencing or other audio-visual means is known as Virtual Meeting.

A Virtual meeting is when people around the world, regardless of their location, use video, audio, and text to link up online. Virtual meetings allow people to share information and data in real-time without being physically located together.

Present-day Directors who are professionals have busy schedules, which makes it difficult for them to attend board meetings of the companies in which they are directors, especially for those who are living and working in different cities and countries.

Teleconferencing, videoconferencing, and meeting online benefit boards and directors by enabling them to attend the meetings from any location.

Virtual meetings help the directors to participate in meetings wherever they are, despite their busy schedule, and make valuable contributions through their participation.

Virtual attendance can also make board participation more attractive and appealing, especially for independent directors, as they are not expected to attend every meeting of each company in person, and it is not practically possible, as they sit on many boards of companies that are located in different cities and countries.

**SS-1 defines "Electronic Mode"** in relation to Meetings means Meetings through video conferencing or other audio-visual means.

***"Video conferencing or other audio-visual means"*** means audio-visual electronic communication facility employed which enables all the persons participating in a Meeting to communicate concurrently with each other without an intermediary and to participate effectively in the Meeting

***MCA vide Notification dated June 15, 2021, has omitted Rule 4 of the Companies (Meetings of Board and its Powers) Rules, 2014,*** which was related to the matters not to be dealt with in a meeting through video conferencing or other audio-visual means.

Accordingly, with the said amendment, ***now the following previously restricted matters can be considered in a Board Meeting held through video conferencing*** or other audio-visual means, namely:

(i) The approval of the annual financial statements;

(ii) The approval of the Board's report; the approval of the prospectus;

(iii) The Audit Committee Meetings for consideration of financial statement, including consolidated financial statement if any, to be approved by the board under section 134 (1) of the Companies Act, 2013; and

(iv) The approval of the matter relating to amalgamation, merger, demerger, acquisition and takeover

## 16.3 PARTICIPATION, QUORUM & PROCEDURE

***Directors attending via Video conference are counted for quorum.***

- At least **one person must be physically present** at the scheduled venue (Chairman, CS, or authorized person).
- **The scheduled venue in the notice** is deemed to be the official location.
- Meeting **recordings** are deemed made at the scheduled venue.

## 16.4 CONDUCTING THE MEETING (KEY STEPS)

1. **Roll Call**:
   - Name, location, receipt of agenda, and confirmation of no unauthorized person.
2. **Quorum Check**:
   - Chairperson confirms quorum throughout the meeting.
3. **Identification Before Speaking**.
4. **Reiteration: If Garbled Audio**.
5. **Voting** (if required) via roll call with identification.
6. **No unauthorized access** without the Board's permission.
7. **Summary of Decisions** announced by Chairperson.
8. **Draft Minutes**:
   - Circulated within **15 days**.
   - Confirmation/comments within **7 days**.
   - Minutes entered in Minute Book per **Section 118**.

## 17. NEED AND SCOPE OF SECRETARIAL STANDARDS

The **Institute of Company Secretaries of India (ICSI)** established the **Secretarial Standards Board (SSB)** in **2000** to unify and enhance secretarial practices across the corporate sector.

***The goal was to:***

- Promote **standardization, harmonization, and integration** of secretarial work.
- Ensure **long-term benefits** and **global recognition** for the profession.

**Diverse corporate practices** necessitated the development of unified standards to ensure **uniformity** and **consistency** in compliance.

### 17.1 DEVELOPMENT OF SECRETARIAL STANDARDS

***Secretarial Standards are framed by the SSB with due consideration of:***

- Applicable laws and rules
- Current corporate practices and business environment
- Views from corporates, regulators, and public feedback

***The process is:***

- **Transparent**
- **Research-driven**
- **Consultative**

### 17.2 SCOPE OF SECRETARIAL STANDARDS

- Secretarial Standards do not override laws; rather, they **supplement existing laws and regulations**.
- In case of **conflict** between a Standard and a law due to changes in the law, the **legal provision will prevail**.
- Standards are aligned with the **Companies Act, 2013,** and other applicable regulations.

### 17.3 SS-1: SECRETARIAL STANDARD ON MEETINGS OF THE BOARD OF DIRECTORS

**Purpose and Scope**

SS-1 lays down **principles and procedures** for convening and conducting Board Meetings and related matters.

Applicable to **all companies** under the Companies Act, 2013, including **private and small companies**, except:

- **One Person Companies (OPC)** with only one director.
- **Companies licensed under Section 8**, subject to specific exemptions.

### 17.4 EXEMPTIONS FROM SS-1 APPLICABILITY

I. **Section 8 Companies** (Notification 5th June 2015):
   - Fully exempt from Section 118 except recording of minutes within **30 days** if Articles permit circulation for confirmation.
   - **Voluntary compliance** with SS-1 is permitted.
   - **Condition**: Exemption only valid if no default in **filing financial statements** or **annual returns**.

II. **IFSC Companies** (Notifications 4th January 2017):
   - **Unlisted Public Companies** and **Private Companies** operating from **International Financial Services Centres (IFSC)** under the SEZ Act.
   - Must be licensed by **RBI, SEBI, or IRDAI**.

## PAST YEAR QUESTIONS

1. The meeting of Board of Directors (BOD) of Amarchand Lalchand Exports limited, a listed company was called on Sunday, the 9th July, 2023 for consideration of quarterly financial results. One of the directors has recently shifted his residence and his present contact details have not been provided to the company. Referring to the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations & Disclosure Requirements) Regulations, to all directors including the director whose changed contact details are not available with the company and compliance requirement of intimating the stock exchange.

   **[Dec. 2023 (4 Marks)]**

2. The Board Meeting of Western India Fertilizers & Chemicals Ltd., an unlisted public company, with a Registered Office at Mumbai, was called at 6.00 p.m. on Sunday, the 2nd April, 2023 at Shimla after issuing due notice. The total strength of the Board was 12. The position of two directors was vacant. Five directors attended the Board meeting-two directors including the chairman in person and three other directors through video conferencing from Los Angeles, USA. Having taken the first roll call and, after the chairman confirmed the presence of quorum, the internet connection of the three directors attending through video conferencing got disrupted and they did not attend the rest of the Board meeting. The chairman proceeded with the business of the meeting and declared that all the resolutions listed for the meeting were duly passed as the agenda papers and draft resolutions were already circulated to the directors along with the notice.

   Referring to the provisions of the Companies Act, 2013, decide the validity of the place of the board meeting and resolutions passed. **[Dec. 2023 (4 Marks)]**

3. The Board of Directors of Omega Computer Systems Limited, a listed company, consisted of twelve directors out of which the position of two directors were vacant, the Company Secretary, under the authority of the Chairman, sent a circular resolution on 1st July, 2023 to all directors both by registered post and email. By 7th July, 2023, out of ten directors, six directors assented to the proposal while four directors (including two interested directors) requested convening a proper Board meeting to decide the issue. Referring to the provisions of Companies Act, 2013, decide, whether the resolution by circulation is passed? **[Dec. 2023 (4 Marks)]**

4. SNS Limited is expanding its business in UAE and to look after the business affairs abroad proposes to appoint Vikram as an additional director. He is M. Tech and has done his executive MBA from IIM, Bangalore and has working experience in the corporate sector at a top-management level. Since the next Board meeting is not likely to be held early it is proposed to appoint him as an additional director by obtaining a board approval through resolution by circulation.

   You are, being a company secretary of the company, requested to draft a resolution by circulation along with a brief note thereon for consideration and approval of the directors in compliance with the provisions of the Companies Act, 2013. **[Dec. 2023 (5 Marks)]**

5. A company has passed two resolutions by circulation with a majority of five directors where total strength of the board is of nine directors. Two directors required that such a resolution should be decided at the meeting of the Board. Answer the following questions under such scenario referring to the provisions of the Companies Act, 2013:
   - Whether the claim of the two directors that the resolution should be passed at the meeting of the Board only is valid?
   - How the resolution passed by circulation will be recorded in the minutes of the board meetings?
   - If the draft resolution was not sent to one director by inadvertent mistake, should the resolution be considered invalid?
   - If the single approval has been given by the majority of directors for both the resolutions together, whether such approval will be considered as valid? **[Dec. 2022 (4 Marks)]**

CHAPTER 16

# CORPORATE SOCIAL RESPONSIBILITY – CONCEPTS



**REGULATORY FRAMEWORK**

- The Companies Act, 2013 (Section 135)
- The Companies (Corporate Social Responsibility Policy) Rules, 2014
- Schedule VII of the Companies Act, 2013-CSR Activities

## 1. INTRODUCTION

### Meaning of Corporate Social Responsibility (CSR)

CSR refers to a concept whereby companies not only consider their profitability and growth, but also the ***interests of society and the environment by taking responsibility for the impact of their activities on stakeholders, environment, consumers, employees, communities, and all other members in the public sphere***. The basic premise is that when the corporations get bigger in size, apart from the economic responsibility of earning profits, there are many other responsibilities attached to them, which are more non-financial/social in nature. These are the expectations of society from the ***corporates to give something in return to the society*** in recognition of the support and resources drawn from society.

***CSR aims to fulfil expectations that society has of businesses*** and it is viewed as a comprehensive set of social policies, practices and programs that are integrated throughout business operations.

The concept of CSR has evolved over the years and is now used as a strategy and a business opportunity to earn stakeholder goodwill.

**The United Nations Industrial Development Organization (UNIDO) puts forward the following definition of Corporate Social Responsibility (CSR):**

***"Corporate Social Responsibility is a management concept whereby companies integrate social and environmental concerns in their business operations and interactions with their stakeholders. CSR is generally understood as being the way through which a company achieves a balance of economic, environmental and social imperatives ("Triple- Bottom-Line Approach"), while at the same time addressing the expectations of shareholders and stakeholders."***

**The philosophy of giving back to society has been an integral part of the culture**, which has also been imbibed in traditional Indian businesses since time immemorial. India's ancient wisdom, which is still relevant today, inspires people to work for the larger objective of the well-being of all stakeholders. These sound and all-encompassing values are even more relevant in current times, as organizations grapple with the challenges of modern-day enterprise, the aspirations of stakeholders, and of citizens eager to be active participants in economic growth and development.

Indian business has traditionally been socially responsible, and some of the business houses have demonstrated their efforts on this front in a laudable manner. However, the culture of social responsibility needs to go deeper in the governance of all business entities.

In order to integrate CSR into the core business philosophy, the Government has obligated companies, those meeting a certain threshold in terms of turnover, net worth or net profit to set apart ***two per cent of their average net profits of the company made during the three immediately preceding financial years*** for CSR activities.

## 2. FACTORS INFLUENCING CSR

***Many factors and influences, including the following, have led to increasing attention being devoted to CSR:***

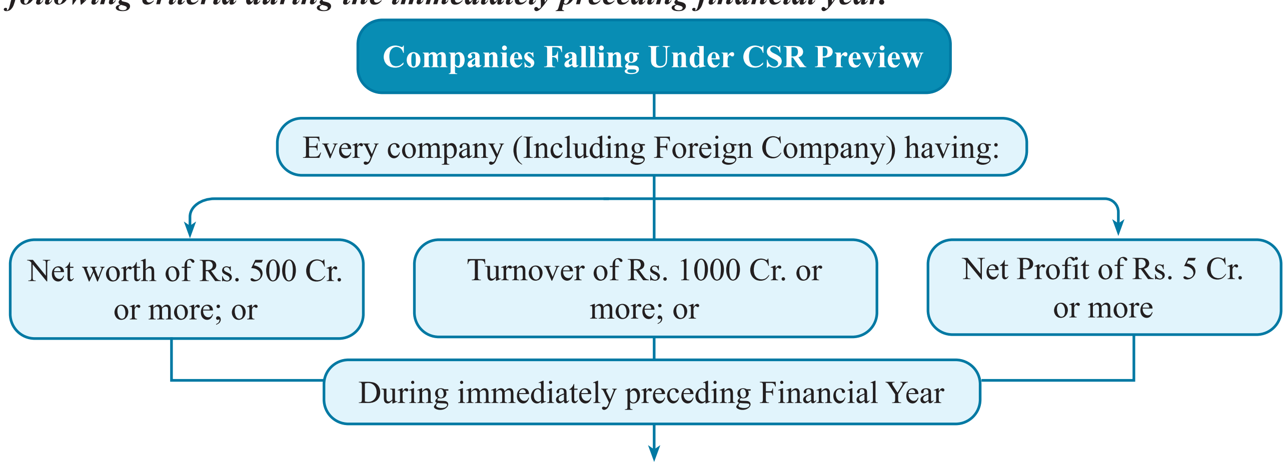
- **Globalization,** coupled with a focus on cross-border trade, multinational enterprises and global supply chains, is increasingly raising CSR concerns related to human resource management practices, environmental protection, and health and safety, among other key aspects of responsible business conduct.
- Governments, regulatory bodies, and **international** organisations such as the United Nations, the OECD, and the ILO have developed compacts, declarations, guidelines, principles and other instruments that outline **social norms** for acceptable conduct.
- **Advances in communications technology**, such as the Internet, cellular phones and personal digital assistants, are making it easier to track corporate activities and disseminate information about them. Non-governmental organizations and civil society platforms now regularly highlight business practices they view as problematic through digital media.
- **Consumers and investors** are increasingly demanding responsible business practices and more information on how companies are addressing risks and opportunities related to social and environmental issues.
- Breaches of **corporate ethics** have contributed to elevated public mistrust of corporations and highlighted the need for improved corporate governance, transparency, accountability, and ethical standards. With increasing awareness, businesses are recognizing that adopting an effective approach to CSR can reduce the risk of business disruptions, open up new opportunities, and enhance brand and company reputation.
- The importance of **inclusive growth** is widely recognized as part of India's development goals, aligning with CSR objectives under Section 135 of the Companies Act, 2013. It reiterates the commitment to include those sections of the society in the growth process, which had hitherto remained excluded from the mainstream of development.

## 3. CSR UNDER THE COMPANIES ACT, 2013

The Companies Act, 2013 is a legislation that officially embarked on one of the world's largest experiments of introducing the concept of CSR as a mandatory provision. The inclusion of CSR is an attempt by the government to engage businesses with the national development agenda. With the introduction of the new Act, there is a statutory obligation for the corporations to take initiatives towards Social, Environmental, and Economic Responsibilities.

Applicability

***As per section 135(1) of the Companies Act 2013, the CSR provision is applicable to companies that fulfills any of the following criteria during the immediately preceding financial year.***



The Companies (CSR Policy) Rules, 2014 clarify that CSR provisions apply to every company, including its holding and subsidiary companies, and foreign companies having branch or project offices in India, if they meet the specified financial thresholds above.

***According to Rule 3 of the CSR Rules, the CSR provision will also be applicable to every company including its holding or subsidiary, and a foreign company having its branch office or project office in India having: net worth of Rs. 500 crore or more, or turnover of Rs. 1000 crore or more or a net profit of Rs. 5 crore or more during the immediately preceding financial year.***

*Further, as per Rule 3(2), a company having any amount in its* ***Unspent CSR Account*** *as per Section 135(6) shall constitute a CSR Committee and comply with the provisions contained in sub-sections (2) to (6) of Section 135, even if it otherwise does not meet the financial thresholds*.

***As per section 135(9) of the Act***, where ***the amount to be spent by a company under Section 135 (5) of the Companies Act, 2013 does not exceed Rs. 50 Lakh, the requirement under Section 135 (1) for constitution of the Corporate Social Responsibility Committee shall not be applicable*** and the functions of such Committee provided under this section shall, in such cases, be discharged by the Board of Directors of such company. [Inserted by the Companies (Amendment) Act, 2020.]

Further, MCA vide issuing notification the Companies (Accounts) Second Amendment Rules, 2023 dated 31st May, 2023 has inserted proviso that for the financial year 2022-2023, Form CSR-2 shall be filed separately on or before 31st March, 2024 after filing Form No. AOC-4 or Form No. AOC-4-NBFC (Ind AS), as specified in these rules or Form No. AOC-4 XBRL as specified in the Companies (Filing of Documents and Forms in Extensible Business Reporting Language) Rules, 2015 as the case may be.

## Test Yourself

1. ***Are CSR provisions applicable to private/section 8 companies?***

**Ans:** Yes, if such companies fulfill the criteria prescribed under section 135(1) of the Act.

2. ***Are CSR provisions applicable to joint venture companies? What if such companies have no business projects in India?***

**Ans:** Any company incorporated under the Act including joint venture company will come within the purview of CSR provisions if it fulfill the criteria prescribed under section 135(1) of the Act. Even if a company incorporated under the Act is carrying on business activities outside India and has no business activities in India, it still needs to comply with the CSR provisions if it fulfills the criteria prescribed under section 135(1) of the Act.

3. ***Under section 135(9) of the Act, the CSR obligation of Rs. 50 lakh is to be checked for the previous year or for the current financial year?***

**Ans:** From the language of section 135(9) of the Act, CSR obligation for the previous year is not relevant. Depending on the liability of company for a particular financial year, whether CSR Committee requirement is applicable for that particular financial year or not needs to be determined.

## 4. IMPORTANT DEFINITIONS UNDER CSR [RULE 2 OF THE CSR RULES, 2014]

### "Administrative Overheads"

Means the expenses incurred by the company for 'general management and administration' of Corporate Social Responsibility functions in the company but shall not include the expenses directly incurred for the designing, implementation, monitoring, and evaluation of a particular Corporate Social Responsibility project or programme:

### "Corporate Social Responsibility (CSR)"

Means the activities undertaken by a Company in pursuance of its statutory obligation laid down in section 135 of the Act in accordance with the provisions contained in these rules, but shall not include the following, namely:

(i) Activities undertaken in pursuance of normal course of business of the company.

However, any company engaged in research and development activity of new vaccine, drugs and medical devices in their normal course of business may undertake research and development activity of new vaccine, drugs and medical devices related to COVID-19 for financial years 2020 21, 2021-22, 2022-23 subject to the conditions that-

(a) Such research and development activities shall be carried out in collaboration with any of the institutes or organizations mentioned in item (ix) of Schedule VII to the Act;

(b) Details of such activity shall be disclosed separately in the Annual report on CSR included in the Board's Report.

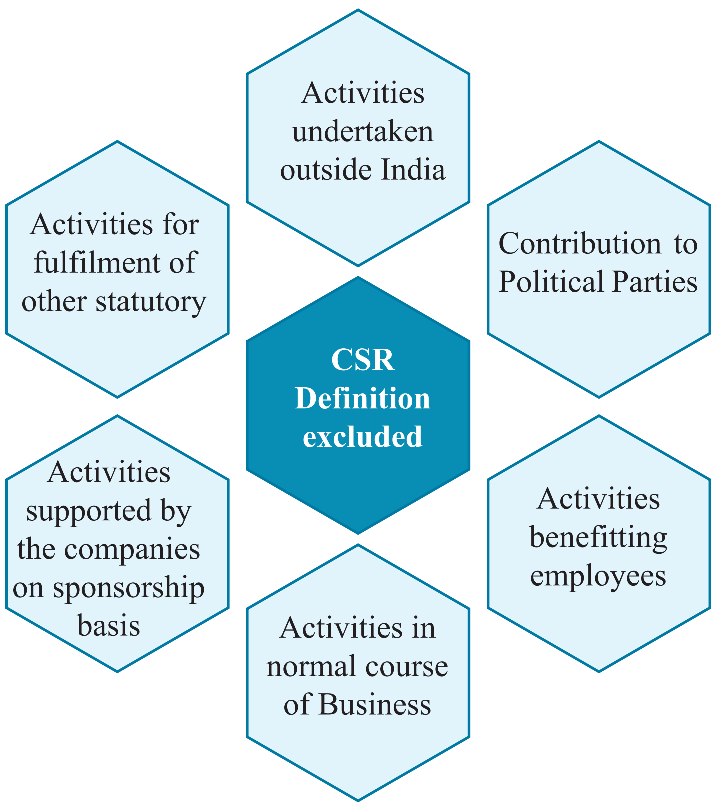
(ii) Any activity undertaken by the company outside India except for training of Indian sports personnel representing any State or Union territory at national level or India at international level;

(iii) Contribution of any amount directly or indirectly to any political party under section 182 of the Act;

(iv) Activities benefitting employees of the company as defined in clause (k) of section 2 of the Code on Wages, 2019;

(v) Activities supported by the companies on sponsorship basis for deriving marketing benefits for its products or services;

(vi) Activities carried out for fulfilment of any other statutory obligations under any law in force in India.




### "CSR Committee"

Means the Corporate Social Responsibility Committee of the Board referred to in section 135 of the Act;

### "CSR Policy"

Means a statement containing the approach and direction given by the board of a company, taking into account the recommendations of its CSR Committee, and includes guiding principles for selection, implementation and monitoring of activities as well as formulation of the annual action plan;

### "International Organization"

Means an organization notified by the Central Government as an international organisation under section 3 of the United Nations (Privileges and Immunities) Act, 1947, to which the provisions of the Schedule to the said Act apply;

### "Ongoing Project"

Means a multi-year project undertaken by a Company in fulfilment of its CSR obligation having timelines not exceeding three years excluding the financial year in which it was commenced, and shall include such project that was initially not approved as a multi-year project but whose duration has been extended beyond one year by the board based on reasonable justification.

Multi year Project undertaken by a company

In fulfillment of CSR obligation

**Ongoing Project**

Timeline not exceeding 3 years Excluding the financial in which it was commenced

Include project that was initially not approved as a multi-year project but whose duration has been extended beyond 1 year by the board based on reasonable justification

### "Public Authority"

Means 'Public Authority' as defined in clause (h) of section 2 of the Right to Information Act, 2005.

***Does the term 'ongoing project' mean projects involving capital assets like Building, Hospital and any other Infrastructure related CSR Project which generally takes more than a year to complete?***

Ongoing project has been defined under Rule 2(i) of the CSR Rules so as to mean a multi-year project undertaken by a company in fulfilment of its CSR obligation having timelines not exceeding three years excluding the financial year in which it was commenced and shall include such project that was initially not approved as a multi-year project but whose duration has been extended beyond one year by the board based on reasonable justification. Such ongoing project may or may not involve capital assets or development of any other infrastructure

## 5. CSR COMMITTEE

Companies that trigger any of the aforesaid conditions must constitute a Corporate Social Responsibility Committee of the Board to formulate and monitor the CSR policy of the company. Section 135(1) of the Act requires the CSR Committee to consist of three directors or more, including at least one independent director. Where a company is not required to appoint an independent director under sub-section (4) of section 149, it shall have in its Corporate Social Responsibility Committee two or more directors.

***Rule 5 of CSR Rules, 2014 further states that***, where a private company has only two directors on the Board, the CSR Committee ***can be constituted with these two directors***.

The CSR Committee of a foreign company ***shall comprise of at least two persons of which one person should be resident in India*** and the other person nominated by the foreign company. The Board's report shall disclose the composition of the Corporate Social Responsibility Committee.

| The Composition of the CSR Committee for Various Categories of Companies is as Under | |
|---|---|
| **Listed companies** | Three or more directors, out of which at least one shall be an independent director. |

| | |
|---|---|
| **Unlisted public companies** | Three or more directors, out of which at least one shall be an independent director. However, if there is no requirement of having an independent director in the company, two or more directors. |
| **Private companies** | Two or more directors. No independent directors are required as mentioned in the proviso under section 135(1). |
| **Foreign company** | At least two persons out of which:<br>(a) One shall be as specified under clause (d) of subsection (1) of section 380 of the Act, and<br>(b) Another shall be nominated by the foreign company.<br>[Refer rule 5(1) of the Companies (CSR Policy) Rules, 2014] |

## 6. THE FUNCTIONS OF CSR COMMITTEE


As per Section 135 of the Companies Act, 2013 and Rule 5(2) of the Companies (CSR Policy) Rules, 2014.

***The key roles and responsibilities of the CSR Committee are as under:***

### Formulation and Recommendation of CSR Policy

To formulate and recommend to the Board, a Corporate Social Responsibility (CSR) Policy which shall indicate the activities to be undertaken by the company in areas or subjects specified in Schedule VII of the Companies Act, 2013.

### Recommendation of Expenditure

To recommend the amount of expenditure to be incurred on the activities undertaken in pursuance of the CSR Policy.

### Monitoring of CSR Policy

To monitor the CSR Policy of the company from time to time and ensure its implementation.

### Annual Action Plan

As per Rule 5(2) of the CSR Rules, 2014, the CSR Committee shall formulate and recommend to the Board an annual action plan in pursuance of its CSR Policy, which shall include the following:

(a) The list of CSR projects or programmes that are approved to be undertaken in areas or subjects specified in Schedule VII of the Act.
(b) The manner of execution of such projects or programmes as specified in sub-rule (1) of Rule 4.
(c) The modalities of utilisation of funds and implementation schedules for the projects or programmes.
(d) Monitoring and reporting mechanism for the projects or programmes.
(e) Details of need and impact assessment, if any, for the projects undertaken by the company.

***Provided that:***

***The Board may alter such a plan at any time during the financial year as per the recommendation of its CSR Committee, based on reasonable justification to that effect.***

## 7. MEETING OF CSR COMMITTEE

### Number of CSR Meetings

Law is silent w.r.t. number of CSR Committee meetings in a year. But as per Secretarial Standard 1 "Committees shall meet as often as necessary subject to the minimum number and frequency stipulated by the Board or as prescribed by any law or authority."

### Quorum for CSR Meetings

Law is also silent w.r.t. quorum for the committee meeting. But as per **Secretarial Standard 1**: The presence of all the members of any Committee (applicable to CSR Committee also) constituted by the Board is necessary to form the Quorum for Meetings of such Committee unless otherwise stipulated in the Act or any other law or the Articles or by the Board.

A member of the Committee appointed by the Board or elected by the Committee as Chairman of the Committee, in accordance with the Act or any other law or the Articles, shall conduct the Meetings of the Committee. If no Chairman has been so elected or if the elected Chairman is unable to attend the Meeting, the Committee shall elect one of its members present to chair and conduct the Meeting of the Committee, unless otherwise provided in the Articles.

## 8. FUNCTIONS AND RESPONSIBILITIES OF THE BOARD

The Board of the Company shall be fully accountable and responsible for the execution and implementation of the CSR policy and all of the projects that are formulated thereunder and ensure:

(i) Provisions of the resources for the establishment, implementation, maintenance and continual improvement of the system required for CSR;

(ii) Involvement of all concerned stakeholders in CSR Implementation; Awareness and promotion of CSR as an integral part of the business and culture.

(iii) Awareness and promotion of CSR as an integral part of the business and culture.

## 9. CSR IMPLEMENTATION [RULE 4 OF THE COMPANIES (CORPORATE SOCIAL RESPONSIBILITY POLICY) RULES, 2014]

The Board shall ensure that the CSR activities are undertaken by the company itself or through:

(a) A company established under section 8 of the Act, or a registered public trust or a registered society, exempted under sub-clauses (iv), (v), (vi) or (via) of clause (23C) of section 10 or registered under section 12A and approved under 80 G of the Income Tax Act, 1961, established by the company, either singly or along with any other company; or

(b) A company established under section 8 of the Companies Act, 2013 or a registered trust or a registered society, established by the Central Government or State Government; or

(c) Any entity established under an Act of Parliament or a State legislature; or

(d) A company established under section 8 of the Act, or a registered public trust or a registered society, exempted under sub-clauses (iv), (v), (vi) or (via) of clause (23C) of section 10 or registered under section 12A and approved under 80 G of the Income Tax Act, 1961, and having an established track record of at least three years in undertaking similar activities.

## 10. IDENTIFYING APPROPRIATE IMPLEMENTING AGENCY

Identifying an appropriate Implementing Agency for undertaking CSR activities is an important task as the proper utilization of funds allocated depends on how capable the Implementing Agency is.

***While finalizing the Implementing Agency, the following points should be kept in mind:***

**Established Track Record**
A history of successful operations over at least three years.

**Political Neutrality**
Absence of direct or indirect ties to any political party.

**Conflict of Interest Avoidance**
Ensuring no benefits to company employees or their families.

**Regulatory Compliance**
Registration under relevant tax and corporate laws.

**Reputational Integrity**
Scrutiny of past reputation and associated individuals.

**Government Adherence**
Compliance with all government and regulatory requirements

## 11. CSR POLICY AND ANNUAL ACTION PLAN

***"CSR Policy"*** means a statement containing the approach and direction given by the board of a company, taking into account the recommendations of its CSR Committee, and includes guiding principles for selection, implementation, and monitoring of activities as well as formulation of the annual action plan.

The approach and direction for CSR is to be recommended by the CSR Committee to the Board, and based on the same, the approach and direction is finalized by the Board of Directors. The CSR Policy is to be prepared and recommended by the CSR Committee to the Board for its approval as per section 135(3)(a) of the Act read with rule 2(f) of the CSR Rules. This process may happen simultaneously, also depending upon the convenience of the Board.

***As per section 135(3)(a) of the Act***, the CSR Policy shall indicate the activities to be undertaken by the company in areas or subjects, **specified in Schedule VII** to the Act. The definition of 'CSR Policy' has been amended vide Companies (CSR Policy) Amendment Rules, 2021 notified on 22nd January 2021. Hence, in respect of the companies to whom CSR provisions were applicable prior to this date, it is recommended that the CSR Policy be amended in line with the revised provisions to include, inter-alia, the guiding principles for selection, implementation and monitoring of activities as well as formulation of the annual action plan.

The guiding principles to be included in the CSR Policy as contemplated in the CSR Rules appear to be macro-level indicators as to the areas in which CSR projects are proposed to be undertaken, which can be articulated in the annual action plan for each financial year.

## 12. ANNUAL ACTION PLAN

In terms of the provisions of ***Rule 5 (2)*** of the amended CSR Rules, the CSR Committee shall formulate and recommend to the Board an annual action plan in pursuance of its CSR policy which shall specifically include:

(a) The list of CSR projects or programmes that are approved to be undertaken in areas or subjects specified in Schedule VII of the Act;
(b) The manner of execution of such projects or programmes;
(c) The modalities of utilisation of funds and implementation schedules for the projects or programmes;
(d) Monitoring and reporting mechanism for the projects or programmes; and
(e) Details of need and impact assessment, if any, for the projects undertaken by the company. It is further provided that the Board may alter such a plan at any time during the financial year, as per the recommendation of its CSR Committee, based on a reasonable justification to that effect.

Accordingly, in the given case if the CSR project could be completed and the amount of money left unutilised, be considered by the Board for spending for other CSR projects/activities after amending the Annual Action Plan accordingly. This fact should also be disclosed in the CSR Report.

All CSR projects or activities are required to be approved in the annual action plan. If a company proposes to undertake any project/activity that is not approved in the annual action plan, it requires approval of the CSR Committee and the Board with proper justification.

The annual action plan shall change for each financial year as it is a manifestation of the guiding principles mentioned in the CSR Policy, as may be relevant for each financial year. It is recommended that the annual action plan should clearly outline the mechanisms and modalities for actual implementation of CSR projects and programs with a view to ensuring measurable and sustainable outcomes, primarily focusing on projects/ activities which are beneficiary-oriented and contribute to sustainable development. It is also recommended that the annual action plan should also speak about the expectations to be achieved during the next financial year.

### For Example

List of CSR programmes, or at least broad criteria about what constitutes a CSR project, which will meet the thrust areas and make a positive impact.

Manner of execution of the project can be as to how much amount to be spent on a particular project in the current year, how much amount to be spent in the next financial year, which Implementing Agencies to hire, etc.

Modalities of utilisation of funds can be at what stage funds shall be disbursed, for example, funds shall be disbursed after completion of work, etc.

Monitoring & reporting mechanisms can be selected by any third party for verification of work done, deciding frequency and parameters of verification, etc.

Fixation of who shall do the impact assessment, which projects, timelines, etc.

## 13. CSR ACTIVITIES [SCHEDULE VII OF THE COMPANIES ACT, 2013]

Some activities are ***specified in Schedule VII*** as the activities which may be included by companies in their Corporate Social Responsibility Policies. The entries in the said Schedule VII ***must be interpreted liberally*** so as to capture the essence of the subjects enumerated in the said Schedule.

The items enlisted in the amended Schedule VII of the Act, are broad-based and are intended to cover a wide range of activities as illustrated.

### These are Activities Related to

I. Eradicating hunger, poverty and malnutrition, promoting health care including preventive health care and sanitation including contribution to the Swach Bharat Kosh set-up by the Central Government for the promotion of sanitation and making available safe drinking water;

II. Promoting education, including special education and employment enhancing vocation skills especially among children, women, the elderly and the differently abled and livelihood enhancement projects;

III. Promoting gender equality, empowering women, setting up homes and hostels for women and orphans; setting up old age homes, day care centres and such other facilities for senior citizens and measures for reducing inequalities faced by socially and economically backward groups;

IV. Ensuring environmental sustainability, ecological balance, protection of flora and fauna, animal welfare, agro forestry, conservation of natural resources and maintaining quality of soil, air and water including contribution to the Clean Ganga Fund set-up by the Central Government for rejuvenation of river Ganga;

V. Protection of national heritage, art and culture including restoration of buildings and sites of historical importance and works of art; setting up public libraries; promotion and development of traditional arts and handicrafts;

VI. Measures for the benefit of armed forces veteran, war widows and their dependents, Central Armed Police Forces (CAPF) and Central Para Military Forces (CPMF) veterans, and their dependents including widows;

VII. Training to promote rural sports, nationally recognized sports, paralympic sports and Olympic sports;

VIII. Contribution to the Prime Minister's National Relief Fund or Prime Minister's Citizen Assistance and Relief in Emergency Situations Fund (PM Cares Fund) or any other fund set up by the Central Government for socio- economic development and relief and welfare of the Scheduled Castes, the Scheduled Tribes, other backward classes, minorities and women;

(a) Contribution to incubators or research and development projects in the field of science, technology, engineering and medicine, funded by the Central Government or State Government or Public Sector Undertaking or any agency of the Central Government or State Government; and

(b) Contributions to public funded Universities; Indian Institute of Technology (IITs); National Laboratories and autonomous bodies established under Department of Atomic Energy (DAE); Department of Biotechnology (DBT); Department of Science and Technology (DST); Department of Pharmaceuticals; Ministry of Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homoeopathy (AYUSH);

IX. Ministry of Electronics and Information Technology and other bodies, namely Defense Research and Development Organisation (DRDO); Indian Council of Agricultural Research (ICAR); Indian Council of Medical Research (ICMR) and Council of Scientific and Industrial Research (CSIR), engaged in conducting research in science, technology, engineering and medicine aimed at promoting Sustainable Development Goals (SDGs) –Substituted by Notification dated 24th August, 2020].

X. Rural development projects;

XI. Slum area development where 'slum area' shall mean any area declared as such by the Central Government or any State Government or any other competent authority under any law for the time being in force;

XII. Disaster management, including relief, rehabilitation, and reconstruction activities.

***However, in determining CSR activities to be undertaken, preference would need to be given to local areas and the areas around where the company operates.***

As per the Clarification issued by MCA on 18th June, 2014; the following may be noted with regard to provisions mentioned under section 135:

- One-off events such as marathons/awards/charitable contributions/ advertisement/sponsorships of TV programmes etc. do not qualify as part of CSR expenditure.
- Expenses incurred by companies for the fulfillment of any Act/ Statute of regulations (such as Labour Laws, Land Acquisition Act etc.) are not counted as CSR expenditure under the Companies Act.

## 14. COMPUTATION OF NET PROFIT

**"Net profit" as per explanation of Section 135(5) shall not include** such sums as may be prescribed, and shall be calculated in accordance with the provisions of section 198. The net worth, turnover and ***net profits are to be computed in terms of Section 198*** of the Companies Act, 2013 as per the profit and loss statement prepared by the company in terms of Section 381 (1) (a) and Section 198 of the Companies Act, 2013. Every company will have to report its standalone net profit during a financial year for the purpose of determining whether or not it triggers the threshold criteria as prescribed under Section 135(1) of the Companies Act.

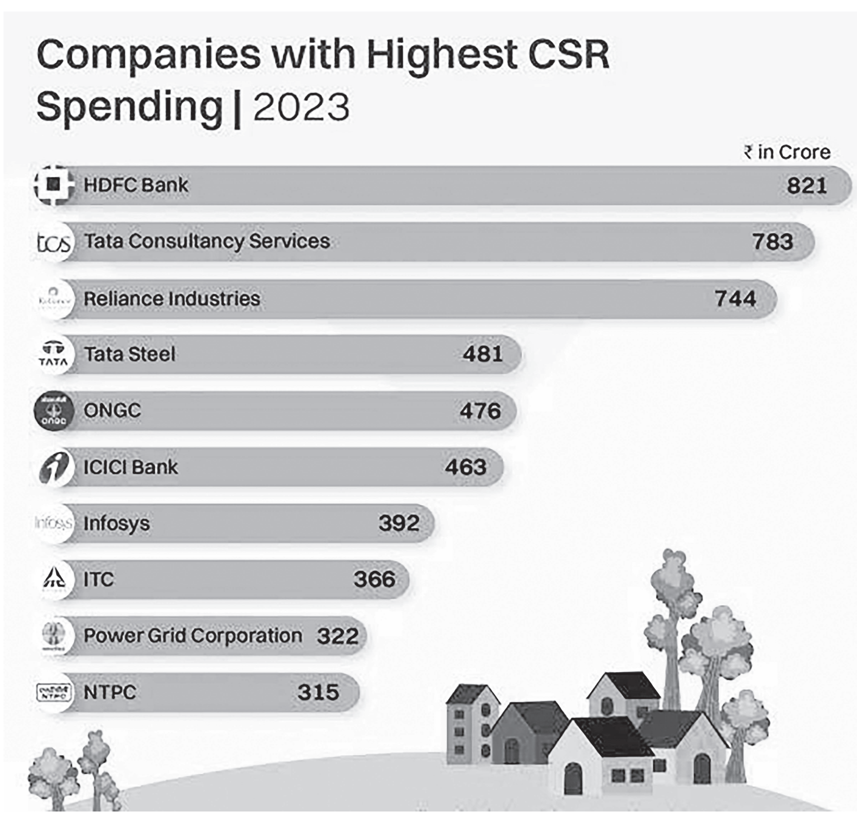
- **Indian company:** The CSR Rules have clarified the manner in which a company's net worth will be computed to determine if it fits into the 'spending' norm. In order to determine the 'net profit', ***dividend income received from another Indian company or profits made by the company from its overseas branches have been excluded***. Moreover, the 2% CSR is computed as **2% of the average net profits made by the company during the immediately preceding three financial years.**
- **Foreign company:** The CSR Rules prescribe that in case of a foreign company that has its branch or a project office in India, CSR provision will be applicable to such offices. CSR Rules further prescribe that the balance sheet and profit and loss account of a foreign company will be prepared in accordance with ***Section 381(1)(a)*** and ***net profit to be computed as per Section 198*** of the Companies Act, 2013. It is not clear as to how the computation of net worth or turnover would be arrived at in case of a branch or project office of a foreign company.

Profits from any overseas branch of the company, including those branches that are operated as a separate company would not be included in the computation of net profits of a company. Besides, dividends received from other companies in India which need to comply with the CSR obligations would not be included in the computation of net profits of a company.

**Net Profit**

- **Indian Company**
  - Net profit of a company as per its financial statement prepared in accordance with the applicable provision of the C. A., 2013 but shall not include the following namely:
    - (i) Any profit arising from any overseas branch or branches of the company, whether operated as a separate company or otherwise; and
    - (ii) Any dividend from other companies in India, which are covered under and complying with the provisions of section 135 of the C. A., 2013
  - As per explanation to Sec 135(5) of the Act, "net profit" shall be calculated in accordance with the provisions of Section 198.
- **Foreign Company covered under CSR Rules**
  - Net profit means the net profit of such company as per profit and loss account prepared in terms of clause(a) of sub-section(1) of section 381, read with section 198 of the Act.

## 15. CSR SPENT: TOP COMPANIES



# PAST YEAR QUESTIONS

**1.** Can the CSR funds be utilized for the activities related to "Har Ghar Tiranga" a campaign under the aegis of Azadi Ka Amrit Mahotsav, under the provisions of the Companies Act, 2013? **[Dec. 2023 (3 Marks)]**

**2.** A company incorporated in 2010, furnished the following information in respect of the Financial Years (FY) as detailed below:

**(₹ in crore)**

| Item | FY 2019-2020 | FY 2020-2021 | FY 2021-2022 |
|---|---|---|---|
| Equity share capital | 100 | 120 | 120 |
| Preference share capital | 140 | 140 | 140 |
| General reserve | 120 | 130 | 150 |
| Revaluation reserves | 240 | 240 | 240 |
| Profit and Loss Account | 14 | 24 | 34 |
| Securities premium account | 200 | 240 | 240 |
| Annual turnover | 920 | 1040 | 400 |
| Net profit | 14 | 24 | 4 |

***From the above information, answer the following, referring to the provisions of the Companies Act, 2013:***

(i) Is the company required to constitute a CSR Committee? Show the relevant computation/working in support of your answer.

(ii) What must be the minimum spending on CSR in FY 2022-2023? **[Dec. 2023 (5 Marks)]**

**3.** You are the Company Secretary of Himachal Chemicals Limited. Pursuant to the applicable provisions of the Companies Act, 2013, draft a board resolution to approve and adopt a new CSR Policy of the Company. **[Dec. 2023 (5 Marks)]**

**4.** A company's net profit calculated under section 198 of the Companies Act, 2013 as per the audited financial statements was as under:

Year 2021-2022 : Net Profit ₹8 Crore

Year 2020-2021 : Net Profit ₹5 Crore

Year 2019-2020 : Net Profit ₹4 Crore

The profit for the financial year 2021-2022 included the profit of ₹ 1 Crore from its foreign subsidiary company and ₹1 Crore from an Indian company covered under section 135 of the Companies Act, 2013, as dividend. Comment on the amount, if any, liable to be spent on Corporate Social Responsibility (CSR) activities by the company. **[Dec. 2022 (3 Marks)]**

**5.** Board of Directors of Charity Ltd. wants to understand from you applicability of the provisions relating to CSR to companies including requirements to constitute CSR Committee. Inform the Board.

**[June 2021 (5 Marks)]**

CHAPTER 17

# ANNUAL REPORT – CONCEPTS

## 1. INTRODUCTION

**Transparency** is a **pivotal feature** in the **market-based monitoring of companies** and is central to shareholders' ability to exercise their **ownership rights** on an **informed basis**, which can help attract capital and maintain confidence in the **capital markets**.

Adequate **disclosure** also helps improve public understanding of the **structure and activities of enterprises**, **corporate policies** and **performance** with respect to **environmental and ethical standards**, and companies' relationships with the **communities** in which they operate.

Disclosures are made both through the **print media** and the **electronic media**.

Today, corporates have to disclose mandatorily under various legislations such as:

**Disclosures by the Board**

- **Disclosures under the Companies Act, 2013**, and **Rules made thereunder**
- **SEBI (LODR) Regulations, 2015**, and other regulations applicable to **Listed Companies**
- **Secretarial Standard on Board's Report-SS4** (Recommended)
- **Disclosure under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013**, and **rules made thereunder**
- **Disclosures under other applicable Acts**

## 2. ANNUAL REPORT

The **annual report** is a **comprehensive report** provided by most **public companies** to disclose their **corporate activities** over the past year. The report is typically issued to **shareholders** and other **stakeholders** who use it to evaluate the firm's performance, including both **operating and financial highlights**.

**Components to Annual Report**

- Notes to Financial Statements
- Financial Highlights
- Information on Corporate Governance
- Management Discussion and Analysis
- Statement of Cashflow
- Income Statement
- Statement of Financial Position

An annual report is designed to be interactive for shareholders. It generally starts with the **board's message to shareholders** in the form of a **dedicated report**. Their message aims to brief the shareholders about the **key performance indicators** of the current year.

It highlights the company's growth prospects within its industry to attract shareholders' attention to its potential for success.

Annual reports also cover corporate activities, legal highlights, and corporate governance.

In addition, the **management discussion and analysis report** emphasizes **management commentary** on **risks and concerns** of the business.

The financial statements present year-on-year comparisons to help shareholders understand the company's performance. In addition, the **notes to financial statements** describe the **technical anomalies** and **assumptions** taken in preparing the financial statements.

The **annual report** also presents **changes in accounting policies**, **financial disclosure**, **capital projects**, and other **information/disclosures** relevant to shareholders.

***As per Regulation 34 of the SEBI (LODR) Regulations, 2015, the listed entity shall submit to the stock exchange and publish on its website:***

(a) A copy of the **annual report** sent to the **shareholders** along with the **notice of the annual general meeting** not later than the day of commencement of dispatch to its shareholders.

(b) In the event of any changes to the **annual report**, the **revised copy**, along with the **details of and explanation for the changes,** shall be sent not later than **48 hours** after the **annual general meeting**.

Such an **annual report** shall contain the following:

(a) **Audited financial statements** , i.e., balance sheet, profit and loss account, and Statement on Impact of Audit Qualifications as stipulated in regulation 33(3)(d), if applicable;

(b) **Consolidated financial statements** audited by its **statutory auditors**;

(c) **Cash flow statement** presented only under the **indirect method** as prescribed in **Accounting Standard-3** or **Indian Accounting Standard 7**, as applicable, specified in **Section 133 of the Companies Act, 2013,** read with relevant rules framed thereunder or as specified by the **Institute of Chartered Accountants of India**, whichever is applicable;

(d) **Directors Report**;

(e) **Management discussion and analysis report** - either as a part of **directors' report** or in addition thereto;

(f) **For the top one thousand listed entities** based on **market capitalization**, a **business responsibility report** describing the **initiatives** taken by the listed entity from an **environmental, social, and governance perspective**, in the format as specified by the **Board** from time to time.

The requirement of submitting a business responsibility report is discontinued after the financial year 2021–22. From 2022–23, the top 1,000 listed entities will submit a business responsibility and sustainability report in the format specified by the Board.

Further, even during the **financial year 2021–22**, the **top one thousand listed entities** may **voluntarily submit a business responsibility and sustainability report** in place of the mandatory business responsibility report.

Also, the **remaining listed entities**, including the entities that have listed their **specified securities on the SME Exchange**, may **voluntarily submit such reports**.

Further, it is provided that the **annual report** shall contain any other **disclosures specified in the Companies Act, 2013, along** with other requirements as specified in **Schedule V of SEBI (LODR) Regulations, 2015**.

***As per SEBI (LODR) Regulations, 2015, the annual report shall contain the following additional disclosures:***


**A. Related to Party Disclosure**

1. The **listed entity** that has listed its **non-convertible securities** shall make disclosures in compliance with the **Accounting Standard on "Related Party Disclosures"**.
2. The **disclosure requirements** are as follows:

| S. No. | In the Accounts of | Disclosures of Amounts at the Year-end and the Maximum Amount of Loans/Advances/Investments Outstanding During the Year |
|---|---|---|
| 1. | **Holding Company** | ✦ **Loans and advances** in the nature of loans to **subsidiaries** by name and amount.<br>✦ **Loans and advances** in the nature of loans to **associates** by name and amount.<br>✦ **Loans and advances** in the nature of loans to **firms/companies in which directors are interested** by name and amount. |
| 2. | **Subsidiary** | Same disclosures as applicable to the **parent company** in the accounts of the subsidiary company. |
| 3. | **Holding Company** | **Investments by the loanee** in the shares of the **parent company** and **subsidiary company**, when the company has made a **loan or advance in the nature of a loan**. |

For the above disclosures, **directors' interest** shall have the same meaning as given in **Section 184 of the Companies Act, 2013**.

1. **Disclosures of transactions** of the **listed entity** with any person or entity belonging to the **promoter/ promoter group** that hold(s) **10% or more shareholding** in the listed entity, in the format prescribed in the relevant **accounting standards** for **annual results**.
2. The above **disclosures shall not be applicable to listed banks**.

**B. Management Discussion and Analysis**

1. **This section shall include discussion on the following matters within the limits set by the listed entity's competitive position:**
   (a) **Industry structure and developments**
   (b) **Opportunities and Threats**
   (c) **Segment-wise or product-wise performance**
   (d) **Outlook**
   (e) **Risks and concerns**
   (f) **Internal control systems** and their **adequacy**
   (g) **Discussion on financial performance** with respect to **operational performance**
   (h) **Material developments in the Human Resources / Industrial Relations front**, including the **number of people employed**
   (i) **Details of significant changes** (i.e., change of **25% or more** as compared to the immediately previous financial year) in **key financial ratios**, along with detailed explanations therefor, including:
      - **Debtors Turnover**
      - **Inventory Turnover**
      - **Interest Coverage Ratio**
      - **Current Ratio**
      - **Debt Equity Ratio**
      - **Operating Profit Margin (%)**
      - **Net Profit Margin (%)**

      or **sector-specific equivalent ratios**, as applicable.
   (j) **Details of any change in Return on Net Worth** as compared to the immediately previous financial year, along with a **detailed explanation** thereof.
2. **Disclosure of Accounting Treatment:**

   Where in the preparation of **financial statements**, a treatment **different from that prescribed in an Accounting Standard** has been followed, the fact shall be **disclosed in the financial statements**, together with the **management's explanation** as to why it believes such **alternative treatment** is more representative of the **true and fair view of the underlying business transaction**.

**C. Corporate Governance Report**

The following disclosures shall be made in the section on **corporate governance** of the **annual report**.

1. A brief statement on the **listed entity's philosophy** on the **code of governance**.
2. **Board of Directors:**
   **(a)** **Composition and category of directors** (e.g., **promoter**, **executive**, **non-executive**, **independent non-executive**, **nominee director** - institution represente,d and whether as lender or as equity investor)
   **(b)** **Attendance** of each director at the **meeting of the board of directors** and the last **annual general meeting**
   **(c)** **Number of other boards of directors or committees** in which a director is a member or chairperson, and with effect from the **Annual Report for the year ended 31st March 2019**, including separately the **names of the listed entities** where the person is a director and the **category of directorship**
   **(d)** **Number of meetings** of the board of directors held and **dates on which held**
   **(e)** **Disclosure of relationships** between **directors inter-se**
   **(f)** **Number of shares and convertible instruments held by non-executive directors**

(g) **Web link** where details of **familiarisation programmes** imparted to **independent directors** are disclosed
(h) A **chart or a matrix** setting out the **skills/expertise/competence** of the board of directors, specifying the following:
   (i) With effect from the **financial year ending March 31, 2019**, the list of **core skills/expertise/competencies** identified by the board of directors as required in the context of its **business(es)** and **sector(s)** for it to function effectively, and those actually available with the board
   (ii) With effect from the **financial year ended March 31, 2020**, the **names of directors** who have such **skills/expertise/competence**
(i) **Confirmation** that, in the opinion of the board, the **independent directors** fulfill the conditions specified in these regulations and are **independent of the management**
(j) **Detailed reasons for the resignation** of an **independent director** who resigns before the expiry of his/her tenure, along with a **confirmation** by such director that there are **no other material reasons** other than those provided

3. **Audit Committee:**
   (a) Brief description of **terms of reference**
   (b) **Composition**, names of **members,** and **chairperson**
   (c) **Meetings and attendance** during the year
4. **Nomination and Remuneration Committee:**
   (a) Brief description of **terms of reference**
   (b) **Composition**, names of **members,** and **chairperson**
   (c) **Meeting and attendance** during the year
   (d) **Performance evaluation criteria for independent directors**
5. **Stakeholders' Relationship Committee:**
   (a) Name of the **non-executive director** heading the committee
   (b) Name and designation of the **compliance officer**
   (c) **Number of shareholders' complaints** received during the financial year
   (d) **Number of complaints not solved** to the satisfaction of shareholders
   (e) **Number of pending complaints**

5A. **Risk Management Committee:**
   (a) Brief description of **terms of reference**
   (b) **Composition**, names of **members,** and **chairperson**
   (c) **Meetings and attendance** during the year
6. **Remuneration of Directors:**
   (a) All **pecuniary relationships or transactions** of the **non-executive directors** vis-à-vis the **listed entity** shall be disclosed in the **annual report**
   (b) **Criteria for making payments** to **non-executive directors**. Alternatively, this may be disseminated on the **listed entity's website** and a reference drawn thereto in the annual report
   (c) Disclosures with respect to **remuneration**: In addition to disclosures required under the **Companies Act, 2013**, the following disclosures shall be made:
      (i) All elements of the **remuneration package** of individual directors summarized under major groups, such as **salary**, **benefits**, **bonuses**, **stock options**, **pension**, etc.
      (ii) Details of the **fixed component** and **performance-linked incentives**, along with the **performance criteria**
      (iii) **Service contracts**, **notice period**, **severance fees**
      (iv) **Stock option details**, if any, and whether issued at a discount, as well as the period over which accrued and over which exercisable

7. **General Body Meetings:**
   (a) **Location and time** where the last three **annual general meetings** were held
   (b) Whether any **special resolutions** passed in the previous three annual general meetings
   (c) Whether any **special resolution** passed last year through **postal ballot** – details of **voting pattern**
   (d) The person who conducted the **postal ballot exercise**
   (e) Whether any **special resolution** is proposed to be conducted through a **postal ballot**
   (f) **Procedure for the postal ballot**
8. **Means of Communication:**
   (a) **Quarterly results**
   (b) **Newspapers** wherein the results normally published
   (c) Any **website**, where displayed
   (d) Whether it also displays **official news releases**
   (e) **Presentations** made to **institutional investors** or to the **analysts**
9. **General Shareholder Information:**
   (a) **Annual general meeting** – date, time, and venue
   (b) **Financial year**
   (c) **Dividend payment date**
   (d) The name and address of each **stock exchange(s)** at which the listed entity's **securities are listed** , and a confirmation about the payment of the **annual listing fee** to each of such stock exchange(s)
   (e) **Stock code**
   (f) **Market price data** – high, low during each month in the last financial year
   (g) Performance in comparison to **broad-based indices** such as **BSE Sensex**, the **CRISIL Index** , etc.
   (h) In case the **securities are suspended** from trading, the directors' report shall explain the reason thereof
   (i) **Registrar to an issue** and **share transfer agents**
   (j) **Share transfer system**
   (k) **Distribution of shareholding**
   (l) **Dematerialization of shares and liquidity**
   (m) Outstanding **Global Depository Receipts** or **American Depository Receipts** or **warrants** or any **convertible instruments**, conversion date, and likely impact on equity
   (n) **Commodity price risk** or **foreign exchange risk** and **hedging activities**
   (o) **Plant locations**
   (p) **Address for correspondence**
   (q) List of all **credit ratings obtained** by the entity along with any revisions thereto during the relevant financial year, for all **debt instruments** of such entity or any **fixed deposit programme** or any scheme or proposal of the listed entity involving **mobilization of funds**, whether in India or abroad
10. **Other Disclosures:**
   **(a)** Disclosures on **materially significant related party transactions** that may have **potential conflict** with the interests of the listed entity at large
   **(b)** Details of **non-compliance**, penalties, strictures imposed on the listed entity by **stock exchange(s)** or the **Board** or any **statutory authority**, on any matter related to **capital markets**, during the last three years
   **(c)** Details of the establishment of the **vigil mechanism/whistleblower policy**, and affirmation that no personnel have been denied access to the **audit committee**
   **(d)** Details of **compliance with mandatory requirements** and adoption of the **non-mandatory requirements**

(e) **Web link** where the **policy for determining 'material' subsidiaries** is disclosed

(f) **Web link** where **policy on dealing with related party transactions**

(g) Disclosure of **commodity price risks** and **commodity hedging activities**

(h) Details of **utilization of funds raised** through **preferential allotment** or **qualified institutions placement,** as specified under **Regulation 32 (7A)**

(i) A certificate from a **Company Secretary in practice** that none of the directors on the board of the company have been **debarred or disqualified** from being appointed or continuing as directors of companies by the **Board/Ministry of Corporate Affairs** or any such statutory authority

(j) Where the board had not accepted any **recommendation of any committee** of the board that is mandatorily required, the same to be disclosed along with the reasons thereof

(k) **Total fees for all services** paid by the listed entity and its subsidiaries, on a consolidated basis, to the **statutory auditor** and all entities in the **network firm/network entity** of which the statutory auditor is a part

(l) Disclosures in relation to the **Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013**:
- Number of complaints filed during the financial year
- Number of complaints disposed of during the financial year
- Number of complaints pending as on end of the financial year

(m) Disclosure by the listed entity and its subsidiaries of **'Loans and advances in the nature of loans to firms/companies in which directors are interested by name and amount'**. Provided that this requirement shall be applicable to all listed entities except for **listed banks**

11. **Non-compliance of any requirement** of the corporate governance report of sub-paragraphs (2) to (10) above, with reasons thereof, shall be disclosed.
12. The corporate governance report shall also disclose the extent to which the **discretionary requirements as specified in Part E of Schedule II** have been adopted.
13. The disclosures of **compliance with corporate governance requirements specified in regulations 17 to 27 and clauses (b) to (i) of sub-regulation (2) of regulation 46** shall be made in the section on **corporate governance** of the **annual report**.

**D. Declaration Signed by the Chief Executive Officer**

The Chief Executive officer has to sign a declaration stating that the members of the Board of Directors and senior management personnel have affirmed compliance with the code of conduct of board of directors and senior management.

**E. Compliance Certificate**

A compliance Certificate from either the auditors or practicing Company Secretaries regarding compliance of conditions of corporate governance shall be annexed with the directors' report.

**F. Disclosurse with Respect to Demat Suspense Account/Unclaimed Suspense Account**

The **listed entity** shall disclose the following details in its **annual report**, as long as there are shares in the **demat suspense account** or **unclaimed suspense account**, as applicable:

(a) **Aggregate number of shareholders** and the **outstanding shares** in the suspense account lying at the **beginning of the year**

(b) **Number of shareholders** who approached the listed entity for the **transfer of shares from the suspense account** during the year

(c) **Number of shareholders** to whom **shares were transferred** from the suspense account during the year

(d) **Aggregate number of shareholders** and the **outstanding shares** in the suspense account at the **end of the year**

(e) That the **voting rights** on these shares shall remain **frozen** till the **rightful owner** of such shares claims the shares.

## 2.1 STATEMENT OF DEVIATION(S) OR VARIATION(S)

As per **Regulation 32 of SEBI (LODR) Regulations, 2015**, the **listed entity** shall submit to the **stock exchange** the following **statement(s)** on a **quarterly basis** for **public issue**, **rights issue**, **preferential issue**, etc.:

(a) Indicating **deviations**, if any, in the **use of proceeds** from the **objects stated in the offer document** or **explanatory statement** to the notice for the **general meeting**, as applicable

(b) Indicating **category-wise variation** (capital expenditure, sales and marketing, working capital, etc.) between the **projected utilisation of funds** made by it in its **offer document** or **explanatory statement** to the notice for the general meeting, as applicable, and the **actual utilisation of funds.**

The **statement(s)** shall continue to be given till such time the **issue proceeds** have been **fully utilised** or the **purpose** for which these proceeds were raised has been achieved, and shall be placed before the **audit committee** for review, and after such review, shall be submitted to the **stock exchange(s)**.

The **listed entity** shall furnish an **explanation for such variation** in the **directors' report** in the **Annual Report**.

The **listed entity** shall prepare an **annual statement of funds utilized for purposes other than those stated** in the **offer document/prospectus/notice**, certified by the **statutory auditors** of the listed entity, and place it before the **audit committee** till such time the full money raised through the issue has been fully utilized.

Where the **listed entity** has appointed a **monitoring agency** to monitor **utilisation of proceeds** of a **public issue** or **rights issue** or **preferential issue**, or **qualified institutions placement**, the listed entity shall submit to the **stock exchange(s)** any **comments or reports** received from the **monitoring agency** within **forty-five days** from the end of each quarter.

Where the **listed entity** has appointed a **monitoring agency** to monitor the utilisation of proceeds of **public issue** or **rights issue** or **preferential issue** or **qualified institutions placement**, the **monitoring report** of such agency shall be placed before the **audit committee** on a **quarterly basis**, promptly upon its receipt.

Where an entity has raised funds through **preferential allotment** or **qualified institutions placement**, the **listed entity** shall disclose **every year**, the **utilization of such funds** during that year in its **Annual Report** until such funds are fully utilized.

## 2.2 DOCUMENT & INFORMATION TO SHAREHOLDERS

According to **Regulation 36 of SEBI (LODR) Regulations**, the **listed entity** shall send the **annual report** in the following manner to the **shareholders**:

(a) **Soft copies** of the full **annual report** to all those shareholder(s) who have registered their **email address(es)** either with the listed entity or with any **depository**

(b) **Hard copy** of statement containing the **salient features** of all the documents, as prescribed in **Section 136 of the Companies Act, 2013**, or **rules made thereunder** , to those shareholder(s) who have not so registered

(c) **Hard copies of full annual reports** to those shareholders who request for the same

The **listed entity** shall send an **annual report** to the **holders of securities**, not less than **twenty-one days** before the **annual general meeting**.

# 3. BOARD'S RESULT

- The **Board's Report** is the primary medium through which the **Board of Directors communicates** with the **shareholders** of a company.
- It is a **comprehensive document** that informs shareholders about the **company's performance**, **key policies**, **management changes**, and **future plans,** such as **expansion**, **modernization**, **diversification**, and **capital structure**.

- Apart from shareholders, the report is useful for **lenders, bankers, regulators**, and the **general public** to evaluate the company's performance and understand its future direction.
- In line with the Companies Act, 2013, which emphasizes **enhanced disclosures and transparency**, the Board's Report requires a **thorough understanding** for its accurate preparation.
- The report must include details on **risk management**, **board evaluation**, **corporate social responsibility**, and **declarations by independent directors**.
- A **Secretarial Audit Report** is also to be **annexed** with the Board's Report as per legal requirements.
- Under the Act, the Board of Directors must present the **Board's Report along with the financial statements** at every **Annual General Meeting (AGM).**
- The report not only provides a **review of the year's performance** but also mentions **material changes up to the date of the report**, **global and national developments**, and their possible **impact on business**, along with **future strategies**.
- The report is indicative of the **company's level of corporate governance** and enables **stakeholders**, including **prospective investors**, to form an informed opinion.
- The **Secretarial Department**, under the supervision of the **Company Secretary (CS)**, is responsible for preparing the Board's Report.
- At the **start of every financial year**, the CS should circulate a **"To Do List"** to various departments such as **business, finance, and accounts**, outlining activities to be undertaken during the year.
- The CS should also instruct all departments to **report any significant events** that may affect the company's business, operations, or profitability. If such events fall under **Regulation 30 of SEBI (LODR) Regulations, 2015**, they must be disclosed **within 24 hours**.
- If the event is not immediately reportable, it should be **noted in the AGM folder** for consideration during the finalization of the Annual Report.
- Gathering information throughout the year and maintaining it in an **AGM folder** is crucial to ensure a **complete and compliant Board's Report**.
- The CS must recognize that the **preparation of the Board's Report is a continuous process** and should issue **timely reminders** near the end of the financial year.
- The key disclosures required in the Board's Report are detailed in **Section 134** of the Companies Act, 2013, and **Rule 8** of the Companies (Accounts) Rules, 2014.
- Additionally, various provisions of the Act, including **Sections 67, 92, 129, 131, 135, 149, 160, 168, 177, 178, 188, 197, and 204,** require relevant disclosures in the report.
- Companies with listed securities must also include **additional disclosures** as per the **SEBI (LODR) Regulations, 2015**.

## 3.1 DISCLOSURE IN BOARD'S REPORT PURSUANT TO THE COMPANIES ACT, 2013

| | | |
|---|---|---|
| Disclosures under Section 134(3) | Issue of Equity Shares with differential rights under Section 43 r\w Rule 4 of the Companies (Share Capital & Debentures) Rules, 2014 | Issue of Sweat Equity Shares under Section 54 r\w Rule 8 of the Companies (Share Capital & Debentures) Rules, 2014 |
| Details of Employees Stock Option Scheme– Section 62(1)(b) r\w Rule 12(9) of the Companies (Share Capital & Debentures) Rules, 2014 | Restrictions on purchase by company or giving of loans by it for under Section 67 r\w Rule 16 of the Companies (Share Capital & Debentures) Rules, 2014 | Disclosures pertaining to Consolidated Financial Statements under Section 129 |

| | | |
|---|---|---|
| Voluntary revision of Financial Statements or Board's Report – Section 131(1) | Corporate Social Responsibility– Section 135 | Appointment/ Re-Appointments of an Independent Director– Section 149(10) |
| Resignation of Director– Section 168(1) | Composition of Audit Committee–Section 177(8) | Details of Vigil Mechanism– Section 177(10) |
| Policy relating to the remuneration for the directors, key managerial personnel and other employees – Section 178(4) | Related party transactions– Section 188(2) | Disclosures pertaining to remuneration of directors and employees–Section 197(12) |
| Remuneration received by MD and WTD from holding or subsidiary companies – Section 197(14) | Secretarial Audit Report – Section 204(1) | |

## 3.2 SECRETARIAL STANDARD ON REPORT OF THE BOARD OF DIRECTORS (SS-4)

The **Secretarial Standard on Report of the Board of Directors (SS-4)** has been formulated by the **Secretarial Standards Board (SSB)** of the **Institute of Company Secretaries of India (ICSI)** and issued by the **Council of the ICSI**. It became effective from **1st October 2018**. Adherence to SS-4 is **recommended**, meaning it is suggested but not legally mandatory.

SS-4 provides a **framework of principles** for making **clear, uniform, and complete disclosures** in the **Board's Report** of a company.

These disclosures are in line with the **Companies Act, 2013**. If any change in law makes any part of this Standard inconsistent with the Act, the **Companies Act will override SS-4**.

For instance, **SS-4** states that even when **no amount is transferred to reserves** or **no dividend is declared**, a **specific statement** to that effect must still be included in the **Board's Report**. This ensures that important financial decisions are clearly communicated in one consolidated document.

This Standard also outlines **procedures**, **explanations**, and **practical guidance** to help companies follow it properly.

In addition, companies in **special sectors** such as **Public Sector Undertakings (PSUs)**, **Insurance Companies**, **Non-Banking Financial Companies (NBFCs)**, and **Housing Finance Companies** may need to follow **additional disclosure requirements** as per their respective regulations or guidelines. These must be included in the **Board's Report** or **Annual Report**, as applicable.

## 3.3 DISCLOSURES UNDER SECTION 134(3)

**Section 134** requires the **Board of Directors** to prepare a detailed report to shareholders. This report is attached to the **financial statements** placed before shareholders at the **Annual General Meeting**, in accordance with **Section 129** of the Act.

The **Board's Report** must be based on the company's **standalone financial statements** and must include a summary of the performance of its **subsidiaries**, **associates**, and **joint venture companies**, highlighting their contribution to the company's overall performance.

Under **sub-section (3) of Section 134**, the Board's Report must include the following:

**(a)** The **web address**, if any, where the **Annual Return** referred to in **Section 92(3)** has been published.

**(b)** The **number of meetings of the Board** held during the year.

As per **SS-4**, the report must include the **number and specific dates** of Board meetings held.

**(c) Directors' Responsibility Statement** as required under **Section 134(5)**, must affirm that:

(i) **Applicable accounting standards** have been followed in preparing the annual accounts, along with proper explanations for any **material departures**.

(ii) The **accounting policies** were selected carefully and applied consistently, and **reasonable estimates** were made to give a **true and fair view** of the company's financial position and results.

(iii) Adequate **accounting records** were maintained, and **sufficient care** was taken to **protect the company's assets** and prevent and detect **fraud and errors**.

(iv) The annual accounts were prepared on a **going concern basis**.

(v) For **listed companies**, the directors had laid down **internal financial controls** that were adequate and working effectively.

(vi) The directors had created **systems to ensure compliance** with all applicable laws, which were adequate and working properly.

**Explanation**

The term **"internal financial controls"** refers to the policies and processes set by the company to ensure:

- Proper conduct of business
- Adherence to company policies
- Safeguarding of assets
- Prevention and detection of fraud and errors
- Accuracy of accounting records

Timely creation of reliable financial information

**(ca) Details of Frauds Reported by Auditors (Section 143(12))**

Details must be disclosed regarding frauds reported by auditors under **sub-section (12) of Section 143**, excluding those reportable to the Central Government:

- **Nature of Fraud** with description.
- **Approximate Amount** involved.
- **Parties involved**, if remedial action is not taken.
- **Remedial Action Taken**.

**Note:** Frauds involving ₹ **1 crore or more** must be reported by the auditor directly to the **Central Government.**

**(d) Declaration by Independent Directors (Section 149(6))**

Every **Independent Director** must submit a declaration confirming that they meet the **independence criteria** under **Section 149(6)**:

- At the first Board meeting, they attend as a director.
- At the first Board meeting of every financial year thereafter.
- Whenever there is any change affecting their independent status.

The **Board's Report** must confirm receipt of such declarations.

As per **SS-4**, the Board's Report must also confirm:

- The necessary declarations regarding independence were received from all Independent Directors.
- That Independent Directors complied with the **Code for Independent Directors** as per **Schedule IV** of the Act.

**(e) Company's Policy on Appointment and Remuneration of Directors (Section 178(3))**

***The Board's Report must disclose the company's policy regarding:***

- Criteria for determining **qualifications**, **positive attributes**, and **independence** of a director.
- Policy related to **remuneration** of Directors, **Key Managerial Personnel (KMP)**, and other employees.

**As per Section 178(4), the Nomination and Remuneration Committee must formulate this policy, ensuring:**

- Remuneration is reasonable and sufficient to attract, retain, and motivate suitable directors.
- Remuneration is linked to performance.
- There is a balance between **fixed** and **incentive pay** suitable for the company's objectives.

***This policy must be placed on the company's website, if available, and its key features and changes disclosed in the Board's Report.***

**Exceptions:**

- **Government Companies** are exempt from this disclosure.
- Certain unlisted public/private companies licensed by **RBI, SEBI, or IRDA** in **IFSC** zones are permitted to skip this disclosure if such information is already included in financial statements.

**(f) Explanations or Comments on Auditor's Remarks**

***The Board's Report must explain all qualifications, reservations, or adverse remarks in:***

- **Auditor's Report (Section 143):** Clause (h) of Section 143(3) requires disclosure of any qualification, reservation, or adverse remark in relation to the maintenance of accounts or related matters.
- **Cost Audit Report (Section 148):**
  - (i) As per Section 148(5) and Rule 6 of the Companies (Cost Records and Audit) Rules, 2014, similar responsibilities apply to cost auditors.
  - (ii) The **Cost Auditor** submits their report to the Board of Directors, which must explain any qualifications or adverse remarks concerning the maintenance of cost records.
- **Secretarial Audit Report (Section 204(3))**:
  - (i) The Board must fully explain any qualification, observation, or remark made by the **Company Secretary in Practice** in their secretarial audit report.
  - (ii) This explanation should cover the reasons for material deviations and the circumstances leading to such observations.

**(g) Particulars of Loans, Guarantees, or Investments (Section 186)**

***The Board's Report must include details of:***

- **Loans given**.
- **Guarantees provided**.
- **Investments made in securities**.
- **Acquisitions during the year**.

All as specified under **Section 186** of the Companies Act, 2013.

**(h) Related Party Transactions (Section 188(1))**

***The Board's Report must disclose:***

- Details of **contracts or arrangements with related parties** entered under **Section 188(1)**.
- This must be reported in **Form AOC-2** as per **Rule 8(2)** of the Companies (Accounts) Rules, 2014.

**(i) State of the Company's Affairs**

The Board's Report must give a clear picture of the company's operational and financial status for the period under review, including:

- Relevant changes compared to the previous year that materially affect performance.
- Comparative figures for **production and sales targets** with explanations for substantial variations.

**(j) Transfer to Reserves**

If the company proposes to transfer any profits to **reserves**, this should be disclosed. If no transfer is made, include a statement like:

- "The Board of Directors of your company has decided not to transfer any amount to the Reserves for the year under review."

**(k) Dividend Recommendation (Section 123)**

***The Board's Report must disclose:***

- Amount per share and percentage recommended as dividend.
- If applicable, details of interim dividends.
- Total dividend declared for the year.
- Statement of compliance with **Dividend Distribution Policy** and reasons for deviations.
- Disclosure if dividend is paid from reserves.

If no dividend is recommended, a clear statement should be made.

**(l) Material Changes and Commitments**

***Disclose any significant changes affecting the financial position of the company between:***

- The end of the financial year and
- The date of the Board's Report.

These should cover post-financial statement events impacting the company.

**(m) Conservation of Energy, Technology Absorption, and Foreign Exchange Earnings/Outgo (Rule 8(3))**

**A. Conservation of Energy:**

- Steps taken or impact on energy conservation.
- Use of alternative energy sources.
- Capital investments made in energy conservation equipment.

**B. Technology Absorption:**

- Efforts made towards technology absorption.
- Benefits achieved: product improvement, cost reduction, development, or import substitution.
- Imported technology (last 3 years):
  - (i) Details and year of import.
  - (ii) Whether fully absorbed.
  - (iii) If not, the reasons for non-absorption.
- R&D expenditures.

**C. Foreign Exchange:**

- Actual foreign exchange earned and outflow during the year.

***Exemption:***

- Government companies producing defence equipment are exempt from this disclosure.

**(n) Risk Management Policy**

The Board's Report must include a statement about the development and implementation of a **Risk Management Policy** for the company, including:

- Identification of key risks that could threaten the company's existence.
- Whether a **Risk Management Committee** has been constituted.
- Description of the company's **risk management framework**.
- Steps taken to mitigate identified risks.

**(o) Corporate Social Responsibility (CSR) Policy and Initiatives (Section 135)**

Applicable to companies meeting any of the following thresholds in the preceding financial year:

- **Net worth** of ₹500 crore or more,
- **Turnover** of ₹1,000 crore or more,
- **Net profit** of ₹5 crore or more.

**Disclosure requirements:**

- Details of **CSR Policy**.
- Composition of the **CSR Committee**.
- Amount spent on CSR activities (minimum **2%** of average net profits of the last 3 financial years).
- Reasons for not spending, if applicable.
- **Annual CSR Report** must be annexed to the Board's Report (Annexure I or II as per the financial year).
- CSR details must be available on the company's website.

**For Foreign Companies:**

- Balance sheet filed under **Section 381(1)(b)** must include the **CSR Annual Report**.

**Impact Assessment for Large CSR Projects:**

- Companies with average CSR obligations of **₹10 crore or more** must conduct **impact assessments** for projects of ₹1 crore or more.
- Assessment reports must be presented to the Board and annexed to the CSR report.
- Expenses towards impact assessment can be booked as CSR expenditure (limited to **5% of CSR spend** or ₹50 lakh, whichever is lower).

**(p) Board Evaluation**

Every **listed company** and every **public company** having **paid-up share capital of ₹25 crore or more** must disclose in its Board's Report:

- The manner in which the formal annual evaluation of:
  (i) The **Board**,
  (ii) Its **Committees**, and
  (iii) Individual **Directors** were conducted.

***Exceptions:***

- **Government Companies** are exempt if the evaluation is done using the methodology of the concerned **Ministry or Department**.
- **IFSC Public and Private Companies** can disclose evaluation information in financial statements instead of the Board's Report as per specific notifications.

**(q) Other Prescribed Disclosures (Rule 8(5))**

The Board's Report must also include the following additional matters:

(i) Financial summary/highlights with supporting macro-economic, industry, and company-specific analysis.

(ii) Details of any change in the nature of the business.

(iii) Details of Directors or Key Managerial Personnel appointed/resigned during the year:

   (a) Names, mode of appointment/cessation.

   (b) Names of Directors retiring by rotation and their reappointment status.

   (c) Opinion of the Board regarding the integrity, expertise, experience (including proficiency) of appointed Independent Directors.

(iv) Names of companies which became or ceased to be subsidiaries, joint ventures, or associates during the year.
(v) Details of deposits:
(vi) Accepted, unpaid/unclaimed, or defaulted during the year.
(vii) Details of deposits not compliant with Chapter V.
(viii) Significant material orders from regulators/courts/tribunals affecting company operations.
(ix) Adequacy of internal financial controls.
(x) Maintenance of cost records under Section 148.
(xi) Compliance regarding the Internal Complaints Committee (Prevention of Sexual Harassment).
(xii) Details of applications/proceedings under the Insolvency and Bankruptcy Code (IBC), 2016.
(xiii) Difference between valuation for one-time settlement and loan valuation from banks/financial institutions, with reasons.

## 3.4 ABRIDGED BOARD REPORT FOR OPC AND SMALL COMPANY

Under ***Rule 8A of the Companies (Accounts) Rules, 2014***, the Board's Report of a **One Person Company (OPC)** and **Small Company** must be prepared in abridged form, based on standalone financial statements, and include:

1. **Mandatory Disclosures:**
    - Web address, if any, where the annual return under **Section 92(3)** is available.
    - Number of Board meetings held.
    - **Directors' Responsibility Statement** (Section 134(5)).
    - Details of frauds reported under **Section 143(12)**, excluding those reported to the Central Government.
    - Explanations/comments on any auditor qualifications or adverse remarks.
    - State of the company's affairs.
    - Financial summary or highlights.
    - Material changes after year-end affecting business and financial status.
    - Details of Directors appointed/resigned during the year.
    - Significant material orders from regulators/courts/tribunals affecting the going concern status and the company's operations.
2. **Related Party Transactions:**
    - Disclosure of contracts/arrangements under **Section 188(1)** in **Form AOC-2**.

## 3.5 DISCLOSURES PERTAINING TO ISSUE OF EQUITY SHARES WITH DIFFERENTIAL RIGHTS

If a company issues equity shares with differential rights (as per **Section 43** and **Rule 4(4)** of the Companies (Share Capital and Debentures) Rules, 2014), the Board's Report must disclose:

- Total number of shares allotted.
- Differential rights on voting and dividends.
- Percentage of differential shares to total share capital and voting rights.
- Issue price of shares.
- Details of promoters, directors, or KMP receiving such shares.
- Change in control, if any.
- Diluted **Earnings Per Share (EPS)**.
- Pre- and post-issue shareholding pattern and voting rights.

## 3.6 DISCLOSURES PERTAINING TO ISSUE OF SWEAT EQUITY SHARES

If sweat equity shares are issued under **Section 54(1)(d)**, the Board's Report must disclose:

- Class of director/employee issued shares.
- Class of shares issued.
- Number of shares issued and names of major allottees.
- Reasons/justification for the issue.
- Principal terms and conditions.
- Total shares issued.
- Percentage of sweat equity shares in total capital.
- Consideration received.
- Diluted **EPS** after issuance.

## 3.7 DISCLOSURES OF DETAILS OF EMPLOYEES STOCK OPTION SCHEME - SECTION 62(1)(B)

Details required in Board's Report as per **Rule 12(9)** of Companies (Share Capital and Debentures) Rules, 2014:

- Options granted, vested, exercised, and lapsed.
- Total shares from exercise.
- Exercise price.
- Variation of option terms.
- Money realized from options.
- Total outstanding options.
- Employee-wise details:
  - (i) KMP
  - (ii) Employees receiving ≥ 5% of total options in any year.
  - (iii) Employees granted options equal to/exceeding 1% of issued capital.

## 3.8 DISCLOSURES PERTAINING TO RESTRICTIONS ON PURCHASE BY COMPANY OR GIVING OF LOANS BY IT FOR PURCHASE OF ITS SHARES – SECTION 67

If employees do not exercise voting rights directly for shares purchased under company schemes (as per **Section 67(3)** and **Rule 16(4)**), the Board's Report must disclose:

- Names of such employees.
- Reasons for not voting directly.
- Name of the person exercising voting rights.
- Number and percentage of such shares.
- Date of the general meeting where voting occurred.
- Resolutions voted upon.
- Percentage of such votes to total voting power.
- Whether votes were cast in favour or against each resolution.

## 3.9 DISCLOSURES PERTAINING TO CONSOLIDATED FINANCIAL STATEMENTS

Under **Rule 8(1)** of the Companies (Accounts) Rules, 2014:

- The Board's Report must be prepared based on standalone financial statements.
- It should report highlights of performance and contribution from subsidiaries, associate companies, and joint ventures during the period under review.

As per **Section 129(3)** and **Rule 5**, the company must attach a separate statement containing salient features of the financial statements of its subsidiaries, associates, and joint ventures in **Form AOC-1**.

## 3.10 VOLUNTARY REVISION OF FINANCIAL STATEMENTS OR BOARD'S REPORT – SECTION 131(1)

***Section 131(1) of the Act*** provides that revised financial statements or a revised report may be prepared in respect of any of the three preceding financial years after obtaining approval from the Tribunal, where it appears to the directors of a company that the financial statements or the report of the Board, do not comply with the provisions of ***section 129 or section 134 of the Act***, and the detailed reasons for revision of such financial statements or report should be disclosed in the Board's Report in the relevant financial year in which such revision is being made.

## 3.11 APPOINTMENT / RE-APPOINTMENT OF AN INDEPENDENT DIRECTOR - SECTION 149(10)

Subject to the provisions of Section 152 of the Act, an independent director shall hold office for a term up to five consecutive years on the Board of a company, but shall be eligible for reappointment on passing of a special resolution by the company and disclosure of such appointment in the Board's Report.

***As per SS-4, the disclosure shall include the following:***

(a) in case of appointment of Independent Directors, the justification for choosing the proposed appointees for appointment as Independent Directors; and

(b) in case of re-appointment after completion of the first term, the rationale for such re-appointment.

## 3.12 RESIGNATION OF DIRECTOR - SECTION 168(1)

A director may resign from his office by giving notice in writing to the company and the Board. ***Section 168(1) of the Act*** requires the Board to place the fact of resignation of a director in the report of directors laid at the immediately following general meeting by the Company.

## 3.13 COMPOSITION OF AUDIT COMMITTEE - SECTION 177(8)

The Board's Report shall disclose the following:

(a) Composition of an Audit Committee;

(b) Where the Board had not accepted any recommendation of the Audit Committee, the same shall be disclosed in the report along with the reasons thereof.

## 3.14 DETAILS OF VIGIL MECHANISM - SECTION 177(10)

- Applicable to listed companies and companies with:
  - (i) Public deposits, or
  - (ii) Loans from banks/public financial institutions exceeding ₹ 50 crore.
- Disclosure of vigil mechanism establishment details on the company website and in the Board's Report.

## 3.15 DISCLOSURES PERTAINING TO REMUNERATION OF DIRECTORS AND EMPLOYEES – SECTION 197(12)

As per **Section 197(12)** read with **Rule 5** of the Companies (Appointment & Remuneration of Managerial Personnel) Rules, 2014, the Board's Report of every **listed company** shall include:

1. **Remuneration Disclosures:**
   - Ratio of remuneration of each director to the median remuneration of employees.
   - Percentage increase in remuneration of each director, CEO, CFO, Company Secretary, or Manager.
   - Percentage increase in median remuneration of employees.
   - Number of permanent employees on the company rolls.
   - Average percentile increase in salaries of employees (other than managerial personnel) compared to managerial remuneration and justification for any exceptional increases.
   - Affirmation that remuneration is as per the company's remuneration policy.

   ***Explanation:*** "Median" refers to the middle value separating the higher and lower halves of data.

2. **Top Paid Employees:**

   Statement showing names of top 10 employees in terms of remuneration drawn, and details of employees who:

   - Received annual remuneration ≥ ₹1.02 crore.
   - Received monthly remuneration ≥ ₹8.5 lakh for any part of the year.
   - Received remuneration exceeding that of MD/WTD/Manager while holding ≥ 2% equity shares individually or jointly with relatives.

3. **Additional Details:**

   For each employee covered above, report:

   - Designation
   - Remuneration received.
   - Nature of employment.
   - Qualifications and experience.
   - Date of employment commencement.
   - Age
   - Last employment held.
   - Equity shareholding.
   - Whether relative of any director/manager.

   *Disclosure Exception:* For employees working outside India drawing remuneration above specified limits, disclosure to shareholders is exempt, but details must be filed with the ROC and furnished to shareholders upon written request.

4. **Section 197(14):**

   Disclose if any director receiving commission from the company is also receiving commission/remuneration from holding/subsidiary companies.

## 3.16 COMPLIANCE TO SECRETARIAL AUDITOR REPORT

**Auditors**

- Names of Statutory Auditor, Cost Auditor, and Secretarial Auditor.
- Disclosure of any changes in such Auditors during the year and up to report date (due to resignation, removal, casual vacancy, or term completion).

**Secretarial Auditor Report**

As per **Section 204(1)** of Companies Act, 2013:

(i) Applicable to every listed company.

(ii) Also applicable to public companies with paid-up share capital ≥ ₹50 crore, turnover ≥ ₹250 crore, or outstanding loans/borrowings ≥ ₹100 crore.

(iii) Secretarial Audit Report in Form MR-3 must be annexed to Board's Report.

**As per Regulation 24A of SEBI (LODR) Regulations, 2015:**

(i) Listed entities and material unlisted subsidiaries incorporated in India must undertake a secretarial audit.

(ii) The Secretarial Audit Report must be attached to the Annual Report.

(iii) The Secretarial Compliance Report must be submitted to the stock exchanges within 60 days from the end of each financial year.

## 3.17 COMPLIANCE WITH SECRETARIAL STANDARD

As per **SS-4**, the Board's Report shall include a statement on compliance with applicable **Secretarial Standards** and any other Secretarial Standards voluntarily adopted by the company.

### 3.18 DISCLOSURES UNDER SEBI (SHARE BASED EMPLOYEE BENEFITS) REGULATIONS, 2014

Under **Regulation 14**, the Board must disclose:

- Any **material changes** in share-based employee benefit schemes.
- Whether schemes are in compliance with **SEBI (Share Based Employee Benefits) Regulations, 2014**.
- **Web-link** to disclosures made on the company's website.

### 3.19 DISCLOSURES UNDER THE SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION & REDRESSAL) ACT, 2013

Details from the Internal Complaints Committee to be disclosed:

- Number of sexual harassment complaints received.
- Number of complaints disposed of during the year.
- Number of cases pending for more than 90 days.
- Number of workshops or awareness programs conducted.
- Nature of action taken by the employer or the District Officer.

### 3.20 INVESTOR EDUCATION AND PROTECTION FUND (IEPF)

The Board should disclose:

- Amounts transferred to the **IEPF** during the year:
  - (i) Unclaimed/unpaid dividends and corresponding shares.
  - (ii) Redemption amount of preference shares.
  - (iii) Matured deposits/debentures and accrued interest.
  - (iv) Application money received for securities and due for refund.
  - (v) Sale proceeds of fractional shares.
- Resultant benefits from shares already transferred to IEPF.
- Year-wise amounts pending transfer, and due dates for such transfer.
- Any donation made to the IEPF.
- Other amounts transferred during the year.
- Amounts due but not transferred, with reasons.

### 3.21 CREDIT RATING OF SECURITIES

As per **SS-4**, the Board's Report should include:

- Credit ratings obtained for various securities.
- Name of the credit rating agency.
- Date of obtaining rating.
- Details of any revision.
- Reasons for any downward revision.

Listed companies must also disclose all credit ratings in the Corporate Governance Report, including revisions, covering all debt instruments and fund-raising proposals. If any rating was not used, reasons must be disclosed.

Disclosure of material events like credit ratings, including revisions, is considered good corporate governance.

## 4. APPROVAL OF THE BOARD'S REPORT

The Board's Report should be considered, ***approved, and signed at a meeting of the Board duly*** convened or held through video conferencing or other audio-visual means.

**Note:**

The MCA vide Notification dated June 15, 2021 has omitted Rule 4 of the Companies (Meetings of Board and its Powers) Rules, 2014 which was related to the matters not to be dealt with in a meeting through video conferencing or other audio-visual means.

Accordingly, with the said amendment, now the approval of the Board's report can be considered in a Board Meeting held through video conferencing or other audio-visual means.

### 4.1 SIGNING OF BOARD'S REPORT - SECTION 134(6)

The Board's Report and any annexures thereto ***under section 134(3)*** shall be signed by the chairperson of the company if he is authorised by the Board and where he is not so authorised, shall be ***signed by at least two directors***, one of whom shall be a managing director, or by the director where there is one director.

| | |
|---|---|
| **Where Chairperson is authorised by the Board** | Chairperson of the Company |
| **Where Chairperson is not authorised by the Board** | At least by two directors, one of whom shall be Managing Director, or by the director where there is one director |

***As per SS-4, the annexures to the Board's Report*** shall be signed in the similar manner as the Board's Report, except the Report on CSR activities of the company, which is required to be signed by the Chief Executive Officer or the Managing Director or any other Director of the company and by the Chairman of the CSR Committee of the company.

### 4.2 CIRCULATION OF THE BOARD'S REPORT

The copy of the Board's Report shall be issued, circulated, or published along with a ***signed copy of every financial statement, including a consolidated financial statement if any***, all the notes annexed to or forming part of such financial statement, and the Auditors' Report. [Section 134(7)].

## 5. RIGHT OF MEMBERS TO RECEIVE COPIES OF FINANCIAL STATEMENTS, BOARD'S REPORT, ETC.

As per **Section 136** of the Act, copies of:

- **Financial statements**, including **consolidated statements**, if any,
- **Auditor's Report**, and
- All other documents required by law to be annexed or attached to financial statements,

which are to be laid before the company in its **general meeting**, must be sent to:

- **Every member** of the company,
- **Every trustee for debenture holders**, and
- **Other entitled persons**,

at least ***21 clear days*** before the date of the meeting.

If sent less than 21 days before the AGM, the documents will still be considered duly sent if:

- Members holding **95% of the paid-up share capital entitled to vote** (if the company has share capital), or
- Members holding **95% of the total voting power** (if there is no share capital) agree.

**Exceptions:**

- For **Section 8 Companies**, documents should be sent at least **14 clear days** before the **Annual General Meeting** (AGM).

- For a **listed company**, the following must be ensured:
  1. Documents are available for inspection at the registered office during working hours for 21 days before the meeting.
  2. A statement of salient features or copies of documents must be sent to members and trustees 21 days before the meeting unless members demand full financial statements.
  3. The financial statements (including **consolidated statements** and all required documents) must be placed on the company's official website for public access.

## 5.1 FILING OF THE BOARD'S REPORT

As per **Section 137(1)** of the Companies Act, **copies of the financial statement**, along with all required **annexures**, must be **filed with the Registrar of Companies (ROC)** within **30 days** after the financial statements (including consolidated financial statements) are **adopted at the Annual General Meeting (AGM)**.

The **Board's Report must be attached** to the financial statements.

In case a **company does not hold its AGM** in any financial year, it must file a **statement of facts and reasons**, along with the **financial statement** and its attachments, with the **Registrar**.

In accordance with **Sections 117 and 179**, the **resolution approving the Board's Report** must also be **filed with the Registrar within 30 days** of the Board's approval in **Form MGT-14**. However, **Private Limited Companies** are **exempt** from filing this approval resolution, as per the **Central Government.**

The **Third Proviso of Section 137(1)** mandates that a **One Person Company (OPC)** should file its **financial statements** (duly adopted by its member) within **180 days from the closure of the financial year**, along with all required annexures.

The **Fourth Proviso of Section 137(1)** states that a company must also attach the **accounts of its foreign subsidiaries**, which are incorporated outside India and have no established place of business in India, along with its financial statements filed with the Registrar.

If the **foreign subsidiary** is not legally required to get its financial statements audited, and does not conduct such an audit, the **holding Indian company** can file the **unaudited financial statements**, along with:

- A **declaration** stating the reason.
- A **translated copy** in **English**, if the statements are in another language.

## 5.2 PROCEDURE FOR PREPARATION OF BOARD'S REPORT

1. As per **Section 136(1)**, every **public or private company** must forward to its members the **Board's Report** along with its **annual financial statements**.

   This report provides a **comprehensive review of the company's performance** during the financial year.
2. The **Board's Report** should be based on the **standalone financial statements** and must include a **separate section** presenting the **performance and financial position of subsidiaries, associates, and joint venture companies** included in the consolidated financial statements.
3. The **Board's Report and financial statements** must be **approved** in a **Board Meeting**, conducted either physically or through **video conferencing/audio-visual means**.
4. **Section 134(3)** read with **Rule 8(3) of Companies (Accounts) Rules, 2014** specifies the **items to be included** in the Board's Report (already detailed in the chapter).
5. As per **Rule 8A**, the **Board's Report of a One Person Company and Small Company** must be based on **standalone financial statements** and presented in an **abridged form**.
6. When proposing **dividends on equity or preference shares**, the Board's Report must contain:
   - The **Board's recommendation** on the **rate of dividend**.
   - Compliance with **relevant rules**.

7. The Board should update the **financial impact of significant events** occurring between the **end of the financial year** and the **finalisation of the report**, such as:
   - Disposal of major undertakings.
   - Changes in capital structure.
   - Serious breakdowns and mitigation steps.
   - Wage structure alterations post-trade union negotiations.
   - Material changes affecting raw materials procurement or product sales.

   However, **sensitive business information** that may aid competitors should not be disclosed.
8. The company must disclose the **composition of key committees** such as:
   - **Corporate Social Responsibility Committee**
   - **Audit Committee**
   - **Nomination and Remuneration Committee**
   - **Stakeholders Relationship Committee**

   **Section 177(8)** requires disclosure of the **Audit Committee composition**, and if any of its recommendations were not accepted by the Board, the **reasons must be stated**.
9. As per **Section 186**, details of **Loans, Guarantees, and Investments** must be disclosed.
10. Particulars of **contracts or arrangements with related parties** (under **Section 188(1)**) must be disclosed in **Form AOC-2** as per **Rule 8**.
11. The **Board's Report** must include a **statement on the Risk Management Policy**, covering:
    - Introduction
    - Definition of Risk Management
    - Types of Risks
    - Risk Management Process
    - Risk Assessment
    - Risk Identification Activities
    - Risk Handling
    - Monitoring and Reporting
    - Conclusion
12. **Section 177(10)** mandates disclosure of the **vigil mechanism's establishment** on the company's website (if any) and in the **Board's Report**.
13. **Section 197(12)** read with **Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014** requires certain disclosures about **managerial remuneration**.
14. **Section 204(1)** read with **Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014** requires attaching the **Secretarial Audit Report** (**Form MR-3**) to the Board's Report for specified companies. This report must be provided by a **Company Secretary in practice**.
15. According to **Section 134(3)(f)**, the Board's Report must contain **explanations** on any **qualifications, reservations, or adverse remarks** made by the **Statutory Auditors** and in the **Secretarial Audit Report**.
16. Finally, **Rule 8(3)** mandates inclusion of particulars relating to **conservation of energy, technology absorption**, etc., as detailed previously in this chapter.

## 6. ANNUAL RETURN

The **Annual Return** is a **critical document** for the stakeholders of a company, offering a **comprehensive summary of both financial and non-financial aspects** of the company. Unlike the **Financial Statements**, which focus on financial performance, the **Annual Return** provides detailed insights into the **management structure, shareholding patterns, meetings, penalties, and governance practices**. It is among the **most important filings** that every company must submit to the **Registrar of Companies (ROC)** every year, irrespective of any corporate activity.

### 6.1 OBJECTIVE OF FILING ANNUAL RETURN

The primary objective of filing the **Annual Return** is to furnish **annual details** of the company concerning:

- **Promoters**
- **Members**
- **Meetings held**
- **Remuneration of Directors and Key Managerial Personnel (KMPs)**

This document helps the **Registrar of Companies, shareholders, and other stakeholders** to monitor that the company is being managed **transparently and efficiently**, protecting the interests of **members and creditors**. Filing the **Annual Return** annually is the **legal responsibility of the management** of the company.

### 6.2 APPLICABILITY

As per **Section 92** of the **Companies Act, 2013**:

- **Every company** must prepare its **Annual Return** in **Form No. MGT-7**, except:
  - (i) **One Person Company (OPC)**
  - (ii) **Small Company**
- From **Financial Year 2020-2021 onwards**, **OPCs and Small Companies** must file their annual returns in **Form No. MGT-7A**, which includes details as of the **end of the financial year**.
- The **Annual Return** must be filed with the **Registrar** within **60 days** from:
  - (i) The date of the **Annual General Meeting (AGM)**, or
  - (ii) The last date on which the **AGM should have been held**.

### 6.3 APPLICABILITY TO FOREIGN COMPANIES

Under **Section 384(2)**, the provisions of **Section 92** apply to **foreign companies**, with specific exceptions and modifications.

As per **Rule 7** of the **Companies (Registration of Foreign Companies) Rules, 2014**:

- Every **foreign company** must prepare and file its **Annual Return in Form FC-4** with the **Registrar**, within **60 days** from the **end of its financial year**, along with the prescribed fee.

### 6.4 CONTENTS OF ANNUAL RETURN

*According to **Section 92(1)**, the **Annual Return** must include:*

- Details of its **registered office**, **principal business activities**, and **holding, subsidiary, and associate companies**.
- Information about its **shares**, **debentures**, **other securities**, and **shareholding pattern**.
- Its **indebtedness**.
- Details of **members and debenture-holders**, including changes since the previous financial year.

- Data on **promoters, directors, and key managerial personnel (KMPs)**, including changes.
- Details of **meetings of members**, **Board meetings**, and **committee meetings**, with **attendance records**.
- **Remuneration** paid to **directors** and **KMPs**.
- Information about any **penalty or punishment** imposed on the company, its directors, or officers, and details of **compounding of offences** and related appeals.
- Certification details, as required.
- Shareholding particulars of **Foreign Institutional Investors (FIIs)**, including:
  - (i) **Names**
  - (ii) **Addresses**
  - (iii) **Countries of incorporation**
  - (iv) **Registration details**
  - (v) **Percentage of shareholding**
- Any other details prescribed under the law.

**Additional Content:**

As per **Secretarial Standard (SS-2)**, the **Annual Return** must also disclose the **date of the Annual General Meeting (AGM)** held during the financial year.

## 6.5 ATTACHMENTS TO E-FORM MGT-7/MGT-7 A

- **List of Shareholders/Debenture holders**
- **Approval letter for AGM extension**, if applicable
- **Copy of MGT-8** (if applicable)
- **List of Directors**
- **Optional Attachments**, if required

## 6.6 SIGNING OF ANNUAL RETURN

In compliance with **Section 92(1)**:

- The **Annual Return** must be **signed** by both:
  - A **Director**, and
  - The **Company Secretary**.
- If there is **no Company Secretary**, it should be signed by a **Company Secretary in Practice**.

For **One Person Company** and **Small Company**, the **Annual Return** should be **signed** by:

- The Company Secretary, or
- If unavailable, by the Director of the company.

The **Central Government** has the power to prescribe an **abridged form of Annual Return** for **OPCs**, **Small Companies**, and other prescribed classes.

*As per **Rule 11(1)**, a **separate Annual Return format** has been prescribed for these companies.*

In case of Small Company, OPC & Private Company (if such company is a Startup)–CS or if there is no CS then by the Director of the Company ← **Signing of Annual Return** → In case of other Companies – Director and CS or if there is no CS, by Company Secretary in Practice

## 6.7 CERTIFICATION OF ANNUAL RETURN

Under **Section 92(2)** of the Companies Act, read with **Rule 11(2)** of the **Companies (Management and Administration) Rules, 2014**, the **Annual Return** of a:

- **Listed Company**, or
- A company having:
  - (i) **Paid-up Share Capital** of **₹10 Crores or more**, or
  - (ii) **Turnover of ₹50 Crores or more,**

must be **certified by a Company Secretary in Practice (PCS)** in **Form No. MGT-8**.

The certificate must confirm that the **Annual Return correctly and adequately discloses all material facts** and that the company has **complied with all provisions** of the Companies Act.

For certification, the **PCS** must carry out a **detailed scrutiny** of the company's records, verify data accuracy, and examine the **impact and consequences** of key events. **Primary source documents** must be referred to, including:

- **Certified copies** of resolutions, forms, and agreements.
- **Certificates from the management.**

**Indicative List of Required Documents / Records for Annual Return Preparation and Certification**

- **Memorandum and Articles of Association**
- **Shareholding pattern** with detailed breakup
- **List of Promoters**
- **Statutory Registers**:
  - (i) Register of Members – **Form MGT-1**
  - (ii) Register of Debenture-holders/other security holders – **Form MGT-2**
  - (iii) Foreign Registers (if any)
  - (iv) Register of Directors and KMPs and their shareholding
  - (v) Register of Loans/Guarantees/Securities – **Form MBP-2**
  - (vi) Register of Investments not held in own name – **Form MBP-3**
  - (vii) Register of Contracts/Arrangements – **Form MBP-4**
  - (viii) Register of Deposits
  - (ix) Register of Charges – **Form CHG-7**
  - (x) Register of ESOP – **Form SH-6**
  - (xi) Register of Buyback – **Form SH-10**
  - (xii) Register of Sweat Equity Shares – **Form SH-3**
  - (xiii) Other relevant statutory registers
- **Minutes of Meetings**:
  - (i) Board Meetings
  - (ii) General Meetings
  - (iii) Committee Meetings
  - (iv) Class Meetings
  - (v) Creditors/Debenture holders Meetings
  - (vi) Court-convened Meetings

- **Attendance Registers** of all meetings
- **Forms and receipts** filed with the ROC
- **Notices and agenda papers** of various meetings
- Latest **Financial Statements** with **Board's Report** and **Auditor's Report**
- **Shareholders' List** and **details of share transfers**
- Beneficial positions downloaded from **Depository Participants**
- **RTA certificate** confirming the number of shareholders
- Documentation regarding:
  (a) Change of company name
  (b) Change in face value of shares
  (c) New **ISIN** due to corporate actions
- **Board Resolutions** supporting corporate actions
- **Corporate Action Forms** filed with Depositories
- Orders from **Tribunal/Courts/Regulatory Authorities**
- **Stock Exchange Approvals** and **Depository Confirmations** (NSDL/CDSL)
- Communications sent to **Stock Exchanges/Depositories**
- Other prescribed documents as required

**Inclusion in Board's Report and Website**

As per **Section 92(3)**:

- A copy of the **Annual Return** must be **placed on the company's website** (if any).
- The **web-link** of such annual return must be **disclosed in the Board's Report**.

## 6.8 FILING OF ANNUAL RETURN WITH REGISTRAR

Every company must **file its Annual Return**:

- Within **60 days** from the **AGM date**, or
- Where no AGM is held, within **60 days** from the last date on which the **AGM should have been held**.

Filing must be done using:

- **Form MGT-7** (for most companies)
- **Form MGT-7A** (for **One Person Company** and **Small Company**, from **FY 2020-21** onwards)

**E-Form FC-4** (for **foreign companies**)

## 6.9 PRESERVATION OF ANNUAL RETURN

According to **Rule 15** of the **Companies (Management and Administration) Rules, 2014**:

- A company must **maintain copies of its Annual Return**, filed under **Section 92 of the Companies Act, 2013**, at its **registered office**.
- Alternatively, these copies may also be kept at **any other place in India** where **more than one-tenth of the total number of members reside**, provided such relocation is approved by a **special resolution** at a general meeting.
- Copies of **Annual Returns** and all **certificates and annexed documents** must be preserved for a minimum period of **eight years** from the date of filing with the **Registrar of Companies (ROC)**.

## 6.10 INSPECTION OF ANNUAL RETURN- SECTION 94

In accordance with **Section 94** read with **Rule 14**:

- Copies of **Annual Returns** prepared under **Section 92** must be kept **open for inspection**:
  - (i) During **business hours**, for **not less than two hours** on every working day, as decided by the Board.
  - (ii) **Members, debenture holders, security holders, or beneficial owners** can inspect the returns **without any fee**.
  - (iii) **Other persons** may inspect upon payment of a fee (not exceeding ₹50 per inspection), as specified in the company's Articles of Association.
- Copies of the return may be **requested by any eligible person** upon payment of a fee (not exceeding ₹10 per page), and must be supplied within **seven days** of fee payment.
- The **Central Government** has the power to order **immediate inspection** or direct that **extracts be allowed immediately**.

## 6.11 RETURN TO BE EVIDENCE - SECTION 95

As per **Section 95**, copies of **Annual Returns** mainta]ined under **Section 94** shall serve as **prima facie evidence** of the matters recorded, meaning they are considered valid evidence unless disproven.

## 6.12 CONTRAVENTION AND CONSEQUENCES

Failure to file the **Annual Return** within the prescribed period under **Section 92(4)** attracts penalties:

- **Company**: ₹10,000 + ₹100 per day for continuing default, up to a maximum of **₹2,00,000**.
- **Officer in default**: ₹10,000 + ₹100 per day for continuing default, up to a maximum of **₹50,000**.

Under **Section 92(6)**, if a **Company Secretary in Practice (PCS)** certifies an Annual Return incorrectly or without following proper procedures, they shall be liable to a penalty of **₹2,00,000**.

# 7. ACTIVE COMPANY TAGGING IDENTITIES AND VERIFICATION (ACTIVE)

***As per Rule 25A of the Companies (Incorporation) Rules, 2014:***

- Every company **incorporated on or before 31st December 2017** must file **e-Form ACTIVE (INC-22A)** on or before **15th June 2019**.
- Companies that have not filed **financial statements under Section 137** or **Annual Returns under Section 92** are **restricted from filing e-Form ACTIVE**, unless they are under **management dispute**, as recorded by the Registrar.
- Companies that are **struck off**, under the **strike-off process**, **liquidation**, **amalgamation**, or **dissolved** are **exempt** from filing.
- Non-compliant companies will be marked as **"ACTIVE-non-compliant"** after **16th June 2019**, and cannot file forms related to:
  - (i) **SH-07** (Change in Authorised Capital)
  - (ii) **PAS-03** (Change in Paid-up Capital)
  - (iii) **DIR-12** (Change in Directors), except under specific exceptions
  - (iv) **INC-22** (Change in Registered Office)
  - (v) **INC-28** (Amalgamation/Demerger)
- Once **e-Form ACTIVE** is filed (with a fee of ₹10,000), the company will be marked as **"ACTIVE Compliant"**.

## PAST YEAR QUESTIONS

1. Agro Food Ltd. is a listed company under the Companies Act, 2013. Sumit is a shareholder of the company who holds 101 shares of ₹ 100 each. The email ID of Sumit is not registered with the company, but registered with the depository of the company. The company held its annual general meeting on 15th September 2023, as per the provisions of the Companies Act, 2013. The company sent a soft copy of the annual report on 20th September, 2023, through email to all its shareholders whose email IDs are registered with the company, excluding Sumit on the contention that the email ID of Sumit is not registered with the company.

   Examine the contention of the company with respect to the manner of sending annual reports to the shareholders, referring to the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. **Dec. 2023 (3 Marks)**

2. Signing of the Board's Report can be done by any one of the directors and be filed within 60 days of AGM. **Dec. 2021 (5 Marks)**

3. Draft a specimen Board resolution for approval of the Board's Report. **June 2024 (2 Marks)**

4. Natasha Dalvi was appointed as a Director of a Company imparting mining education. She checked the MCA website to know the status of the Company and found that the Company name is marked as 'ACTIVE Non-compliant'.

   Explain to her the reasoning for such a status and also brief her on what types of Forms cannot be filed when the Company is in Non-compliant status. 'ACTIVE Non-compliant' status. **June 2021 (4 Marks)**

5. Which parameters shall be included in the Dividend Distribution Policy by the top 500 listed entities as per the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015?

   **June 2022 (5 Marks)**

CHAPTER 18

# KEY MANAGERIAL PERSONNEL (KMP) AND THEIR REMUNERATION

**Regulatory Framework**

- The Companies Act, 2013 (Section 196 - 205)
- The Companies (Appointment & Qualification of Managerial Personnel) Rules, 2014
- Schedule V of the Companies Act, 2013
- SEBI (LODR) Regulations, 2015

## 1. INTRODUCTION

- **Key Managerial Personnel (KMP)** or **Key Management Personnel** are **whole-time employees** of a company who are assigned **significant roles and responsibilities**.
- They act as the **primary link** between the company and its **stakeholders** and are responsible for the **formulation and execution of strategies**.
- KMPs are entrusted with the **management and operational responsibilities** of the company and play a crucial role in its **decision-making and smooth functioning**.
- As per **Accounting Standard 18 (AS-18)**, **Key Managerial Personnel (KMP)** are individuals having **authority and responsibility** for **planning, directing**, and **controlling** the activities of the reporting enterprise. This definition is primarily relevant for related party disclosures in financial reporting.
- The **Chief Executive Officer**, **Chief Financial Officer**, **Company Secretary**, and **Whole-time Director** are recognized as Key Managerial Personnel.
- **Chapter XIII** of the **Companies Act, 2013**, along with the **Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014**, provides the **legal and procedural framework** regarding the **appointment of key managerial personnel**, including **Managing Director**, **Whole-time Director**, or **Manager**, and their **remuneration**.
- **Section 196** and **Section 197** read with **Schedule V** of the Companies Act, 2013 lay down the **conditions for appointment and remuneration** of a **Managing Director**, **Whole-time Director**, or **Manager**.

**Section 2(51) "Key Managerial Personnel", in Relation to a Company, Means;**

(i) The chief executive officer or the managing director or the manager;

(ii) The company secretary;

(iii) The whole-time director;

(iv) The chief financial officer;

(v) Such other officer, not more than one level below the directors who is in whole-time employment, designated as key managerial personnel by the Board; and

(vi) Such other officer as may be prescribed.

## 2. VARIOUS KMP'S POSITIONS & DEFINITION THEREOF UNDER THE COMPANIES ACT, 2013

| S. No. | Particulars | Section | Definition |
|---|---|---|---|
| 1. | **Chief Executive Officer (CEO)** | Section 2(18) | "Chief Executive Officer" means an **officer of a company**, who has been **designated as such** by it. |
| 2. | **Chief Financial Officer (CFO)** | Section 2(19) | "Chief Financial Officer" means a person **appointed as the Chief Financial Officer** of a company. |
| 3. | **Company Secretary (CS)** | Section 2(24) | "Company Secretary" or "Secretary" means a **company secretary** as defined in clause (c) of sub-section (1) of section 2 of the **Company Secretaries Act, 1980**, who is appointed by a company to perform the **functions of a company secretary under this Act**. |
| 4. | **Manager** | Section 2(53) | "Manager" means an individual who, subject to the **superintendence, control and direction** of the **Board of Directors**, has the **management of the whole, or substantially the whole**, of the affairs of a company, and includes a director or any other person occupying the position of a manager, by whatever name called, whether under a contract of service or not. |
| 5. | **Managing Director (MD)** | Section 2(54) | "Managing Director" means a **director** who, by virtue of the **articles of a company** or an **agreement** with the company or a **resolution** passed in its **general meeting**, or by its **Board of Directors**, is entrusted with **substantial powers of management** of the affairs of the company and includes a director occupying the position of managing director, by whatever name called. |
| 6. | **Whole Time Director (WTD)** | Section 2(94) | "Whole-time director" includes a **director in the whole-time employment** of the company. |

## 3. APPOINTMENT OF KEY MANAGERIAL PERSONNEL

**Companies Required to Appoint KMP Section 203, Rule 8, 8A Chapter XIII**

(i) Every Listed Company

(ii) A public company having a paid-up share capital of Rs.10 crore or more

(iii) A private company having a paid-up share capital of Rs.10 crore or more

As per **Section 203(1)** of the **Companies Act, 2013** read with **Rule 8** of the **Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014**, the following class of companies is required to appoint **KMP**:

Every listed company, and

↓

Every other public company having paid up share capital of Rs.10 Crores or more

***Such Companies shall have the following Whole Time Key Managerial Personnel-***

- Managing Director, or Chief Executive Officer or manager and in their absence, a whole-time director;
- Company secretary; and
- Chief Financial Officer.

***Rule 8A*** of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, every private company which has a paid-up share capital of ***ten crore rupees or more*** shall have a ***whole-time Company Secretary.***

**Illustrations:**

1. ABC limited, is a listed company having paid up share capital of twelve cores rupees and more. It is mandatory for the ABC company to have following whole time KMP:
   (i) MD or CEO or Manager and in their absence, a WTD;
   (ii) Company Secretary; and
   (iii) CFO.
2. ABC Limited is a public company having paid up share capital of five crore rupees. It is not compulsory for the company to have following whole time KMP:
   (i) MD or CEO or Manager and in their absence, a WTD;
   (ii) Company Secretary; and
   (iii) CFO

## 4. NO PERSON SHALL ACT AS CHAIRMAN AND MANAGING DIRECTOR/CEO AT THE SAME TIME

**No individual shall act as both Chairperson and Managing Director/CEO** of a company **at the same time** after the commencement of the Companies Act, 2013, as per the **first proviso to Section 203(1)**, **unless**:

- The **articles** of the company **specifically allow** it; or
- The company is engaged in **a single business only**; or
- The company operates **multiple businesses** and has appointed **separate Chief Executive Officers** for each such business, as may be notified by the **Central Government**.

  *(As per Second Proviso to Section 203(1)).*

### 4.1 EXCEPTION UNDER SECOND PROVISO TO SECTION 203(1)

**Exception under *Second Proviso to Section 203(1)*:**

As per **MCA Notification 25th July, 2014**, the following **class of companies** is notified for the purpose of this proviso:

**(i)** **Public companies** having **paid-up share capital of *₹100 crore or more***, and

**(ii)** **Annual turnover of *₹1000 crore or more***, **provided they are engaged in multiple businesses** and have appointed a **CEO for each business**.

***Paid-up share capital and annual turnover shall be based on the latest audited balance sheet.***

## 4.2 MANNER OF APPOINTMENT OF KMP

1. **Board Resolution for Appointment**
   As per **Section 203(2)**, every **whole-time KMP** must be **appointed by a Board resolution** specifying the **terms and conditions**, including **remuneration**.
2. **Restriction on Holding Office**
   Under **Section 203(3)**, a **whole-time KMP** shall **not hold office in more than one company**, except in its **subsidiary company**, at the same time.
3. **Exception for Director**
   However, a **KMP may be appointed as a director in any other company** with the **permission of the Board**.
4. **Specific Exception for Managing Director**
   A person may be appointed or employed as **Managing Director** of **not more than one other company**, provided such appointment is:
   (a) Made or approved by a **Board resolution**, passed with the **consent of all directors** present,
   (b) **Specific notice** of such meeting and resolution is given to **all directors in India**.

## 4.3 PROVISIONS AS SPECIFIED UNDER THE SEBI (LODR) REGULATIONS, 2015

As per **Regulation 30 read with Schedule III Part A of SEBI (LODR) Regulations, 2015**, a **listed entity** must disclose to the **stock exchange**:

- Any **change in KMPs**, directors, senior management, auditors, or compliance officers.
- **Frauds or defaults** by the listed entity, or its **promoters, directors, KMPs**, or **senior management**, whether in **India or abroad**.

## 4.4 VACANCY OF KMP

Under **Section 203(4)** of the Companies Act, 2013, if the office of any **whole-time KMP** becomes **vacant**, it **must be filled** by the **Board** within **6 months** of the vacancy.

In case a ***Managing Director who is also acting as Key Managerial Personnel under Section 203*** of the Act vacates his position for any reason, such vacancy pursuant to the provisions of ***section 203 (4) of the Act.***

## 4.5 NON APPLICABILITY OF SECTION 203

As per **Section 203(4A)**, the provisions of **sub-sections (1) to (4)** of Section 203 **do not apply** to

- **Managing Director**, or
- **Chief Executive Officer**, or
- **Manager**, and in their absence, a **Whole-time Director** of a **Government company**.

## 4.6 PENALTY FOR CONTRAVENTION

If any company makes ***any default in complying with the provisions of this section***, such company shall be liable to a **penalty of ₹5,00,000**.

Every **director and KMP in default** shall be liable to a ***penalty of ₹50,000***, and for a **continuing default**, a ***further penalty of ₹1,000 per day***, subject to a ***maximum of ₹5,00,000***.

## 4.7 INTIMATIONS REGARDING APPOINTMENT OF KMP

File **e-Form MGT-14** with the **Registrar** (except for **private companies**, as per the exemption notification dated **June 5, 2015**).

- File **e-Form DIR-12** with the Registrar within **30 days** of the appointment of KMP.
- In case of a listed **entity**, inform the **Stock Exchange** of the appointment **as soon as possible** but not later than **24 hours** from the occurrence of the event (**Regulation 30, SEBI LODR**).

### 4.8 ROLE OF KMP

The KMPs are responsible for **strategic decisions** and **ensuring legal compliance**.

They are also liable if the company **fails to comply** with statutory obligations.

#### Key Duties Include

- **Signing financial statements** by the CEO (if a director), the CFO, and the CS.
- **Prohibited** from **insider trading** or **forward dealing** in securities.
- Regarded as **officers**, **officers in default**, and **related parties** along with their **relatives**.
- **Authorized** to sign company **documents, contracts, and proceedings**.
- **Disclosed in annual return** and listed in the register **of KMPs and shareholding** in holding/subsidiary/associate companies.
- **Disclose interest/concern** and any **changes** to the company within **30 days** of appointment/relinquishment.
- Have the **right to be heard** in **Audit Committee** meetings when the auditor's report is considered (no voting rights).
- **Nomination and Remuneration Committee** to **recommend the KMP remuneration policy**.
- May face **disgorgement of assets** or **personal liability** if they gain **undue benefits** during inspections.
- Any **special business** in the general meeting notice involving a **KMP holding more than 2% shares** in another company must be **disclosed**.
  (a) If not disclosed, the **KMP must compensate** the company for any benefit received.
  (b) **Penalty** for non-disclosure: **₹50,000 or 5 times the benefit**, whichever is **higher**.

## 5. APPOINTMENT OF MANAGING DIRECTOR, WHOLE-TIME DIRECTOR OR MANAGER

**Rules and Section under Company Law Applicable to Appointment of Managing**

(i) Sections 196 and 197

(ii) The Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014

The Companies (Appointment and Qualifications of Directors) Rules, 2014

The Companies (Meetings of Board and its Powers) Rules, 2014

(iii) Schedule-V (Not applicable to Private Company)

***Section 196 of the Companies Act***, 2013 provides the provision for appointment of Managing Director, Whole Time Director, and Manager

### 5.1 APPOINTING OF MD & MANAGER AT THE SAME TIME IS NOT POSSIBLE - SECTION 196(1)

As per ***Section 196(1), a company cannot appoint both a Managing Director and a Manager simultaneously***.

- The **Manager** (defined in **Section 2(53)**) derives powers from the **Board**, while the **Managing Director** (defined in **Section 2(54)**) gets powers from the **Articles of Association or a resolution/agreement**.
- Since their **roles and powers significantly overlap**, dual appointment may cause **conflict and mismanagement**.

### 5.2 TENURE - SECTION 196 (2)

As per **Section 196(2)**, the appointment **cannot exceed 5 years** at a time.

**Re-appointment**: Allowed within the **last 1 year** of the **existing term**, but **not earlier** than that (Proviso to Section 196(2)).

## 5.3 DISQUALIFICATION OF MANAGING DIRECTOR, WHOLE-TIME DIRECTOR OR MANAGER - SECTION 196 (3)

**No company shall appoint or continue the employment of any person as managing director, whole-time director, or manager who-**

- ***A person is below 21 years or has attained 70 years*** of age.
- *However, appointment beyond 70 years is permissible by passing a* ***special resolution*** *with* ***justification*** *in the explanatory statement.*
- **Undischarged insolvent**, or previously **adjudged as insolvent**.
- Person who has **suspended payment** to creditors or **made composition** with them.
- **Convicted** by a court and **sentenced for more than 6 months**.

## 5.4 CENTRAL GOVERNMENT APPROVAL - SECTION 196 (3) SECOND PROVISO

Where ***no such special resolution is passed*** but votes cast in favour of the motion exceed the votes, if any, cast against the motion and the Central Government is satisfied, on an application made by the Board, that such appointment is most beneficial to the company, the appointment of the person who has attained the ***age of seventy years*** may be made.

This simply means that if a company wants to appoint a person as MD, WTD or manager but is unable to ***pass a special resolution*** as stated in ***Section 196 (3) First Proviso***, in that case the company may do so by passing an ordinary resolution along with consent of the Central Government.

***In Simple Words:***

If a special resolution fails but vote cast in favour of resolution is more than vote cast against, the company can still appoint the person aged 70 & above as MD, WTD, or Manager provided it obtains the approval of the Central Government.

## 5.5 APPROVAL FOR APPOINTMENT OF MD, WTD AND MANAGER -SECTION 196 (4)

As per **Section 196(4)**, subject to **Section 197 and Schedule V**, the:

- **Board must approve** the appointment of MD/WTD/Manager and
- The same must be **approved by shareholders** in the **next general meeting**.
- If the appointment **deviates from Schedule V**, **Central Government approval** is also needed.

### First Proviso to Section 196(4)

The **notice** of Board/general meeting must include:

- **Terms and conditions** of the appointment
- **Remuneration**
- **Any interest of directors** in the appointment.

### Second Proviso to Section 196(4)

- **Return of appointment** must be filed in **e-form MR-1** with the **Registrar** within **60 days** of appointment.

## 5.6 CONSEQUENCE OF IRREGULAR APPOINTMENT - SECTION 196 (5)

Subject to the provisions of this Act, where an appointment of a managing director, whole-time director or manager **is not approved** in a general meeting, **acts done prior to such approval remain valid**.

**Exemptions**:

- **Private companies:** Exempt from **Section 196(4) and 196(5)** and **filing of Form MR-1** (Notification dated 05.06.2015).
- **Government companies:** Exempt from **Section 196(2), (4), and (5)**. Appointment can follow **Articles of Association** and tenure may **exceed 5 years**.
- **Specified IFSC Public Companies**: Exempt from **Section 196(4)** (Notification dated 04.01.2017).

### 5.7 CONDITIONS TO BE FULFILLED FOR APPOINTMENT WITHOUT CENTRAL GOVERNMENT APPROVAL (AS PER PART I OF SCHEDULE V)

***No person shall be eligible for appointment as a managing or whole-time director or a manager of a company unless he satisfies the following conditions, namely:***

- The person **has not been sentenced** to imprisonment or ***fined over ₹1,000*** under listed laws.
- The person **has not been detained** under the **Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974**.
- *If the Central Government has earlier approved such a person, further approval is not needed unless re-convicted or detained.*
- The person is a **resident of India**.
- A person is **not less than 21 years and not more than 70 years of age**.

### 5.8 APPOINTMENT WITH THE APPROVAL OF CENTRAL GOVERNMENT

If the company **does not meet the Schedule V conditions**, it must:

- File **e-Form MR-2** with the **Central Government** within **90 days** of appointment (**Rule 7 of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014**).

### 5.9 ISSUE OF GENERAL NOTICE BEFORE MAKING APPLICATION TO CENTRAL GOVERNMENT

As per **Section 201**, before applying to Central Government:

- The company must issue a **general notice to members** stating the **nature of the application**.
- This notice must be:
  - **Published in a regional language** newspaper and
  - **Once in an English newspaper** circulating in that district.
  - **Attach copies** of such publications with the application along with a **certificate of due publication**.

## 6. PROCEDURE FOR APPOINTMENT OF MANAGING DIRECTOR, WHOLE TIME DIRECTOR & MANAGER

**Procedure for Appointment of MD, WTD and Manager**

**Board Meeting**

The appointment of MD, WTD or Manager and the terms and conditions of such appointment and remuneration payable has to be approved by the Board of Directors at a Board Meeting, on the basis of recommendations of the Nomination and Remuneration Committee, wherever applicable, subject to approval of shareholders at ensuing GM.

**General Meeting**

Post Board Meeting, such appointment along with the terms and conditions and remuneration payable has to be approved by the shareholders at the ensuing General Meeting by passing ordinary resolution.

**CG Approval**

In case, the appointment is in variance to the conditions specified in Part I of Schedule V of the Comapanies Act, 2013, then the approval of Central Government is also required.

**Filing of Return of Appointment**

A return of appointment of a MD, WTD or Manager, is required to be filed with the Registrar within 60 days of the appointment, in Form No. MR.1 along with the prescribed fees.

***Procedure for Appointment of MD/WTD/Manager:***

1. **Convene a Board Meeting** (with due notice under **Section 173**) to:
   - (a) Finalize the appointee based on **Nomination and Remuneration Committee** recommendations.
     - The committee identifies qualified individuals for **Board or senior management** roles.
   - (b) Approve **draft agreement** (optional).
   - (c) Fix **time, date, and venue** for the general meeting.
   - (d) Approve **notice and explanatory statement** (as per **Sections 101 & 102**, considering **Section 190**).
   - (e) Ensure meeting notice includes:
     - (i) Appointment **terms**
     - (ii) **Remuneration**
     - (iii) **Director's interest**, if any.
   - (f) **Authorize the Company Secretary** to issue a general meeting notice.
2. **Hold General Meeting** and pass resolution for appointment.
3. If not in accordance with **Schedule V**, obtain **Central Government approval**:
   - Publish **general notice** to members as per Section 201.
   - File application in **e-Form MR-2** within **90 days** of appointment.
4. **Execute agreement** with the appointee (if prepared and approved by Board).
5. **Update company records** and **register of directors**.
6. **File the following forms with the ROC**:
   - (i) **MR-1** (within **60 days**), certified by auditor or CS.
   - (ii) Attachments-
     - Board Resolution copy
     - Shareholders' Resolution with explanatory statement
     - Consent letter
     - Central Government approval (if applicable)
     - Nomination & Remuneration Committee's certificate
   - (iii) **DIR-12** (within **30 days** of appointment)
   - (iv) **MGT-14** (Board resolution approval filing)
7. **Inform all stakeholders** about the appointment.
   - It is **advisable** to publish a **general newspaper notice** regarding the appointment. Not mandatory, but a good corporate governance practice.

## 7. POWERS, DUTIES, AND RESPONSIBILITIES OF THE MANAGING DIRECTOR

***The following are some powers, duties, and responsibilities for which the managing director is entrusted with:***

- **Participates in Policy-Making** as a board member and helps **formulate corporate objectives**.
- **Implements Board Policies** and oversees their execution.
- Serves as a **link between the Board and the organization**, facilitating communication and execution.
- **Explains company policies** to employees and ensures clear understanding across all levels.
- Periodically **reviews company performance** and presents progress reports to the Board.
- Has the authority to **appoint senior officials** of the company.
- **Designs employment and compensation plans** in line with company policies.
- **Plans business expansion and growth strategies**.

- Conducts **meetings with departmental heads** to align objectives and resolve issues.
- **Promotes employee morale** by fostering a culture of inclusion and belonging..
- Maintains **external relations** with government bodies, trade unions, communities, and industry chambers.
- Ensures **effective coordination between line and staff managers**.
- **Approves or disapproves developmental proposals** from senior executives and forwards them to the Board.
- Establishes a **budgetary control system** to track performance against set plans.
- Oversees **production and sales operations**.
- Ensures **customer satisfaction** through consistent delivery of goods and services.

## 8. APPOINTMENT OF COMPANY SECRETARY

As per **Section 203 of the Companies Act, 2013**, a Company Secretary is recognized as a **Key Managerial Personnel**, along with the **Managing Director (MD)**, **CEO**, **Manager**, **Whole-Time Director**, and **CFO**.

Every **listed company** and every **public company** with **paid-up capital of ₹10 crore or more** must appoint a **Whole-Time Company Secretary**.

**A CS is primarily responsible for handling the compliance and legal functions of the organization.**

**The Institute of Company Secretaries of India (ICSI) is the statutory body that regulates and governs the profession of Company Secretaries in India.**

**As per Clause (c) of Sub-section (1) of Section 2 of the Company Secretaries Act, 1980, a Company Secretary refers to an individual who is a member of ICSI.**

### The Core Responsibilities of a CS Include

- Maintaining the company's statutory registers, records, and books.
- Advising the Board of Directors on legal and financial risks.
- Ensuring compliance with applicable statutory regulations.
- Overseeing compliance with corporate, taxation, economic, and industrial laws relevant to business operations.
- **Company Secretaries** play a vital role in ensuring **corporate governance** across all types of companies—**private**, **public**, **Section 8 companies**, and **government companies**.
- The CS assists the **Chairman** in managing **board meetings**, preparing **agendas**, **recording minutes**, and ensuring **implementation of board decisions**.

### 8.1 COMPANY SECRETARY AS COMPLIANCE OFFICER

As per **Regulation 6 of SEBI (LODR) Regulations, 2015**, a **qualified Company Secretary** must be appointed as the **Compliance Officer** by listed companies.

**Responsibilities include:**

- Ensuring **regulatory compliance** in **letter and spirit**.
- Liaising with the **Board**, **Stock Exchanges**, and **Depositories**.
- Verifying the **authenticity and accuracy** of disclosures and reports.
- Monitoring the **grievance redressal system** via a dedicated email.
- CS is also responsible for compliance under:
    - **SEBI (Prohibition of Insider Trading) Regulations, 2015**.
    - **SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011**.
- This requirement **does not apply to mutual fund units** listed on recognized exchanges.

## 8.2 ROLES OF COMPANY SECRETARY

I. **CS as a Business Supporter:**
Incorporation, audit, restructuring, reporting, revival of sick companies, and representation in tribunals.

II. **CS as an Auditor**:
Prepares **Secretarial Audit Report (Form MR-3)** under **Section 204**, ensuring legal compliance.

III. **CS as an Advisor**:
Assists in issues related to **shares**, **IPRs**, **fundraising**, **legal drafting**, **mergers**, etc.

IV. **CS as Legal Advisor**:
Offers legal counsel during **litigation** and **business decision-making**.

V. **CS as Corporate Connector**:
Acts as a bridge between **directors**, **investors**, and **regulators**.

VI. **CS as Record Keeper**:
Maintains registers of **investors**, **members**, **directors**, and **legal filings**.

## 8.3 PROCEDURE FOR APPOINTMENT OF A WHOLE TIME COMPANY SECRETARY

***The following procedural steps should be taken for appointing a whole-time company secretary:***

1. **Advertise** the post, **conduct interviews**, finalize candidates.
2. **Board Meeting** as per Section 173 to approve the appointment.
3. **File DIR-12** within 30 days, along with **MGT-14** for public companies.
4. CS can **hold office in only one company**, except in its **subsidiary**.
5. Update **Register of KMP** under Section 170.
6. Inform **Stock Exchange(s)** if listed.
7. Verify for any **related party transactions** under Section 188.

## 8.4 DUTIES OF A COMPANY SECRETARY IN INDIA

According to ***section 205*** of the Companies Act, 2013 and ***rule 10*** of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the company secretary must perform the following functions and duties:

- Ensure **compliance with laws**, **rules**, and **secretarial standards**.
- Provide **guidance to directors** on duties and powers.
- Assist in the **conduct of meetings**, maintaining **minutes**.
- Seek necessary **approvals from the Board or authorities**.
- Represent the company before **regulators**.
- Promote **good governance practices**.
- Perform any **additional duties assigned by the Board**.

## 8.5 REMOVAL OF COMPANY SECRETARY

A company secretary can be removed or dismissed like any other employee of the organization. However, principles of natural justice—such as issuing a show cause notice, granting a hearing, and passing a reasoned order—must be followed.

1. Can be removed as per terms or **Board resolution**.
2. Board Meeting must be held for **approval**.
3. Ensure **resignation letters** or provide a **reasonable opportunity to be heard**.

4. File **Form DIR-12** within 30 days.
5. Inform **stock exchanges within 24 hours**.
6. Update **KMP Register**.
7. Issue **public notice** if required.
8. **Vacancy must be filled within 6 months**.

## 9. OFFICER WHO IS IN DEFAULT [SECTION 2(60)]

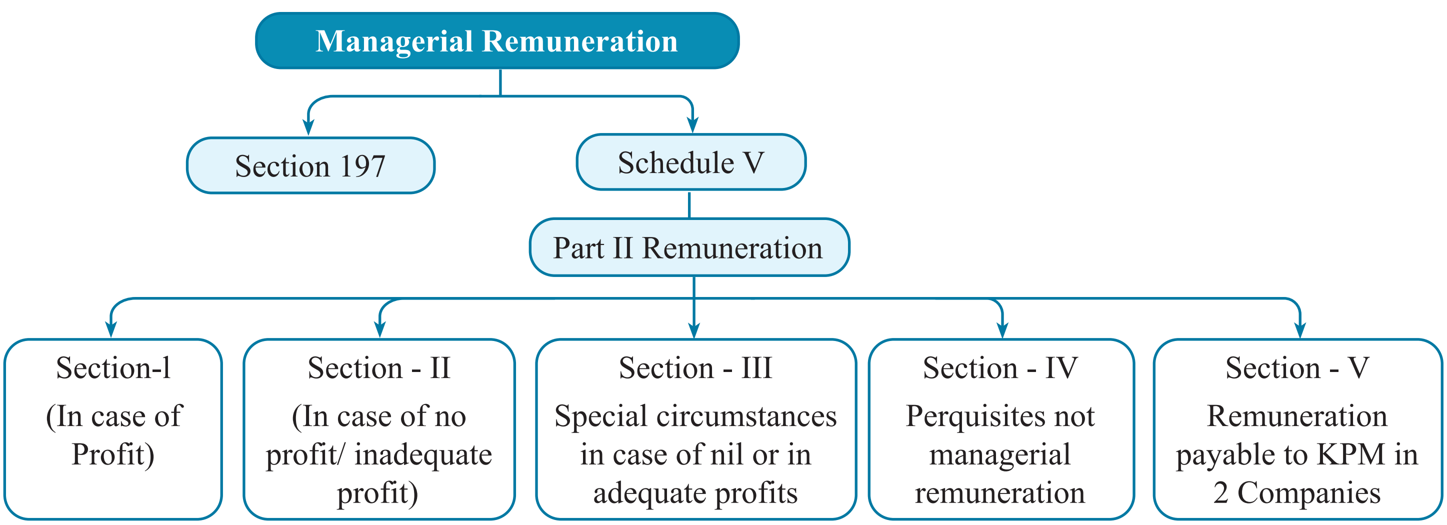
***As per Section 2(60),*** "***officer who is in default***", for the purpose of any provision in this Act which enacts that an officer of the company who is in default ***shall be liable to any penalty or punishment*** by way of imprisonment, fine or otherwise, means any of the following officers of a company, namely:

(i) **Whole-time directors**
(ii) **KMPs**
(iii) Directors identified by the Board
(iv) Executives responsible for **records or filings**
(v) Advisors whose **instructions Board follows**
(vi) Directors aware of or involved in **contraventions**
(vii) **Merchant bankers, registrars, or transfer agents** in share-related offences

## 10. REMUNERATION OF MANAGERIAL PERSONNEL

**Remuneration** as defined under **Section 2(78)** of the Companies Act, 2013 includes **money or its equivalent** given to a person for **services rendered**, including **perquisites** as defined in the **Income-tax Act, 1961**.

In general terms, **remuneration** refers to any form of **compensation** paid to an individual for services rendered to the organization.




### 10.1 OVERALL MAXIMUM MANAGERIAL REMUNERATION - SECTION 197 (1)

***Section 197(1) of the Companies Act, 2013, lays down the provisions for the overall maximum managerial remuneration.***

- The total remuneration payable to **directors**, including **MD, WTD, and Manager**, in any **financial year**, shall not exceed **11% of the net profits** of the company as computed under **Section 198**.
- **Remuneration exceeding 11%** is permissible **with shareholders' approval** in a general meeting, subject to **Schedule V**.
- This **11% cap** is applicable **only to public companies**. **Private companies** are exempt.

## 10.2 INDIVIDUAL LIMIT FOR EACH DIRECTOR- SECOND PROVISO TO SECTION 197 (1)

***Provided further that, except with the approval of the company in general meeting, by a special resolution—***

(i) **Managing Director / WTD / Manager (one)**: Max **5%** of net profits.

(ii) **More than one MD / WTD / Manager**: Max **10%** of net profits combined.

(iii) **Other Directors (non-WTD/MD)**:
- **1%** if there is an MD/WTD/Manager.
- **3%** if none of the above exist.

### Remuneration in Case of Default – Third Proviso

- If the company has **defaulted** in payments to **secured creditors**, **prior approval** from them is required before seeking shareholders' approval.

## 10.3 SITTING FEES NOT TO BE INCLUDED IN % LIMIT OF MANAGERIAL REMUNERATION - SECTION 197 (2)

Section 197 (2) states that the percentages aforesaid shall be exclusive of any fees payable to directors under sub-section (5).

- Fee for attending board/committee meetings shall **not exceed ₹1,00,000 per meeting**.
- For **Independent Directors and Women Directors**, fee **shall not be less than** other directors.

## 10.4 REMUNERATION IN CASE OF ABSENCE OR INADEQUACY OF PROFITS - SECTION 197 (3)

If the company has **no profits or its profits are inadequate**, the company shall pay to its directors, including any managing or whole-time director or manager, or any other non-executive director, in accordance with the ***provisions of Schedule V.***

## 10.5 MANAGERIAL REMUNERATION AS PER SECTION 197(3) SCHEDULE V PART II SECTION 2

Where, in any financial year during the tenure of a managerial person or other director, a company has no profits or its profits are inadequate, it may, without Central Government approval, pay remuneration to the managerial person not exceeding the limits given below:

| S. No. | Where the effective capital (in rupees) is: | Maximum Yearly Remuneration for Managerial Person (₹) | Maximum Yearly Remuneration for Other Directors (₹) |
|---|---|---|---|
| 1. | Negative or less than 5 crores. | 60 lakhs | 12 lakhs |
| 2. | 5 crores and above but less than 100 crores. | 84 lakhs | 17 lakhs |
| 3. | 100 crores and above but less than 250 crores. | 120 lakhs | 24 lakhs |
| 4. | 250 crores and above. | 120 lakhs plus 0.01% of the effective capital in excess of Rs. 250 crores | 24 Lakhs plus 0.01% of the effective capital in excess of Rs. 250 crores |

If a company intends to pay **remuneration exceeding the above-mentioned limits**, it may do so by passing a **special resolution** at a general meeting

**Explanation –** It is hereby clarified that for a period less than one year, the limits shall be pro-rated.

### Professional Capacity

- The person:
  - Must **not hold any interest** in a company or group.
  - Must be **unrelated** to directors/promoters in the past two years.
  - Must have **graduate-level qualifications** and expertise.
- Exception for **employees holding ≤ 0.5% shares** under ESOPs or as **qualification shares**.

## 10.6 PRECONDITIONS TO AVAIL SCHEDULE V LIMITS

- Approval by **Board** and, if applicable, the **Nomination and Remuneration Committee**.
- **No defaults** to creditors; else **prior approval** required.
- **Ordinary/Special Resolution** (based on the category) for payment.
- **Statement to shareholders** covering:
  - General info: Industry, performance, FDI, etc.
  - Appointee details: Background, awards, suitability, etc.
  - Other info: Loss reasons, steps for improvement.
  - Disclosures: Salary breakup, performance criteria, severance terms, etc.

## 10.7 REMUNERATION FROM OTHER COMPANIES – SCHEDULE V, PART II, SECTION III

- Allowed if:
  - The **other company** is a **foreign company**, or
  - The **Indian company's shareholders** approved such payment, within Section 197 limits.
- Special cases:
  - **New companies** (7 years), **sick companies** (5 years post-revival), or companies under **NCLT-approved plans**.
  - Subject to **auditor/CS certification** and **no default on creditors**.

***Remuneration for professional services** is not counted under managerial remuneration if:*

- Services are **professional** in nature, and
- **NRC** or **Board** certifies qualification.

***Refund of Excess Remuneration – Section 197(9) & (10)***

- Any **excess remuneration** must be **refunded within 2 years** or held **in trust**.
- **Waiver** is allowed only by **special resolution** and, in case of default, the **creditor's prior approval** is mandatory.

***Conditions for Increase in Remuneration – Section 197(11)***

- If **Schedule V** applies, **no increase** in remuneration is valid unless compliant with its conditions, even if provided in:
  - Articles,
  - Agreement, or
  - Board/general meeting resolution.

## 10.8 DISCLOSURE IN BOARD'S REPORT [RULE 5 OF THE COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL) RULES, 2014]

- **Mandatory Disclosures** in **Board's Report**:
  - Ratio of directors' remuneration to **median** employee's remuneration.
  - **% increase** in remuneration of each KMP.
  - Number of **permanent employees**.
  - **Average increase** in salaries (KMP vs non-KMP).
  - **Affirmation** of compliance with the company's remuneration policy.
- **Employee Disclosure (Top 10/High Remuneration Cases)**:
  - Employees drawing:
    - ≥ ₹1.02 crore annually.
    - ≥ ₹8.5 lakh per month.
    - More than MD/WTD remuneration and holding ≥2% shares.

- Particulars to include:
  - Name, designation, qualifications, remuneration, equity % held, and relation with any director.
- For **employees outside India** earning > ₹60 lakhs/year or > ₹5 lakhs/month:
  - Disclosure **not included** in the Board report but must be filed with **ROC** and **shared with shareholders upon request**.

### 10.9 INSURANCE PREMIUM NOT PART OF REMUNERATION- SECTION 197(13)

Where any insurance is taken by a company on behalf of its managing director, whole-time director, manager, Chief Executive Officer, Chief Financial Officer or Company Secretary for indemnifying any of them against any liability in respect of any negligence, default, misfeasance, breach of duty or breach of trust for which they may be guilty in relation to the company

- **Premiums** paid for **directors'/KMPs' liability insurance** are **not considered remuneration**.
- If the insured person is **found guilty**, the premium is treated as **remuneration**.

### 10.10 RECEIPT OF ANY COMMISSION FROM THE COMPANY- SECTION 197 (14)

Subject to the provisions of this section, any director who is in receipt of any commission from the company and who is a managing or whole-time director of the company shall not be disqualified from receiving any remuneration or commission from any holding company or subsidiary company of such company subject to its disclosure by the company in the Board's report.

### 10.11 PENALTY FOR CONTRAVENTION - SECTION 197 (15)

If any person makes any default in complying with the provisions of Section 197, he shall be liable to a penalty of-

- **Individual** defaulter: **₹1 lakh penalty**.
- **Company**: **₹5 lakh penalty**.

## 11. CALCULATION OF NET PROFIT FOR THE PURPOSE OF MANAGERIAL REMUNERATION (SECTION 198)

***Section 198 of the Companies Act, 2013*** lays down the manner of calculations of net profits of a company any financial year for purposes of Section 197. Sub- Section (2) specifies the sums for which credit shall be given and sub-section (3) specifies the sums for which credit shall not be given while calculating the net profit. Similarly, sub-section (4)/(5) of Section 198 specifies the sums which shall be deducted/not deducted while calculating the net profit.

## 12. RECOVERY OF MANAGERIAL REMUNERATION IN CERTAIN CASES (SECTION 199)

***Section 199 of the Companies Act, 2013 provides*** for recovery of remuneration including stock options received by the specified Managerial Personnel, where the benefits given to them are found to be in excess of what is reflected in the restated financial statements.

- **Current or former MD/WTD/CEO/Manager** must be **recovered**.
- Recovery applies **in addition** to other legal liabilities.

## 13. ADDITIONAL COMPLIANCES FOR PAYMENT OF MANAGERIAL REMUNERATION IN CASE OF NO PROFITS/ PROFITS ARE INADEQUATE (SECTION 200)

In respect of cases where the company has inadequate or no profits, a company may fix the remuneration within the limits specified in the Companies Act, 2013, at such amount or percentage of profits of the company, as it may deem fit. While doing so, the company shall have regard to —

(i) The financial position of the company;

(ii) The remuneration or commission drawn by the individual concerned in any other capacity;

(iii) The remuneration or commission drawn by him from any other company;
(iv) Professional qualifications and experience of the individual concerned;
(v) Such other matters as may be prescribed.

***As per Rule 6 of the Companies*** (Appointment and Remuneration of Managerial Personnel) Rules, 2014, for the purpose of item (e) of section 200, the company shall have regard to the following matters while granting approval.

## 14. PARAMETERS FOR CONSIDERATION OF REMUNERATION

**The company shall have regard to the following matters, namely-**

1. **Financial and operational performance** over the **last three years**.
2. **Remuneration-performance relationship**.
3. **Internal proportionality**:
   - Comparison of directors' pay with other directors and employees.
4. **Difference in remuneration policies** (directors vs employees) and explanation for it.
5. **Securities held** by directors, including:
   - **Stock options and pledged shares** as of year-end.

## 15. COMPENSATION FOR LOSS OF OFFICE OF MANAGING OR WHOLE-TIME DIRECTOR OR MANAGER (SECTION 202)

Section 202 provides that a company may make payment of **compensation for loss of office** or **retirement-related consideration** only to a **Managing Director (MD)**, **Whole-Time Director (WTD)**, or **Manager**.

- **Other directors** are **not eligible** for such payments.

***However, no payment shall be made in the following cases:***

(A) He resigns due to the reconstruction and he is appointed as a manager director whole time director manager of resulting company.

(B) Resign otherwise than amalgamation.

(C) Vacation under section 167.

(D) Winding up of the company due to negligence or default of such director

(E) Director has been guilty of fraud or mismanagement the affairs of the company its holding, subsidiary company.

## 16. AMOUNT OF COMPENSATION {SECTION 202(3)}

Any payment made to a managing or whole-time director or manager in pursuance of section 202 (1) shall not exceed the remuneration which he would have earned if he had been in office for:

- The **remaining term**, or
- A period of **three years**,

### Whichever is Shorter

***No compensation is allowed if:***

(i) The **winding up** of the company begins **before** or within **12 months** after the director ceases to hold office.
(ii) And the **company's assets** are **insufficient to repay** shareholders' **share capital and premium**.

**Example:**

Mr. A is a manager of ABC Limited, who retires under the normal circumstances on 31.03.2022 where 2 years period was left. The average remuneration earned by him during the period of three years is Rs. 25 Lacs p.a.. The company shall give sum Rs. 50 Lacs as compensation.

However, no such payment shall be made to the director in the event of the commencement of the winding up of the company, whether before or at any time within twelve months after, the date on which he ceased to hold office, if the assets of the company on the winding up, after deducting the expenses thereof, are not sufficient to repay to the shareholders the share capital, including the premiums, if any, contributed by them.

## PAST YEAR QUESTIONS

1. The Board of Directors of the company presents the following financial data extracted from the company's financial statements as at 31st March, 2024:

| *Particulars* | *₹ (Cr.)* |
|---|---|
| Authorised equity share capital | 240 |
| Paid-up equity share capital | 40 |
| Debenture redemption reserve | 40 |
| Securities Premium Account | 80 |
| Revaluation Reserve | 80 |
| Profit and Loss (Loss) | (40) |

Due to losses in the financial year 2023-2024, the Board of Directors is exploring the option to pay the remuneration to the managing director of the company, not more than the remuneration that law permits, for which the managing director agreed. You, being a company secretary, advise the Board of Directors the maximum remuneration payable to the managing director in case of losses or inadequacy of profits to the company without seeking approval of any other authorities. **[June 2024 (5 Marks)]**

2. Following particulars are extracted from the financial statements of Surat Gold and Diamonds Limited for the year ended 31st March, 2023:

Salaries and perquisites paid to the managing director ₹1,50,000 and the whole-time director ₹1,20,000. Provision for bonus ₹10,000 and gratuity 12,000 (including the bonus ₹10,000 and gratuity ₹12,000 for the above directors).

Provision for doubtful debts ₹60,000

Profit on sale of forfeited shares ₹10,000

Short-term capital gains ₹2,60,000

Contribution to approved charitable trust ₹1,00,000.

Provision for income tax ₹4,80,000 and surcharges ₹1,20,000

Net Profit for the FY 2022-23 ₹32,00,000

Aggregate amount of accumulated losses of previous years ₹ 2,50,000

The board of directors consisted of a managing director, a whole-time director and three other non-executive directors. You are required to calculate the net profit for computing managerial remuneration and the maximum managerial remuneration payable to the above said five directors. State your assumptions.

**[June 2023 (4 Marks)]**

3. You are CFO of XYZ Textiles Limited, a listed company in Tamil Nadu. Pursuant to the applicable provisions of the Companies Act, 2013 and taking into account the requirement of SEBI Regulations, draft a board resolution for appointment of a whole-time company secretary of the company.

**[June 2024 (5 Marks)]**

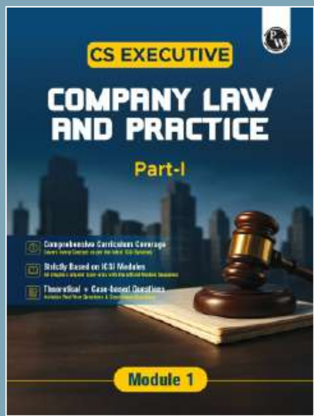
4. A is a leading businessman who is presently acting as director in five. companies. He wants to become the Chairman and Managing Director (CMD) of CKC International Ltd. which undertakes several businesses. The company's average annual turnover was ₹ 1,125 crores in the preceding three financial years. The Company already has H, C and L as its Chief Executive Officers for each of its business categories.

   As a Company Secretary advises A regarding the appointment of Key Managerial Persons, the feasibility of appointing him in CKC International Ltd. as CMD and retaining the directorship of other companies, referring to the provisions of the Companies Act, 2013. **[Dec. 2022 (5 Marks)]**

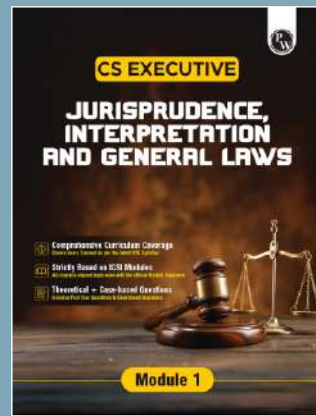
5. Naman is Managing Director, Manan is Whole-time Director, and Ojas is Director of Apollo Ltd. Naman has resigned from his position with effect from 31st March, 2022 due to his ill health. The doctor has advised him to take complete bed rest. Manan and Ojas also tendered resignations with effect from 1st April, 202,2 pursuant to a slump sale of one of the undertakings of Apollo Ltd. to Nimbo Ltd. (a group company of Apollo Ltd.) Consequently, Manan and Ojas were appointed as Whole-time Director and Director, respectively in Nimbo Ltd. w.e.f. 1st June, 2022. Manan and Ojas individually made an application to the Board of Apollo Ltd. for compensation for loss of office.

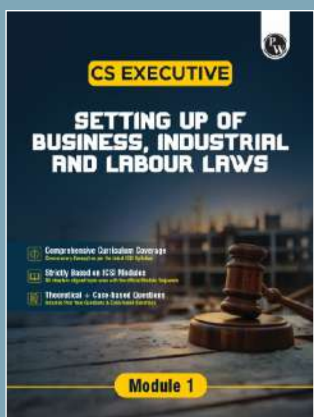
   When Naman came to know about the said applications by Manan and Ojas demanding compensation, he also asked for compensation. Who will be eligible for such compensation as per the provisions of the Companies Act, 2013? **[June 2022 (4 Marks)]**

# Other Books in This Series













₹ 269/-

PHYSICS WALLAH PUBLICATION

To Buy PW Books
SCAN ME!

To share Feedback
SCAN ME!

ISBN 978-93-7153-085-9
9 789371 530859

1b6d8339-523a-4576-ab26-855af5ad96f9